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Business Checkpoint: Looking into the logistics

15 October 2026

Key takeaways

- Small and mid-sized businesses entered Q3 in relatively solid financial condition, with profitability growth up across both groups, according to Bank of America business account data. Nearly half of estimated tariff payments had been refunded by September, though the share of these refunds relative to revenue has peaked.
- In Bank of America business payments data, logistics spending growth per client was up four times as much for small than mid-sized firms. Additionally, distribution and inventory transactions growth per client has outpaced spending since the spring of 2025.
- Growing transportation bottlenecks are re-emerging ahead of the holiday season. Trucking capacity has tightened as driver availability remains constrained, according to BofA Global Research. This has pushed freight rates higher and driven strong transportation sector payroll growth, particularly among mid-sized businesses, according to Bank of America payments data.

Business Checkpoint is a new, regular publication from Bank of America Institute. It provides a real-time view of the financial health, opportunities and challenges facing small and mid-sized businesses across the US economy, leveraging the depth and breadth of Bank of America's proprietary data. By analyzing activity among both small and mid-sized firms, Business Checkpoint offers timely insights into business profitability, hiring, investment and spending trends. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial condition or performance of Bank of America.

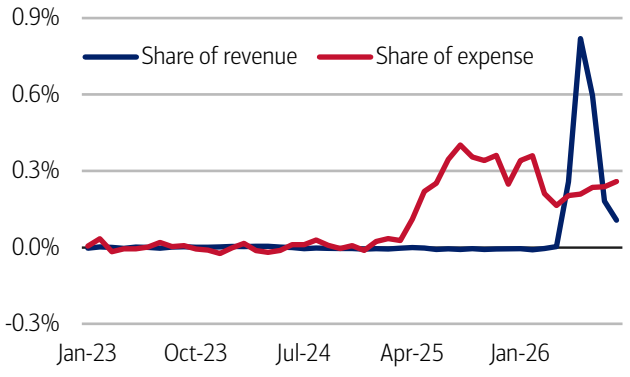
Businesses end Q3 in fair shape

While profitability growth remained positive for both small and mid-sized firms in the third quarter, small firms outpaced their mid-sized counterparts for the second consecutive quarter (Exhibit 2). Still, there's been a notable reversal in the profitability of mid-sized businesses, growing this quarter after declining slightly for the past two.

The continued rollout of tariff refunds is serving as a tailwind to some firms' cash positions. That is particularly true for small firms. According to Bank of America account data, by September approximately 47% of estimated International Emergency Economic Powers Act-related tariff payments had been refunded to companies with less than $50 million in annual revenue.

Exhibit 1: Tariff refunds as a share of income for businesses <$50M in annual revenue peaked in June

Share of tariff payments of income and expense (percentage point difference from 2023 average share)

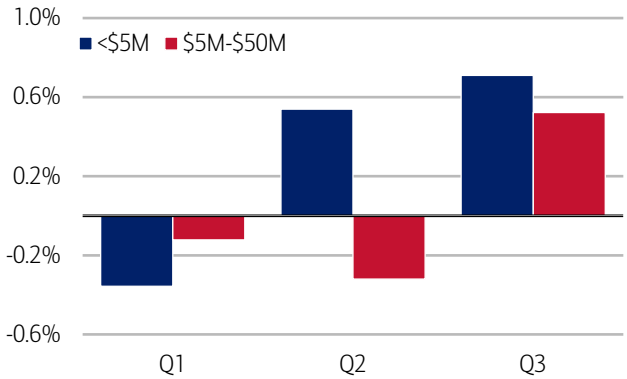


Source: Bank of America internal data

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Exhibit 2: Small firms' profitability growth outpaced mid-sized firms in Q3 2026

Profitability growth by firm size in 2026 (quarterly average, year-over-year (YoY)%)



Source: Bank of America internal data

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According to Bank of America business payments data, the percentage point difference in tariff refunds as a share of revenue for firms with less than $50 million in annual revenue spiked in June but dropped to nearly zero in September. At the same time, the percentage point difference in tariff payments as a share of expenses began rising again relative to the 2023 average (Exhibit 1). This suggests that while tariffs continue to affect companies, the refund program has provided temporary relief for some businesses.

Wholesale trade along with transportation and warehousing posted solid profitability growth across business size

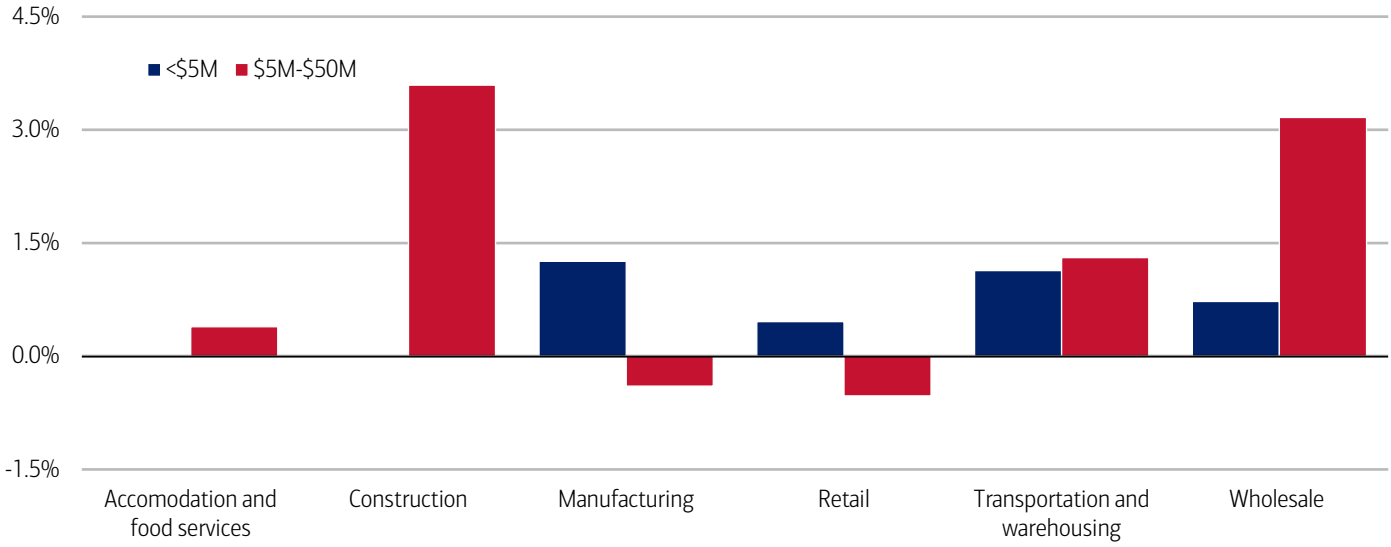
However, the benefits appear uneven. Such refunds have boosted cash flow, but they have not fully insulated firms from broader cost pressures.

Looking across industries, mid-sized construction and wholesale firms had the strongest profitability growth in September (Exhibit 3). Notably, transportation and warehousing, as well as wholesale trade were among the few sectors showing positive profitability growth for both small and mid-sized firms last month.

The persistence of logistics, freight and inventory-related cost pressures may help explain why profitability gains have remained relatively concentrated in transportation and wholesale trade. However, these sectors also have a higher exposure to rising gas prices within their margins (read more on this in the August Small Business Checkpoint).

Exhibit 3: For both small and mid-sized businesses, profitability growth was positive in transportation and warehousing as well as wholesale trade in September

Profitability growth by sector and business size in September (YoY%, six-month moving average)



Source: Bank of America internal data

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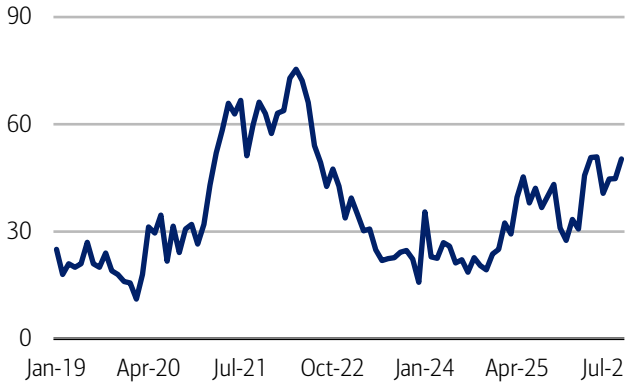
The cost of maintaining supply chains is rising

In fact, the prices paid component of the September services reading from the Institute for Supply Management indicates still-building price pressure for firms (Exhibit 4). This marked the highest reading since July 2022.

Using Bank of America internal data, we identified payments to logistics and freight companies to assess a key part of supply chain costs. In June, logistics and freight payments' growth per client from small businesses grew nearly 30%, though has moderated to 12.7% YoY in September (Exhibit 5). Meanwhile, mid-sized firms' payments growth in this category was up just 3.2% YoY in September.

The divergence suggests logistics costs may be disproportionately affecting smaller firms, who are typically less capable of absorbing rising costs than larger firms. Larger companies also often benefit from dedicated logistics contracts and greater purchasing power, while smaller ones may be more exposed to spot-market transportation costs and fluctuations in freight pricing.

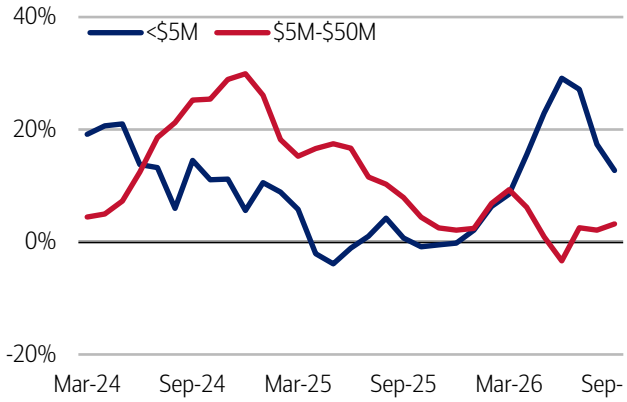
Exhibit 4: The September services Institute for Supply Management higher prices component was the highest reading since July 2022
Institute for Supply Management: Services: Prices, Higher (% of respondents)



Source: Haver Analytics

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Exhibit 5: Logistics and freight payments' growth by small businesses peaked in June
Logistics and freight payments by business size (YoY%, monthly, three-month moving average)



Source: Bank of America internal data

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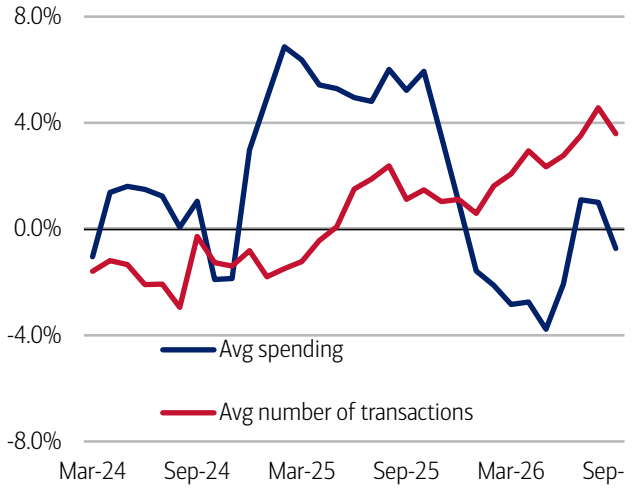
Evidence of more moving parts in companies' supply chains

Yet there is increasing evidence that tariffs and geopolitics are adding complexity to small and mid-sized companies' supply chains.

In Bank of America payments data, average distribution and inventory transaction growth per business client has increased steadily since the spring of 2025 despite spending growth in this category falling in September (Exhibit 6). Rising transaction growth alongside softer spending growth suggests businesses may be engaging with more suppliers, shipments or inventory movements even as overall procurement outlays moderates.

Furthermore, in May 2026, the Global Supply Chain Pressure Index reached its highest reading since the summer of 2022 and has continued to remain elevated into October (Exhibit 7). This further emphasizes that transportation bottlenecks, delays and procurement challenges are becoming more common globally. While current readings remain below the extreme levels observed during the pandemic, the recent move higher indicates supply chain normalization may be reversing.

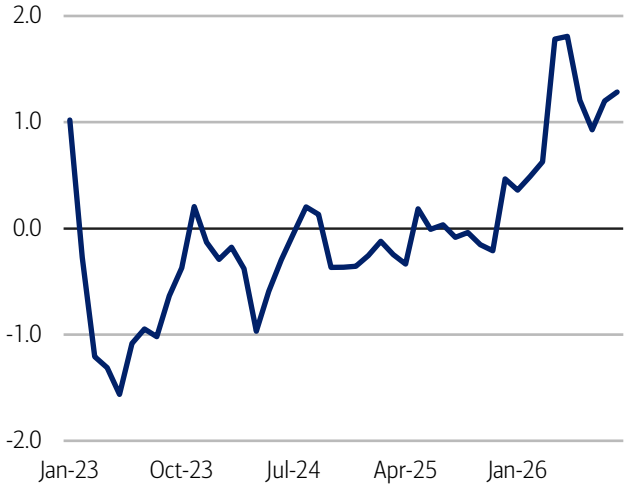
Exhibit 6: Average distribution and inventory transaction growth per business client has increased steadily since the spring of 2025
Payments and transactions to distribution and inventory per client (monthly, YoY%, three-month moving average)



Source: Bank of America internal data

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Exhibit 7: The Global Supply Chain Pressure Index reached its highest reading since the summer of 2022 in May 2026
Global Supply Chain Pressure Index (monthly)



Source: Federal Reserve Bank of New York, Global Supply Chain Pressure Index, https://www.newyorkfed.org/research/gscpi.html.

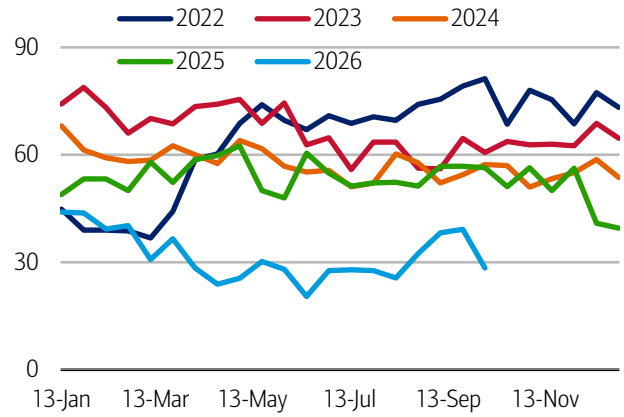
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The trials of trucking

As of October 1, BofA Global Research's proprietary bi-weekly Truckload Demand Indicator (see Methodology) remained below its historical growth signal (Exhibit 9) and the Truck Capacity Indicator, which reflects shippers' views of available capacity, tightened significantly, falling from 39.2 to 28.4 (Exhibit 8). This suggests shippers are seeing fewer trucks available relative to demand than in the previous survey.

According to BofA Global Research, the current trucking upcycle is being driven by constrained supply rather than a significant improvement in freight demand. While any positive movement in demand is an important indicator as the industry moves into peak shipping season between late September and early December, tighter capacity appears to be the dominant force supporting freight rates.

Exhibit 8: Shippers' view of available capacity has fallen significantly as of October 1, 2026
BofA Truckload Capacity Indicator by year (bi-weekly)



Source: BofA Global Research

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Exhibit 9: The Demand Indicator has been sub-60 for the past two months after 4.5 months above
BofA Truckload Demand Indicator (bi-weekly)



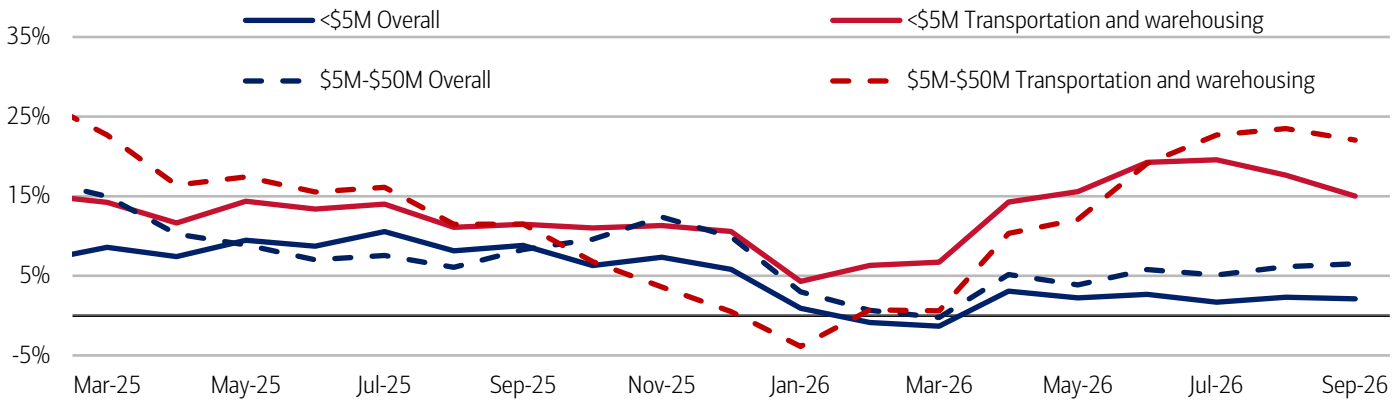
Source: BofA Global Research

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The reduction in capacity reflects several factors, including stricter commercial driver's license (CDL) and training requirements, increased compliance and enforcement measures, and other regulatory changes that have reduced the pool of qualified drivers. This has also likely driven some wage inflation within the industry. According to Bank of America payments data, transportation and warehousing payroll growth per client has surged since the start of the year, especially for mid-sized businesses (Exhibit 10).

Having to pay higher wages suggests labor shortages remain a challenge in the sector. Firms may increasingly need to offer higher compensation to attract and retain workers as trucking capacity tightens. In turn, such capacity puts upward pressure on freight rates, particularly in the spot market where small businesses may be more impacted.

Exhibit 10: Transportation and warehousing payroll growth has surged since the start of the year, especially for mid-sized businesses
Payroll payments per client by industry and business size (monthly, YoY%, three-month moving average)



Source: Bank of America internal data

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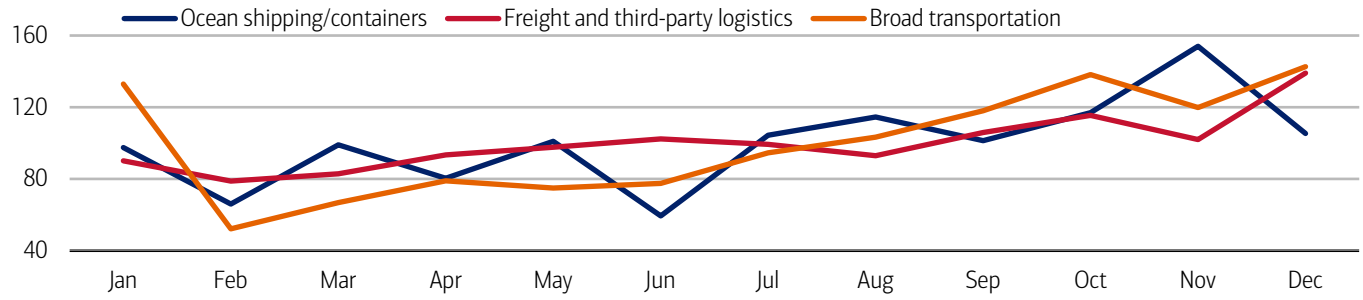
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Logistics payments tend to increase in the second half of the year

September marks a key run-up to the holiday season (read more on signs of holiday spending in the October Consumer Checkpoint), with spending on ocean shipping, containers, and other transportation services steadily accelerating ahead of the peak shopping period.

In fact, over the past two years, the month of November has seen ocean shipping/container spending volumes well above their 2023-2025 monthly average (Exhibit 11). The seasonal pattern likely reflects inventory restocking and holiday-related shipping activity. Ocean shipping volumes typically accelerate during the fall months as businesses prepare for year-end demand.

Exhibit 11: Ocean shipping/container spending volumes were well above their 2023-2025 monthly average in November
Logistics and freight average payments by category (monthly, indexed, 100 = monthly 2023-2025 average)



Source: Bank of America internal data

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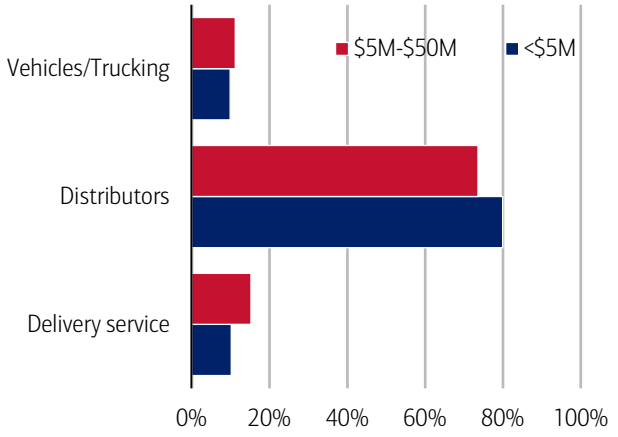
Distributors and inventory payments' growth fell ahead of holiday season

Changes in logistics and freight spending often provide an early signal of inventory trends, as distributors account for a large share of supply chain-related spending (Exhibit 12).

The sharp moderation in distribution and inventory spending growth per client for both small and mid-sized businesses indicates that much of the large-scale inventory accumulation seen earlier in 2025 has already occurred (Exhibit 13). In other words, businesses appear to be replenishing inventories for seasonal demand rather than significantly expanding stockpiles as they did earlier in the year.

Overall, businesses seem to be entering the holiday season in relatively stable financial condition, supported by tariff refunds and positive profitability growth. However, rising logistics costs, tighter trucking capacity and elevated supply chain pressures suggest operating conditions are becoming more challenging.

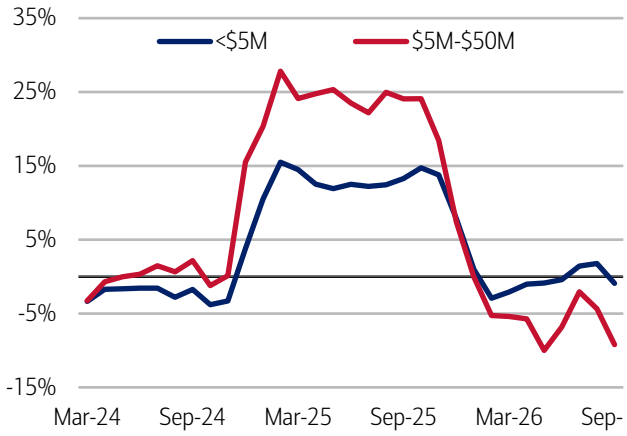
Exhibit 12: Distributors comprise a sizeable share of overall supply chain-related payments
Share of supply chain-related payments by category in 2026 by business size (%)



Source: Bank of America internal data
Note: Supply chain-related payments are those towards companies within logistics, freight, distribution and inventory.

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Exhibit 13: For both small and mid-sized firms, payments growth to distribution and inventory firms accelerated sharply during 2025
Payments to distribution and inventory by business size (monthly, YoY%, three-month moving average)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any **Business** payments data represents aggregate spend from Small Business and/or Business Banking clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Business client data represents activity spending from active Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and are generally defined as under $5mm in annual sales revenue. Mid-sized businesses in this report include business clients within Bank of America and are generally defined as $5mm-$50mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

Revenue tiers are determined by the combination of following factors: 1) stated revenue on small businesses credit applications, 2) actual account inflow into Bank of America Deposit Accounts, and 3) third party revenue estimation.

The alternative hiring indicator consists of payments from Bank of America business clients to business-focused hiring firms which include both direct deposits through Automated Clearing House (ACH) and payments via credit and debit cards.

Supply chain-related spending is comprised of payments to logistics, freight, distribution, inventory, delivery service, and trucking companies. These are identified from merchant names and MCC codes.

BofA Global Research's trucking indicators are a bi-weekly diffusion-style survey of shipper demand expectations over the next 0–3 months, built from responses from surveyed shippers.

Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Additional information about the methodology used to aggregate the data is available upon request.

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Consumer Checkpoint: Strength in numbers

09 October 2026

Key takeaways

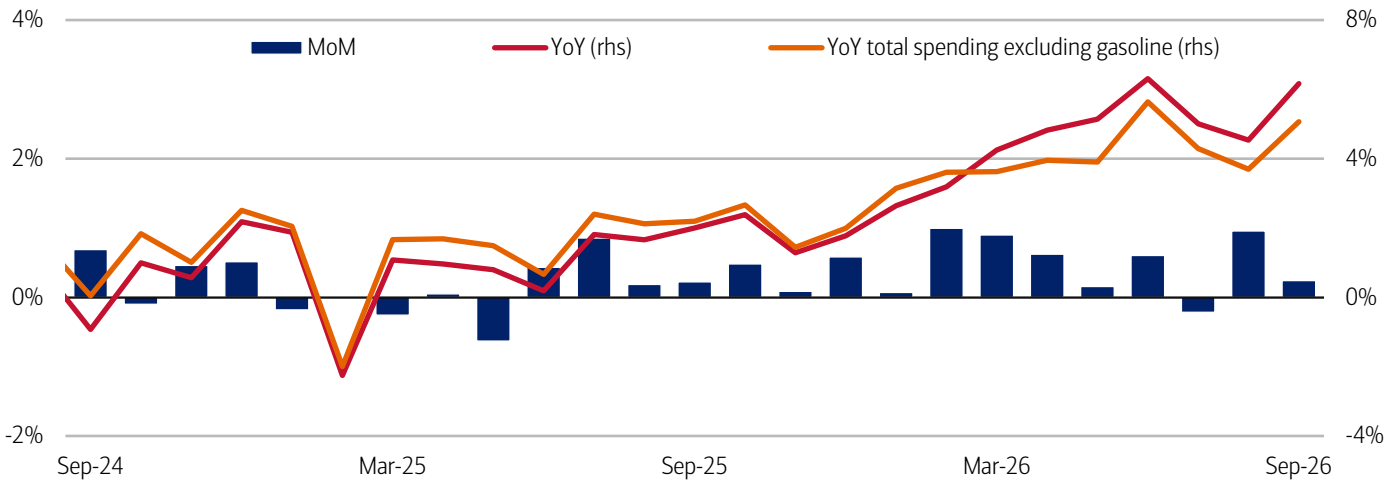
- Consumer spending remained very solid in September. Bank of America aggregated credit and debit card spending per household rose 6.2% year-over-year (YoY), or 5.1% excluding gasoline, both the third strongest growth rates over the past four years. Month-over-month (MoM) spending was more muted, especially without gas.
- Spending shows considerable breadth: the vast majority of discretionary retail and services categories are showing growth. Moreover, this strength extends across income cohorts, with the ongoing recovery of lower- and middle-income households' spending growth.
- With the winter months fast approaching, holiday spending is already increasing at a solid rate, though it's still early. In Bank of America deposit data through September, buy now, pay later (BNPL) usage is rising but not at a rate that is overly concerning. However, nearly one in every five households that use BNPL has a repayment of over $500.

Consumer Checkpoint is a regular publication from Bank of America Institute. It aims to provide a holistic and real-time estimate of US consumers' spending and their financial well-being, leveraging the depth and breadth of Bank of America proprietary data. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial conditions or performance of Bank of America.

A solid September for spending

Consumer spending continued to look solid in September. Bank of America total aggregated credit and debit card spending per household rose 6.2% year-over-year (YoY), while spending excluding gasoline increased 5.1% YoY. Notably, both are the third strongest growth rates in the past four years. Seasonally-adjusted total card spending rose 0.2% month-over-month (MoM), while spending excluding gasoline was little changed. Overall, spending growth remains well above the 2025 average rate (Exhibit 1).

Exhibit 1: Total card spending per household rose 6.2% YoY and 5.1% YoY excluding gasoline in September
Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, seasonally adjusted (SA)) and (monthly, YoY%, non-SA, right-hand side (rhs))



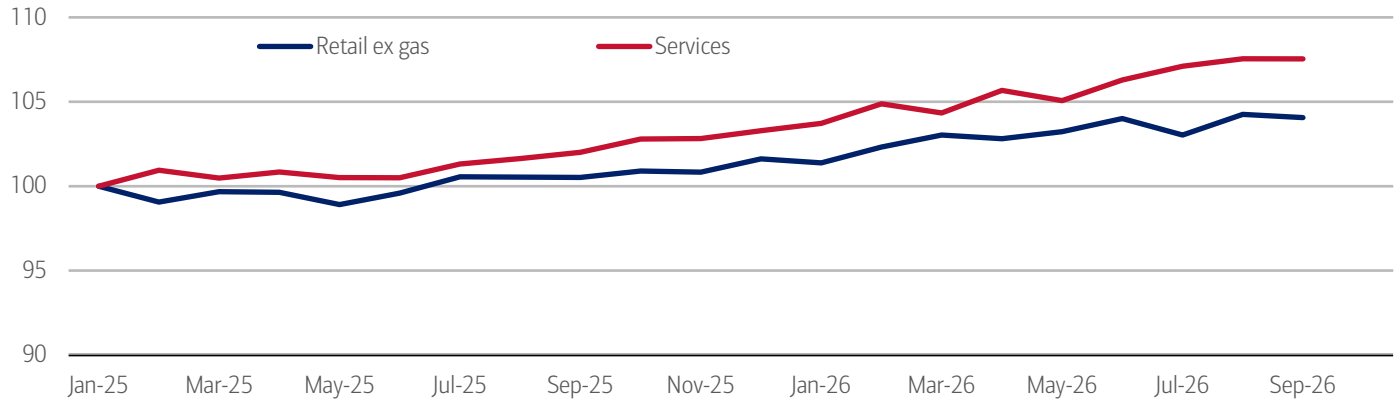
Source: Bank of America internal data

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Most spending categories are growing

One striking thing about recent card spending, in our view, is that it is well balanced across categories. For example, both spending on retail (excluding gasoline) and services grew strongly YoY in September, at 3.5% and 5.4%, respectively. Meanwhile, retail spending is showing notably better momentum than in 2025 (Exhibit 2).

Exhibit 2: Spending is rising across retail and services
Retail (excluding gasoline) and services card spending per household (monthly, seasonally adjusted, index January 2025 = 100)



Source: Bank of America internal data

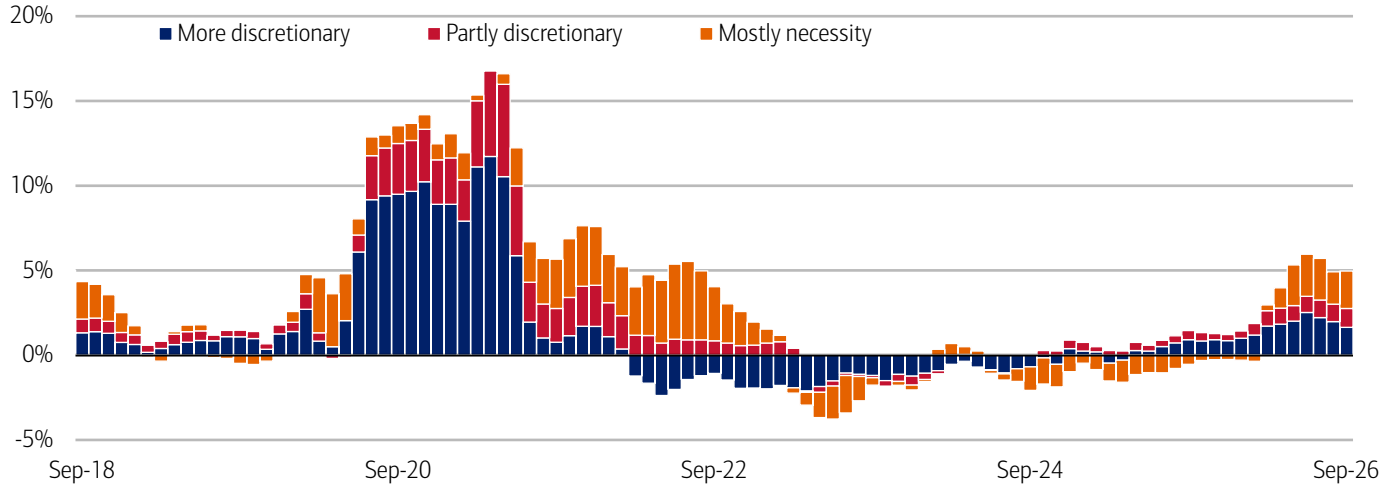
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Well balanced across "nice-to-have" and "need-to-have" retail categories

Is the momentum in retail spending reflective of "nice-to-have" discretionary or "need-to-have" necessity spending? In retail, this is a nuanced question, as many categories sit in a gray area between "necessity" and "discretionary". General merchandise stores, for example, sell both essentials like groceries as well as nice-to-have electronics or even jewelry.

In Exhibit 3, we account for this by grouping retail spending into "more discretionary" (furniture, electronics, building materials, online retailers, clothing retailers and miscellaneous stores), "partly discretionary" (auto, health and personal care retailers, general merchandise) and "mostly necessity" (gas and groceries). Even within these categories the edges will be blurred, but the overall impression is that retail spending growth is widely distributed, with spending rising across all fronts. One caveat: "mostly discretionary" spending has been making a smaller contribution since June.

Exhibit 3: Retail spending is distributed across discretionary and necessity categories
Percentage points contribution to YoY growth by type of retail spending (three-month moving average)



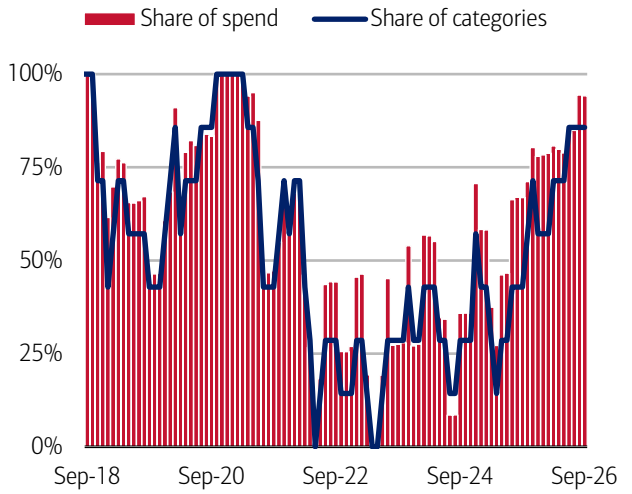
Source: Bank of America internal data. See methodology for category aggregation definitions.

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Looking at the share of "more discretionary" retail spending categories that are increasing YoY underscores that growth is well balanced and broad-based (Exhibit 4). Non-store and online retailers and miscellaneous stores saw some of the fastest growth, while furniture and building materials were among the laggards, though other durable categories showed some strength.

While some of this spending growth likely reflects the impact of higher prices pushing up spending across a swathe of categories, looking just at transactions as a proxy for volumes shows a similar picture, with only slightly less diffusion (Exhibit 5).

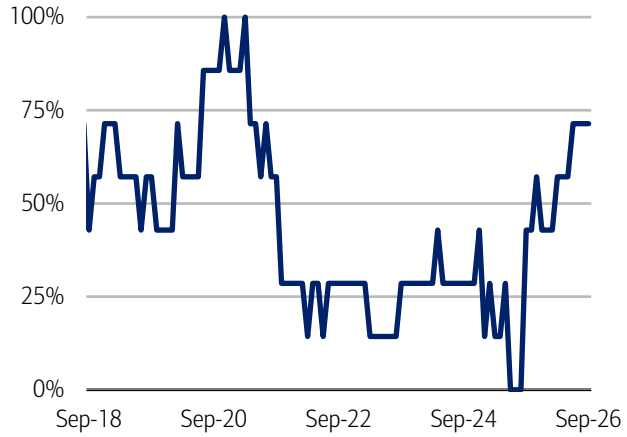
Exhibit 4: Nearly 86% of categories are experiencing positive spending growth, accounting for over 94% of retail spending
Diffusion index across "more discretionary" retail categories by spending (monthly, %)



Source: Bank of America internal data

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Exhibit 5: 71% of retail categories have positive transaction growth, with durables responsible for the declines
Diffusion index across "more discretionary" retail categories by transactions (monthly, %)



Source: Bank of America internal data

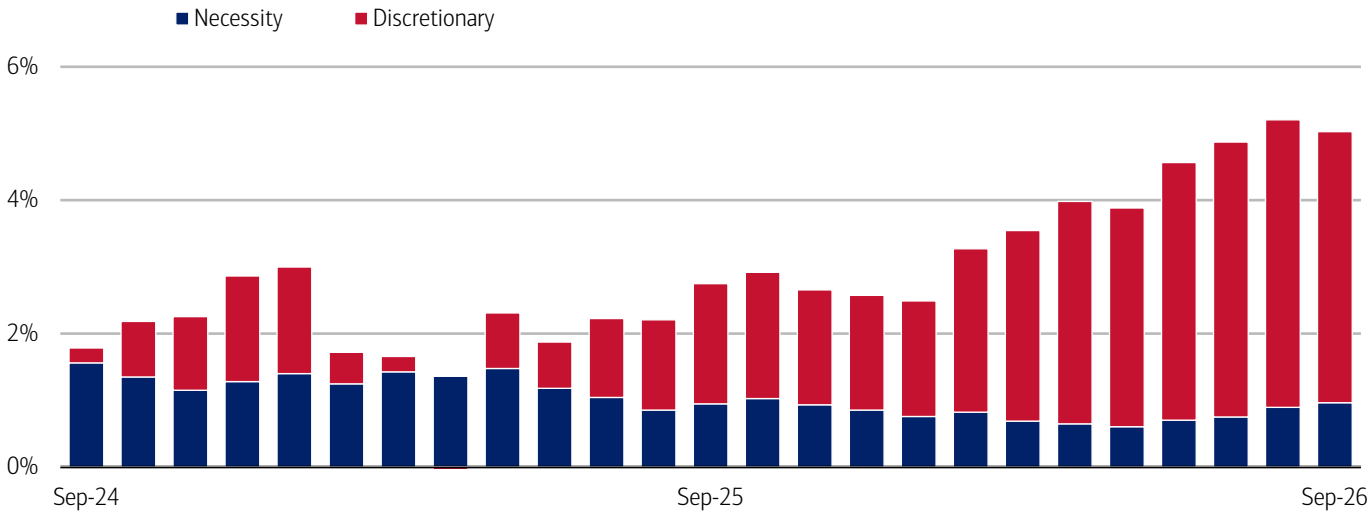
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For services, growth is driven mostly by discretionary spending

In services spending, on the other hand, the boundaries between discretionary and necessity spending are often clearer. Travel spending (e.g., airlines, lodging) can be thought of as, by and large, discretionary. At the same time, utility bills, rent and insurance payments are necessities.

And in services, discretionary spending remains the clear driver, accounting for over three-quarters of YoY spending growth in September (Exhibit 6). Leisure and housing services are major components of growth, though travel and restaurants also made positive contributions. However, as we noted last month strength in airline spending largely reflects price rises rather than transactions growth (read more in Consumer Checkpoint: Still sizzling).

Exhibit 6: Services spending growth has been mostly driven by discretionary spending over the past year
Percentage points contribution to growth by type of services spending (three-month moving average)



Source: Bank of America internal data

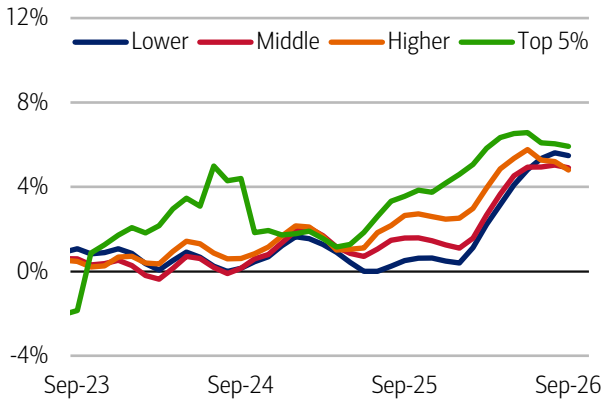
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Lower-income households' spending outpaced all but the top 5%

The breadth in spending growth across categories is also evident across income cohorts. In September, lower-income households' total card spending growth was 5.5% YoY, while the equivalent figures for middle- and higher-income households were 4.9% and 4.8% YoY, respectively. The top 5% of households by income continue to show the fastest spending growth, 5.9% in September, though this has eased somewhat (Exhibit 7).

Overall, the divergences across income cohorts are much smaller than they were in 2025 and the first three months of this year. Just focusing on spending excluding key necessities (gasoline, food and utilities) doesn't meaningfully change the picture of convergence across income cohorts (Exhibit 8).

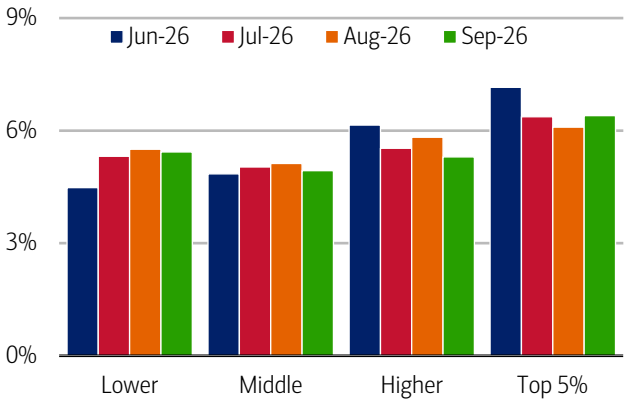
Exhibit 7: The top 5% saw the strongest spending growth of any income cohort…
Total card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Exhibit 8: …though discretionary spending for the top 5% has eased some since June
Discretionary card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)



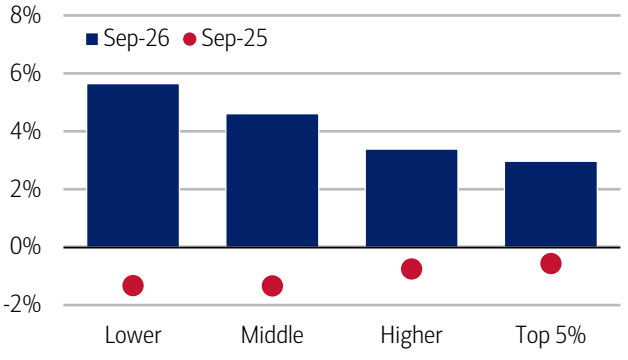
Source: Bank of America internal data

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The strength in lower- and middle-income households' discretionary spending is occurring despite necessity spending shifting from a tailwind to a headwind over the past year amid rising gas prices (Exhibit 9). In our view, a key component of why these households have been able to combine rising necessity spending with strength in discretionary is the labor market and a recovery in their after-tax wage growth (Exhibit 10).

In September, lower-income wage growth eased to 4.5% YoY from 4.7% YoY in August, while growth for middle- and higher-income households rose to 3.8% and 3.7% YoY, respectively. These changes were modest, and lower-income households are continuing to see faster after-tax wage growth than other cohorts, a notable turnaround from the "K-shaped" pattern we observed over much of 2025 and 2026.

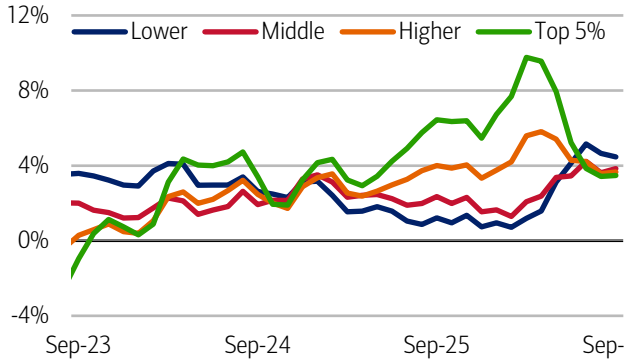
Exhibit 9: Necessity spending has gone from a tailwind to a headwind across all income cohorts
Necessity card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Exhibit 10: Lower-income wage growth remains strongest, despite a narrowing gap
After-tax wage and salary growth by household income tercile (three-month moving average, YoY%, SA)

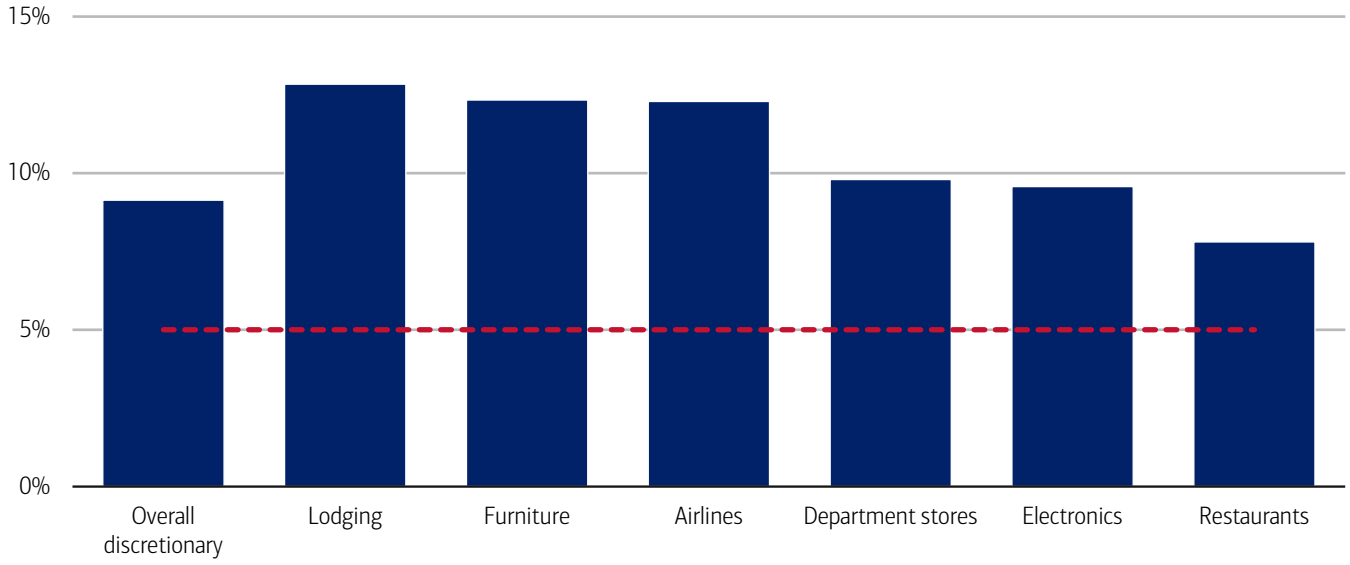


Source: Bank of America internal data

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Should we be concerned about the easing in household spending and after-tax wage growth for those with the top 5% of incomes? For now, probably not, as in our view this spending growth is likely being driven by wealth effects rather than wage gains. Absent a sharp correction in equity markets, there is little reason to expect them to retrench their spending. However, developments here are worth watching as this cohort comprises a significant proportion of overall consumer spending. They also tend to make outsized contributions to several discretionary spending categories (Exhibit 11).

Exhibit 11: The top 5% of households by income make up a disproportionate amount of spending in highly discretionary categories
Share of spending by the top 5% of households by income across select discretionary categories (three-month moving average to September 2026, %)



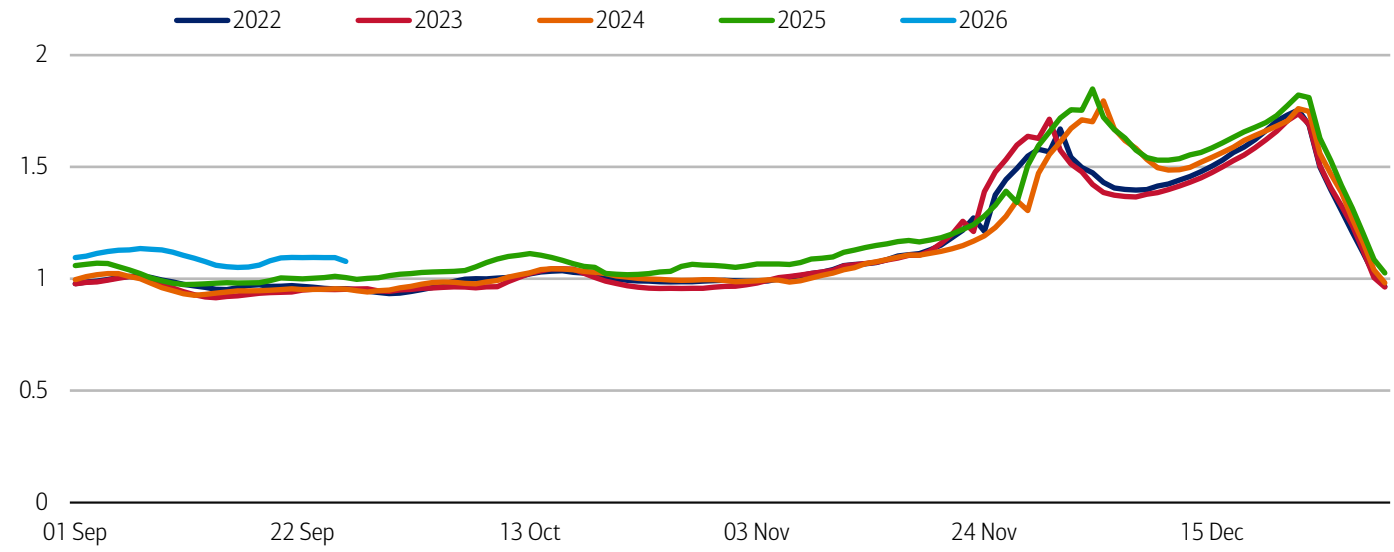
Source: Bank of America internal data

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With summer gone, thoughts turn to the holidays and BNPL...

Now that summer is over, the next big gauge of consumer momentum is how people spend during the run-up to, and over, the holiday season. It is early days, but September spending on holiday items ran well ahead of 2025 (Exhibit 12). Given the backdrop of firmer after-tax wage growth and breadth across retail and services categories, this is perhaps not surprising. However, some of this spending strength could be due to rising prices as opposed to more purchases.

Exhibit 12: It's early days, but holiday spending is strong so far this year
Card spending per household for holiday items by year (seven-day moving average, index September 2025 average = 1)



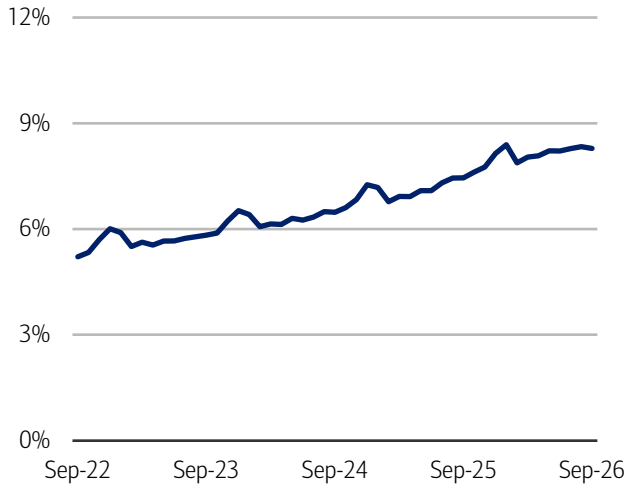
Source: Bank of America internal data
Note: Holiday items include all merchant category codes for which spending in November through December is at least 20% of total annual spending in the category.

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A concern often raised as we move into the holidays is whether consumers will lean on less traditional forms of credit such as buy now, pay later (BNPL) to finance their spending. Frequent BNPL users tend to have higher credit card utilization rates (read more in: Do consumers have wiggle room to absorb higher gas prices?).

Looking at the share of households in Bank of America deposit data with a BNPL payment, we do tend to see a seasonal rise over the holidays (Exhibit 13), though in past years, these increases have quickly reversed. Further, while the underlying trend in BNPL usage is upwards, there are no signs of a sharp acceleration. We do, however, see some evidence that BNPL is being used to finance more expensive purchases, with the share of households making repayments above $500 rising, albeit relatively slowly (Exhibit 14).

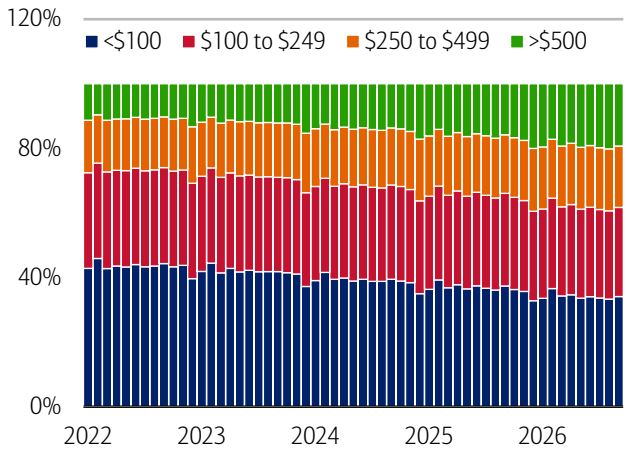
Exhibit 13: 8.3% of Bank of America households had a BNPL payment in September
Share of households with a BNPL payment in the month (monthly, %)



Source: Bank of America internal data

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Exhibit 14: Almost one in five households with BNPL usage has a repayment of over $500
Share of households with BNPL payments by repayment amount (monthly, $ amounts)

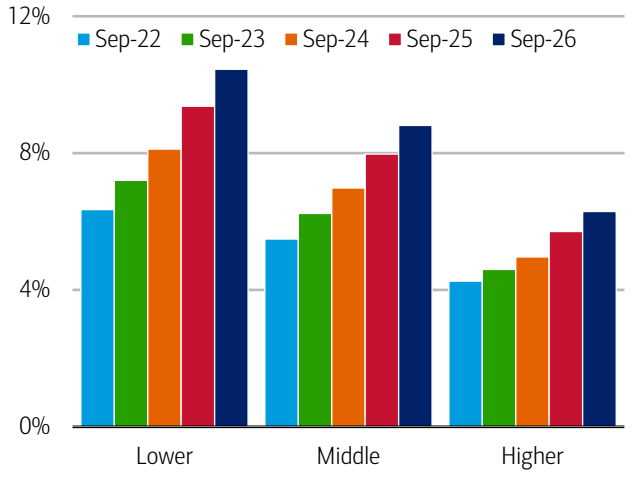


Source: Bank of America internal data

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The tendency towards greater usage is occurring across income cohorts, though is somewhat more pronounced for lower-income households (Exhibit 15). However, higher-income households have the largest share of BNPL payments above $500 (Exhibit 16). Overall, in our view, the increase in the share of BNPL users heading into the season does not appear too concerning, though the rate of usage for some BNPL consumers does bear watching.

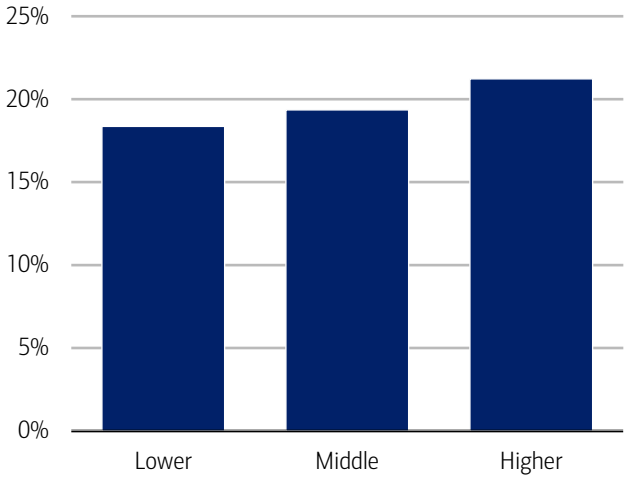
Exhibit 15: Lower-income households have seen larger adoption of BNPL...
Share of households with a BNPL payment in the month by household income tercile (monthly, %)



Source: Bank of America internal data

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Exhibit 16: ....but a larger share of higher-income households have BNPL payments over $500
Share of BNPL payments by spending amount across household income terciles (September 2026, %)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under $5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Store category aggregation for "more discretionary", "partly discretionary", and "mostly necessity" is defined as follows:

More discretionary: furniture, electronics, building materials, hobbies, miscellaneous stores, nonstore retail, clothing.

Partly discretionary: auto, health and personal care, general merchandise.

Mostly necessity: Gasoline, food and beverage.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts. The "more discretionary" retail category includes furniture, electronics, building materials, online marketplaces, clothing retailers and miscellaneous stores; while "partly discretionary" retail contains auto parts and services, health and personal care retailers, general merchandise and "mostly necessity" retail contains gas and groceries.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

The Institute Employment Report: September 2026

07 October 2026

Key takeaways

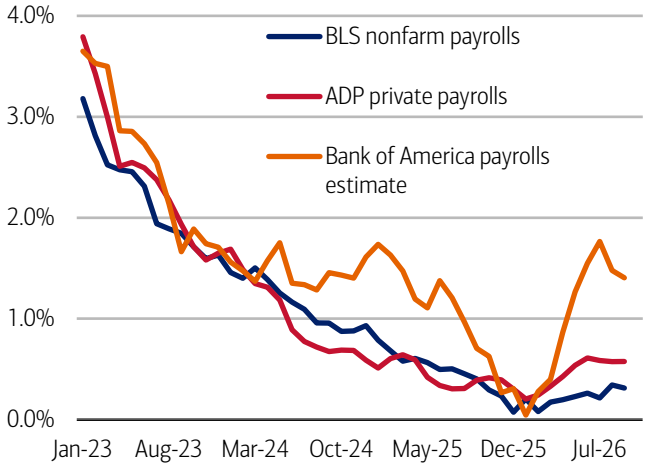
- Job growth softened further in September, according to Bank of America's deposit data, with growth of 1.4% year-over-year (YoY), from 1.5% in August. But falling unemployment payments in September indicate a relatively healthy overall picture.
- Lower-income households' wage growth remains strongest, despite a narrowing gap. After-tax wage growth eased to 4.5% YoY for lower-income households in September, while rising to 3.8% and 3.7% for middle- and higher-income households, respectively.
- Lower tax withholdings and a relative strengthening in the younger/lower-income end of the labor market are driving this story. Additionally, average hours have risen in some lower-paid industries, which is also boosting pay packets.

Job growth slowed in September, but unemployment trends are benign

Our estimate of job growth – which uses Bank of America deposit data to track changes in the number of customer accounts receiving a paycheck (see Methodology) – slowed further in September, to 1.4% year-over-year (YoY) from 1.5% YoY in August. The data can be noisy, partly due to seasonal variation and differences in pay-period timing, but in our view, the latest reading is consistent with the easing in payrolls growth seen in the September Bureau of Labor Statistics (BLS) data (Exhibit 1).

Still, despite slower hiring, there is little sign of a rise in joblessness in Bank of America data. Unemployment payments into customer accounts showed a YoY decline in September (Exhibit 2). So, overall, labor market trends appear resilient.

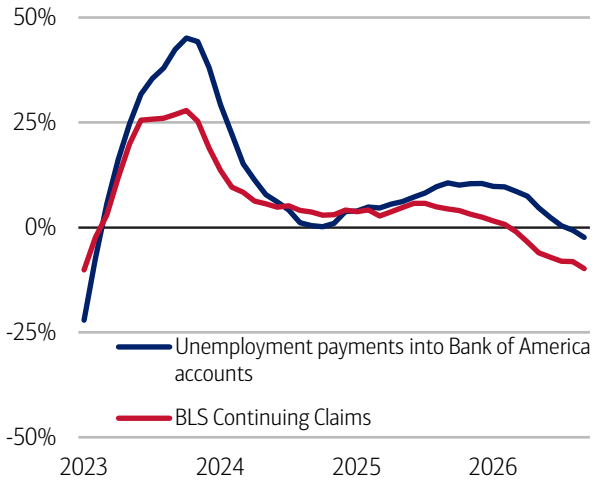
Exhibit 1: September payroll growth showed further slowing in Bank of America deposit account data
Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



Source: Bank of America internal data, Haver Analytics
Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: Unemployment payments declined YoY in September, according to Bank of America consumer deposit data
Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and BLS Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data, Bloomberg

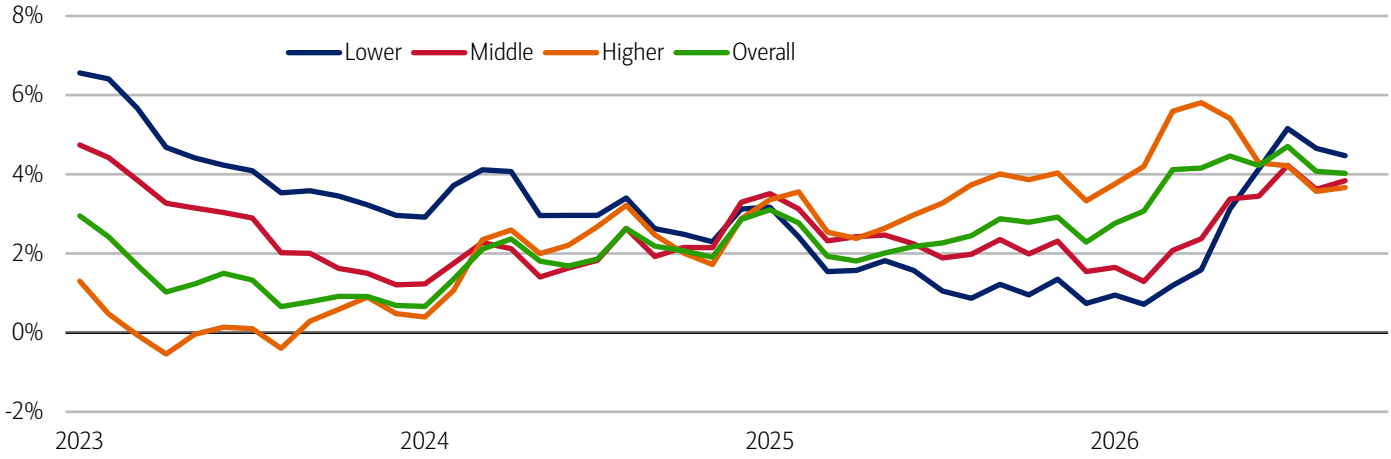
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After-tax wage growth cooled for lower-income, but rose for other cohorts

Lower-income wage growth eased to 4.5% YoY in September from 4.7% YoY in August, while wage growth for middle- and higher-income households rose to 3.8% and 3.7% YoY, respectively. Overall, these changes were modest, and lower-income households are continuing to see faster after-tax wage growth than other cohorts, a notable turnaround from the "K-shaped" pattern we observed over much of 2025 and 2026 (Exhibit 3).

Exhibit 3: Lower-income wage growth remains strongest, despite a narrowing gap

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



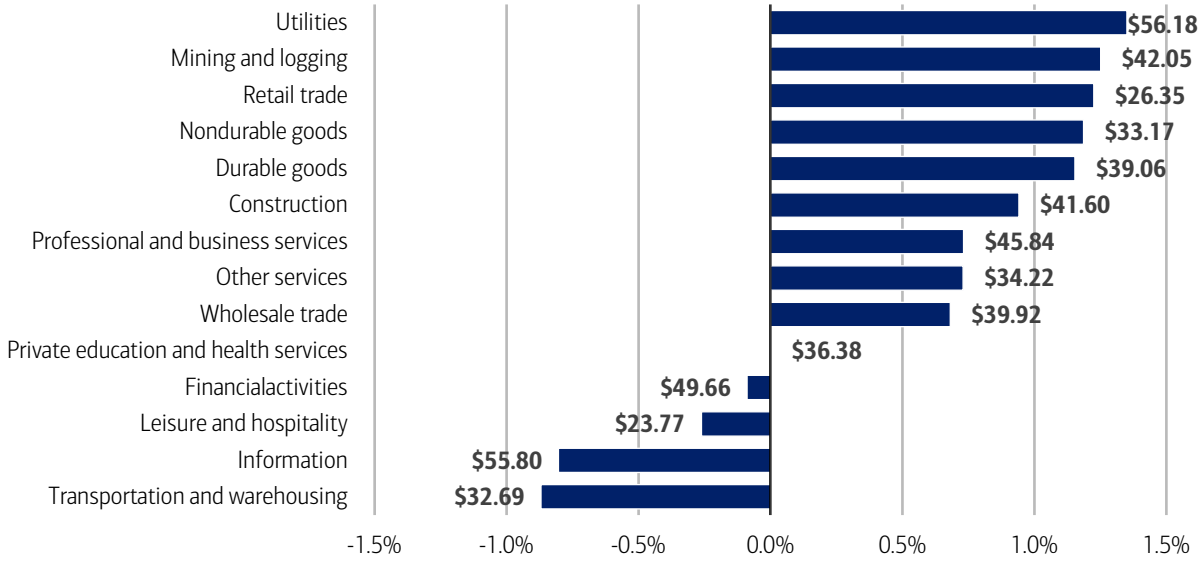
Source: Bank of America internal data

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In our view, the pick-up in lower- and middle-income households' after-tax wage growth continues to reflect the impact of the One Big Beautiful Bill Act (OBBA) in reducing tax withholdings, alongside an underlying rise in job-to-job changes at the younger/lower-income end of the labor market (for more, read: The Institute Employment Report: August 2026). Consistent with that underlying pick up, BLS data shows a solid YoY rise in average hours worked in several relatively lower-paid industries, such as manufacturing, retail and other services. Hourly workers in these industries are likely seeing rising paychecks as a result (Exhibit 4).

Exhibit 4: Some relatively lower-paid industries have seen a rise in hours worked

Average weekly hours by industry, July-September 2026 (% YoY) and average hourly earnings by industry, July-September 2026 ($)



Source: Haver Analytics

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Methodology

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Estimate of payroll growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth. Occasionally historic payments can be reclassified, leading to revisions in the series.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Entering the age of the older consumer

01 October 2026

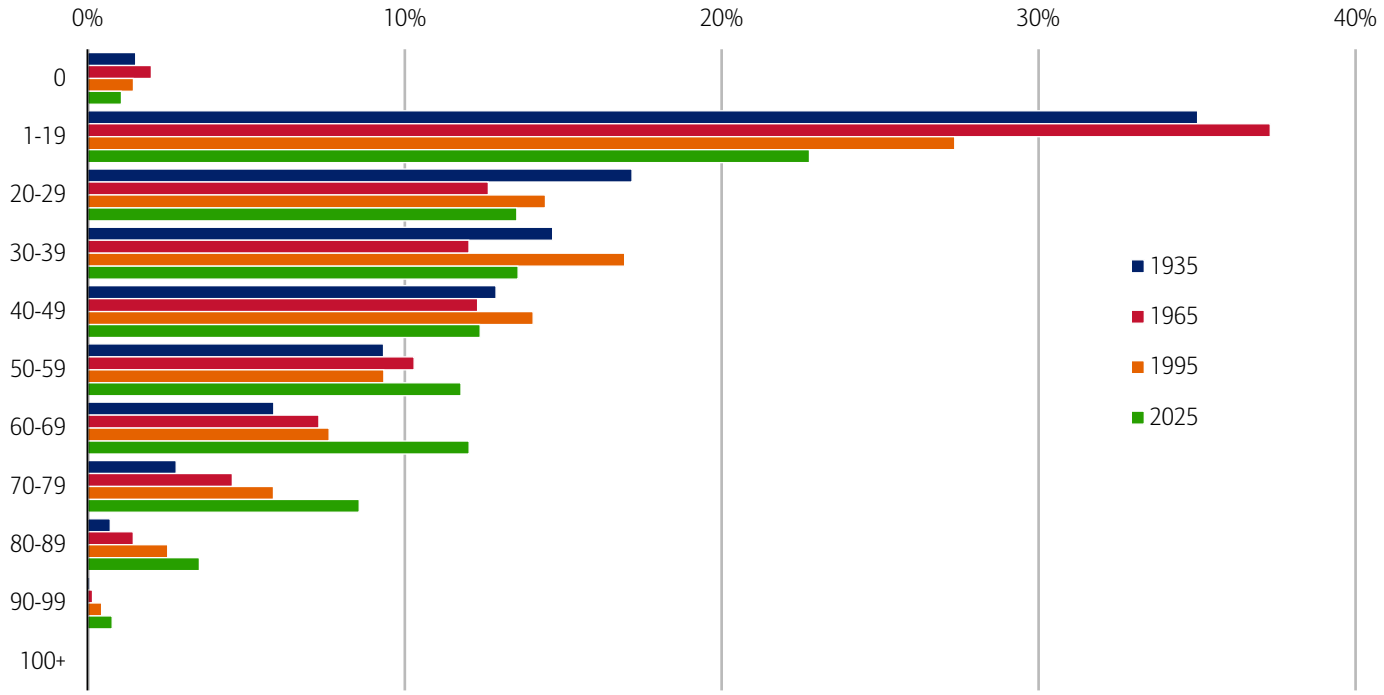
Key takeaways

- The older consumer is moving center stage. America's population has been aging for decades, but the shift has accelerated: the share aged over 60 increased by almost 10 percentage points (pp) between 1995 and 2025. And the Census Bureau projects the share of the population over 60 will rise another 5pp by 2055, to stand at nearly 30% of the population.
- More free time means a different spending mix. People aged 65 and over spend around two and a half fewer hours per day working and roughly two hours more on leisure than the overall adult population. Bank of America data shows that older households allocate relatively more of their card spending to groceries and travel, and less to restaurants, gasoline, general merchandise and clothing.
- Households aged over 55 held close to $140 trillion in net worth in the second quarter of 2026, giving many older consumers considerable capacity to spend on travel and other leisure categories. But wealth is not evenly distributed, and healthcare and other cost pressures remain significant for older households on tighter or fixed incomes.

Population aging is nothing new, but it is accelerating

The US population has been growing relatively "older" for a long time. Exhibit 1 shows that the proportion of the population under 20 years old shrank from the mid-1960s through 2025. At the same time, the proportion of the population in older age groups has been rising.

Exhibit 1: Over time the US population has steadily aged
Proportion of US population by age range (%)



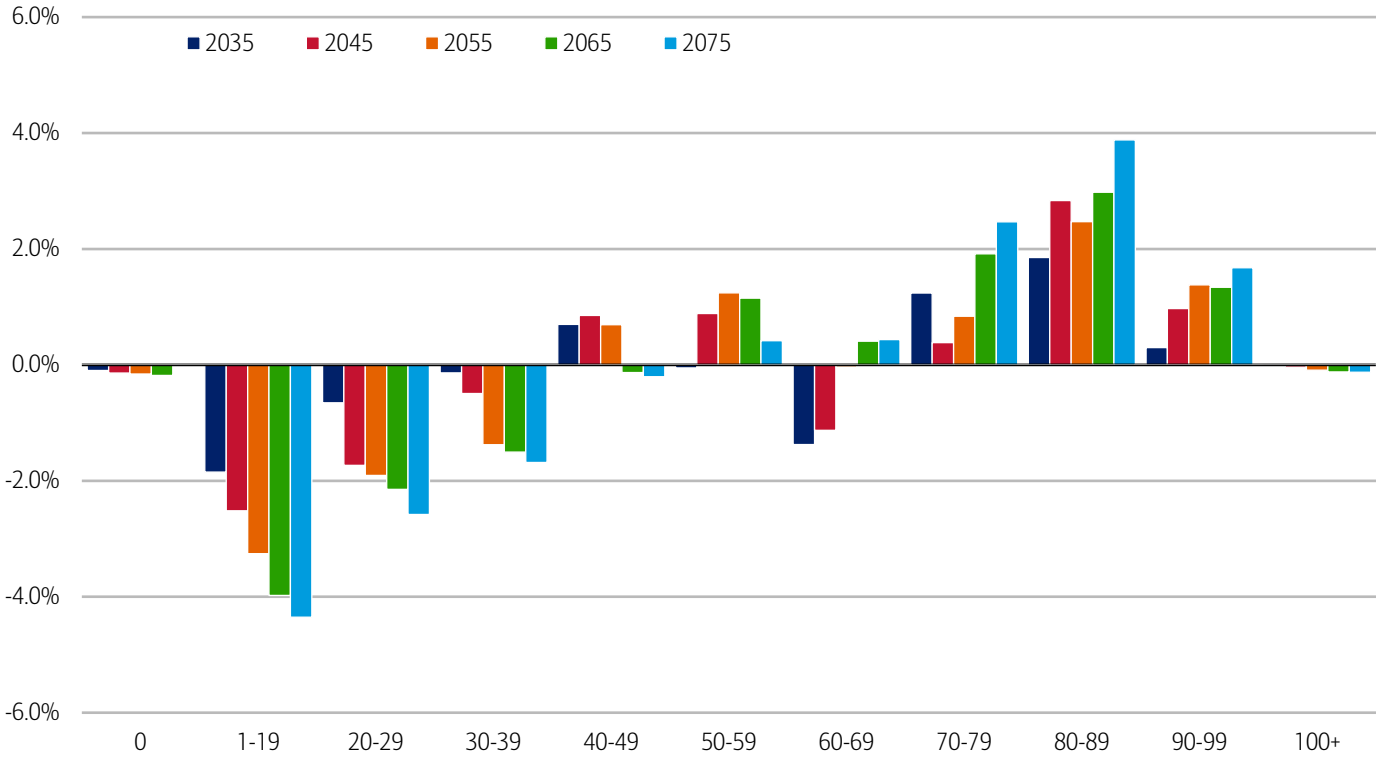
Source: Human Mortality Database; Bank of America Institute calculations

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Additionally, there has been a notable acceleration in the relative aging of the population in recent years. For example, between 1995 and 2025, the proportion of the population aged over 60 rose by almost 10 percentage points (pp) to 25%.

Several factors have driven this. First, fertility rates in the US, as in much of the world, have fallen sharply. This has slowed natural population growth and, by reducing the number of younger people relative to older cohorts, has increased the share of the population at older ages. Second, more recently, net inward migration to the US has slowed. Because migrants tend to be younger than the overall population, weaker immigration also tends to raise the average age. Finally, rising life expectancy over much of the post-war period has allowed more people to survive into older age, further increasing the older population's share.

Exhibit 2: The trend towards an older composition of the population is expected to continue
Forecast changes in the share of population by age group relative to 2025 (pp)



Source: United States Census Bureau

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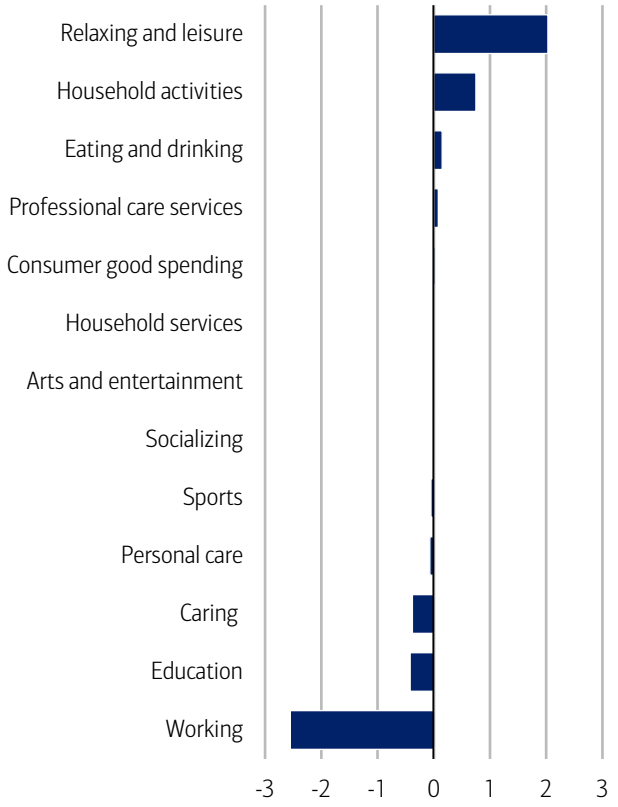
Lower fertility and, more recently, weaker net migration look set to slow overall US population growth in the decades ahead. As a result, older Americans are likely to play an increasingly important role in the economy, both as a share of the population and, in many age groups, in absolute numbers. The Census Bureau projects the share of the population over 60 will rise another 5pp by 2055, to stand at nearly 30% of the population (Exhibit 2). For businesses, understanding how the needs and spending patterns of older consumers differ from those of younger generations will therefore become increasingly relevant.

Older age groups allocate their time differently

Why does this matter? One reason is that older people tend to spend their time and money quite differently from younger adults. Most obviously, many work less or have retired altogether. Data from the American Time Use Survey (ATUS) shows that people aged 65 and over spend, on average, around two and a half fewer hours per day working than the population aged 15+ (Exhibit 3).

That leaves considerably more time for other activities. People aged 65 and over spend around two hours more per day on leisure and sports activities, with television viewing accounting for a particularly large share of this additional leisure time (Exhibit 4).

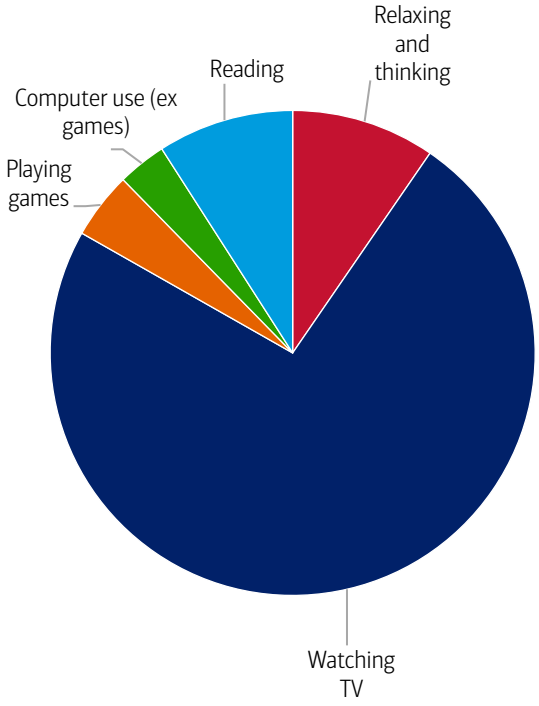
Exhibit 3: Older people spend less time working and more time relaxing
Difference between time spent on activities for those aged over 65 years old compared to all aged over 15 years old (hours)



Source: Haver Analytics (American Time Use Survey)

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Exhibit 4: Watching television is by far the largest relaxation activity
Breakdown of hours spent on selected relaxation and leisure activities for those aged over 65 (hours)



Source: Haver Analytics (American Time Use Survey)

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Older households also spend differently

Bank of America internal data on credit and debit card spending provides insights into how these differences in older generations' use of time also impact their spending. Rather than splitting our spending data by generation, as we often do, here we split by age bands, allowing for consistent comparisons over time.

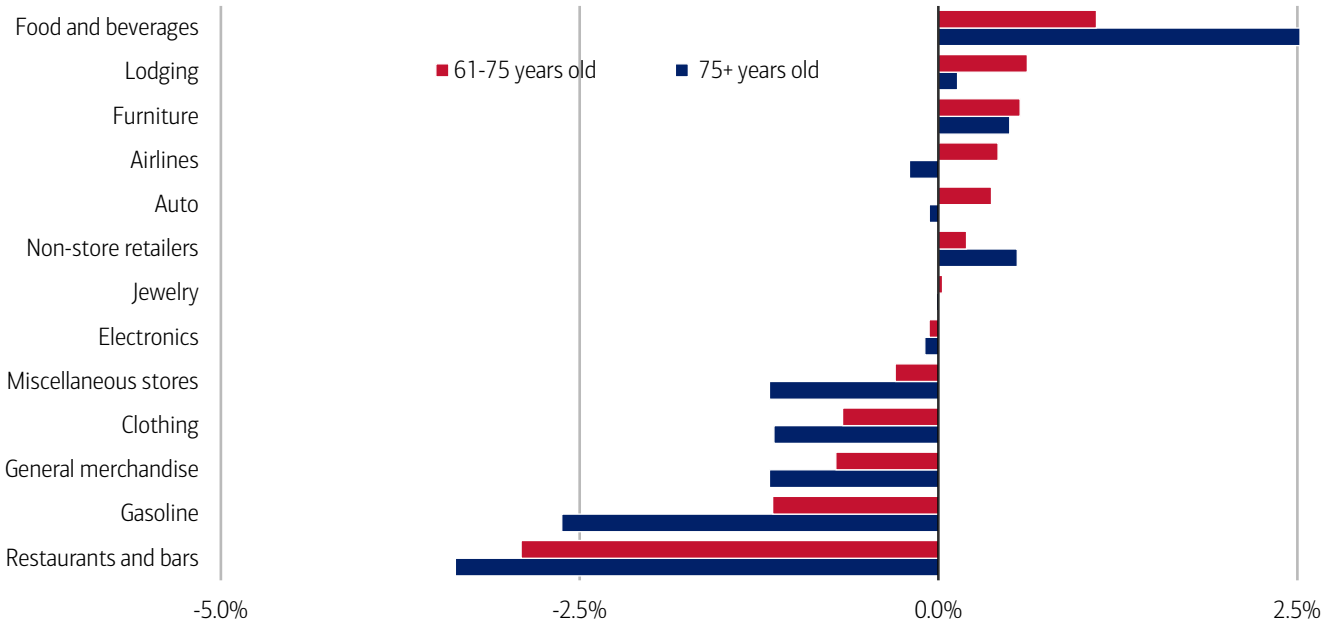
Exhibit 5 shows how the composition of card spending of households aged 61-75 and those older than 75 differs from that of all households. A few things stand out. For one, older households devote a greater share of their overall card spending to groceries (food and beverages). Households aged 61-75 also allocate more spending to travel (airlines and lodging). And restaurants and bars, gasoline, general merchandise and clothing account for a smaller share of older households' card spending.

These differences may seem fairly intuitive. Older households have more leisure hours, so spend relatively more on travel to enjoy them. Previously we found that more available time may support travel particularly around retirement, although the discretionary spending lift can be temporary (for more, read our publication: Paychecks to pensions: The evolution of retiree spending).

Older households are also likely to have less need to update their work wardrobes, so they probably spend less on clothing.

Exhibit 5: Older households allocate more of their card spending to groceries and travel, but less to eating out, gasoline, general merchandise and clothing

Difference in the share of total card spending by households aged 61-75 and 75+ relative to overall households' spending share, by category (January-July 2026, pp)



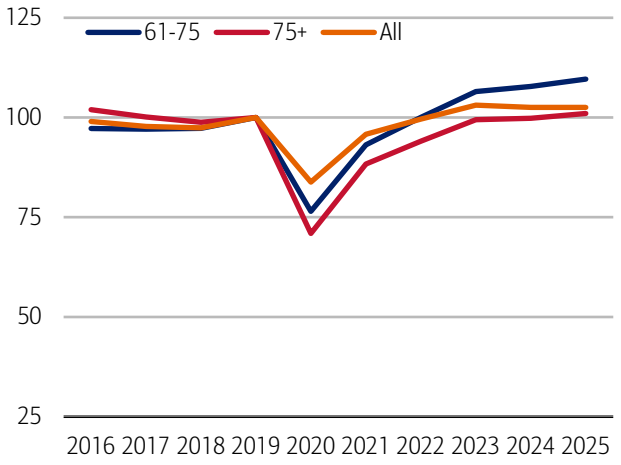
Source: Bank of America internal data

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Still, older households' relatively lower spending on restaurants and bars is a little more curious, perhaps, given dining out could be one way of making use of more leisure time. Indeed, when we look at how these spending shares are evolving, we find a nuanced picture. While households aged 61-75 do spend relatively less on restaurants and bars than the overall population, they appear to be narrowing this gap. But for those older than 75 this is not the case. In our view, the pandemic may still be weighing on dining-out spending among this older age group (Exhibit 6).

Exhibit 6: For restaurants and bars the story is mixed across older cohorts…

Share of households' total card spending on restaurants and bars (annual averages 2016-2025, index 2019 = 100)

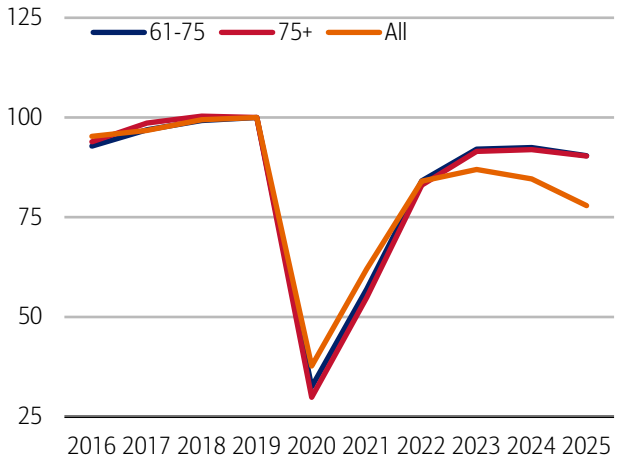


Source: Bank of America internal data

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Exhibit 7: …but they are increasing their spending share relative to the overall population in airlines

Share of households' total card spending on airlines (annual averages 2016-2025, index 2019 = 100)



Source: Bank of America internal data

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Interestingly, however, the airline spending share of both older groups has recovered more strongly since the pandemic than that of all households, although it remains below its 2019 level (Exhibit 7).

Aging presents opportunities, but also challenges

In our view, the aging of the US population presents important opportunities for the economy and businesses. Older consumers have more leisure time and businesses that cater to these demands may therefore benefit.

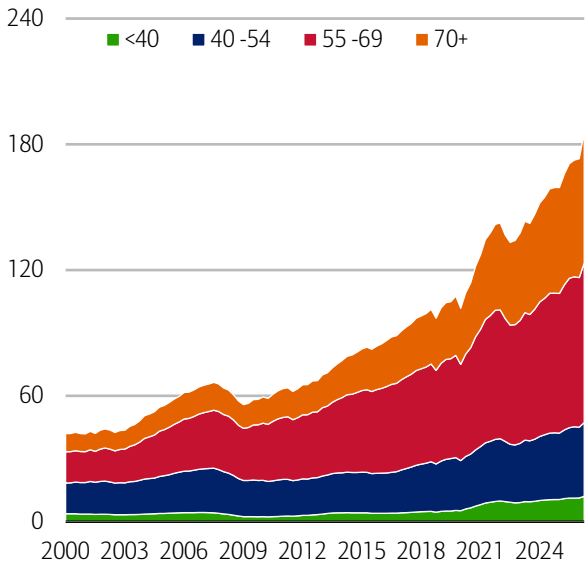
Moreover, some older consumers hold considerable amounts of net wealth and have been some of the biggest beneficiaries of recent rises in equities. Using data from the Federal Reserve, Exhibit 8 shows that as of the second quarter of 2026 the net worth of those households aged 55 and over was close to $140 trillion, around three-quarters of the total. And with equity markets rising strongly, these age groups have seen a more than 20% increase in their net worth over the past two years, potentially enhancing their spending power further.

But an important caveat is that not all older consumers are in this position. Previous Institute work found evidence consistent with equity-market wealth effects being concentrated toward higher-income households (read our publication: Paychecks to pensions: The evolution of retiree spending). And Census Bureau research has found that around 14% of Social Security recipients aged over 65 rely on it for over 90% of their income. For older households without a wealth cushion, recent elevated cost pressures, like gasoline, will likely have put them under more significant financial strain. They will also be more dependent on cost-of-living (COLA) increases in Social Security to underpin their spending.

And, more broadly, outside of card spending, healthcare costs are a much larger factor in older households' budgets (Exhibit 9). The evolution of these costs going forward will be a key variable for older consumers' budgets.

Exhibit 8: A large and growing proportion of net worth is held by older cohorts

Distribution of household wealth by age ($, trillions)

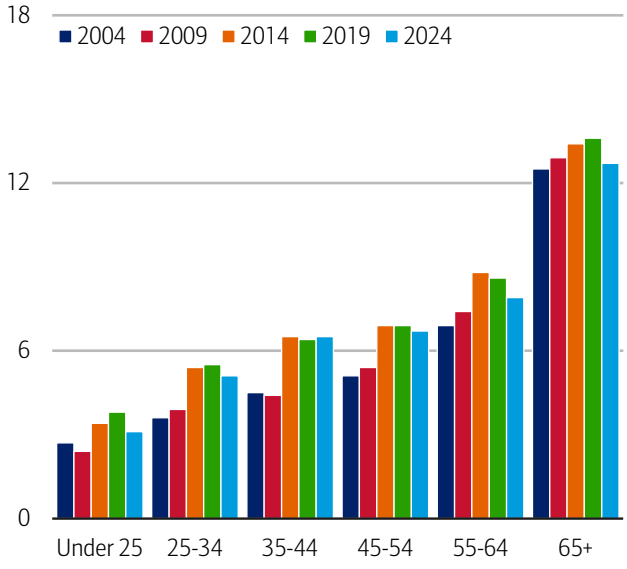


Source: Board of Governors of the Federal Reserve System

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Exhibit 9: Healthcare is a significant cost for older households

Healthcare spending as a percentage of overall household expenditure by age groups (%)



Source: Bureau of Labor Statistics (BLS)

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under $5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

Business Checkpoint: Bigger and better

24 September 2026

Key takeaways

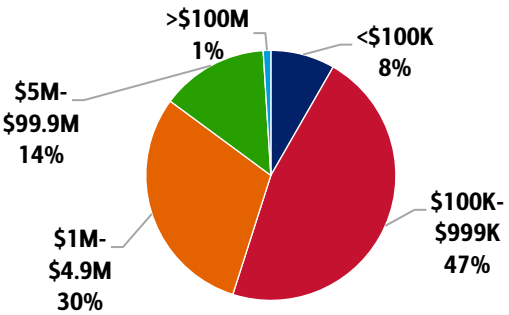
- Bank of America Institute's Business Checkpoint is a new evolution of our Small Business Checkpoint, broadening the data set from firms with <$5M in annual revenue to those with <$50M. Not only does this increase the number of businesses in our dataset, but mid-sized firms generate more than double the share of revenue of smaller firms, according to Census Bureau data.
- Since May, small business profitability growth has exceeded that of mid-sized firms, with hiring-related payments also improving, while mid-sized firms have shown more modest gains across both measures in August, according to Bank of America business account data.
- Meanwhile, payroll growth in August has strengthened among mid-sized firms despite weaker employment gains, while both small and mid-sized businesses have exhibited accelerated AI-related spending growth, suggesting firms are adapting to the current environment in different ways depending on their size.

Business Checkpoint is a new, regular publication from Bank of America Institute. It provides a real-time view of the financial health, opportunities and challenges facing small and mid-sized businesses across the US economy, leveraging the depth and breadth of Bank of America's proprietary data. By analyzing activity among both small and mid-sized firms, Business Checkpoint offers timely insights into business profitability, hiring, investment and spending trends. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial condition or performance of Bank of America.

Not just small anymore: Expanding the data pool

Business Checkpoint is designed to provide a broader view of the forces shaping business performance in the US economy. While our previous Small Business Checkpoint focused on firms with less than $5 million in annual revenue (i.e. small firms), this expanded analysis also incorporates firms with annual revenues between $5 million and $50 million (i.e. mid-sized). Together, these businesses offer a more complete picture of profitability, hiring and investment trends across Main Street.

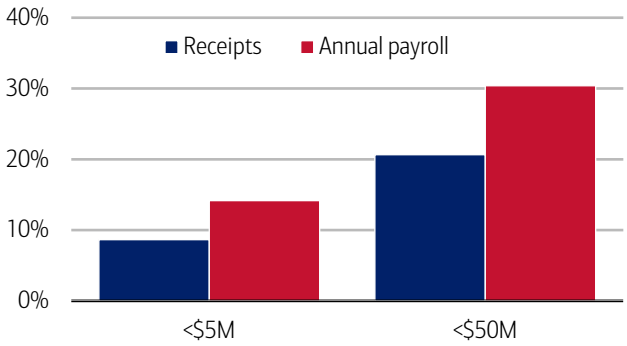
Exhibit 1: Around 15% of establishments generate >$5M in annual operating revenue
Share of establishments that operated for an entire year by annual operating revenue (%)



Source: Census Bureau

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Exhibit 2: More than 20% of annual receipts come from those enterprises with <$50M in annual revenue
Share of receipts and annual payroll by enterprise size (% of total, 2022)



Source: Census Bureau
Note: Gross receipts are the total amounts the organization received from all sources during its annual accounting period, without subtracting any costs or expenses.

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Census Bureau data shows that while very small firms remain numerous, a significant share of establishments generate annual revenues above $5 million (Exhibit 1). While mid-size firms account for a smaller share of business establishments than small firms, they often serve as a bridge between local businesses and large corporations and more than 20% of receipts come from

those enterprises with <$50M in annual revenue, according to Census Bureau data (Exhibit 2). This is more than twice as much as those with <$5M.

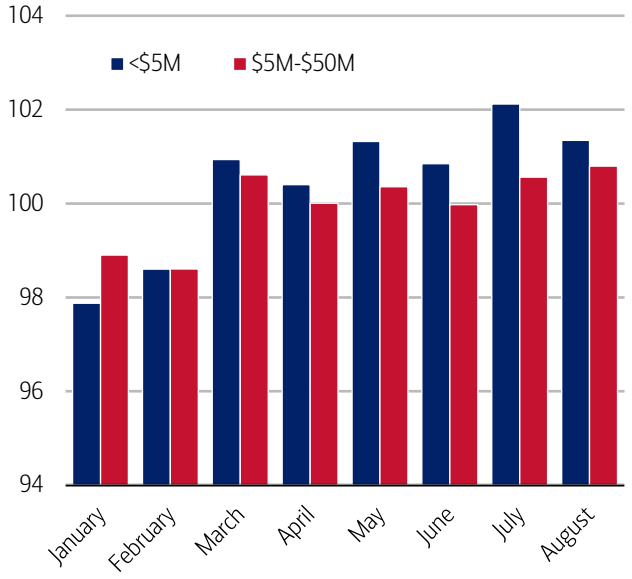
Does more revenue mean higher profits?

A recent defining trend for small firms has been the recovery in profitability growth over the summer following a period in which firms faced a succession of pressures, including weather-related disruptions and tariffs (read more on this in the April Small Business Checkpoint). Does this trend apply to larger companies?

Using Bank of America business account data, the profitability ratio for both firm sizes was above their 2025 average in August (Exhibit 3). For mid-sized firms, we find profitability growth has also improved in the last few months but remained below small firms' growth in August (Exhibit 4).

The reversal is notable because small businesses spent much of the past year under greater pressure, and their recent outperformance suggests some of the most acute headwinds facing smaller firms may be beginning to ease. Although, actual sales worsened in August, according to the September National Federation of Independent Business (NFIB) report. This was down from July and the lowest reading since November 2025.

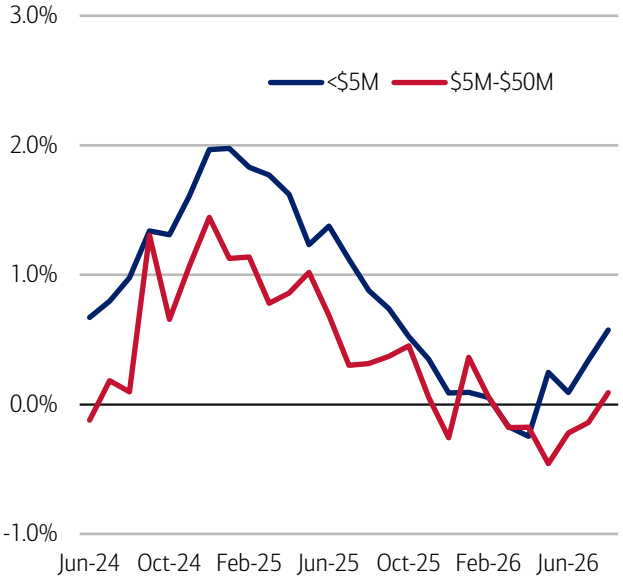
Exhibit 3: In August, the profitability ratios for both revenue tiers of businesses were above the 2025 average
Inflow-to-outflow ratio by annual revenue (monthly, three-month moving average, indexed, 2025 average = 100)



Source: Bank of America internal data

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Exhibit 4: Small business profitability growth continued to outpace mid-sized business profitability growth in August
Inflow-to-outflow ratio by annual revenue (monthly, six-month moving average, year-over-year (YoY)%)



Source: Bank of America internal data

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Tariff refunds may offset only part of rising cost pressures

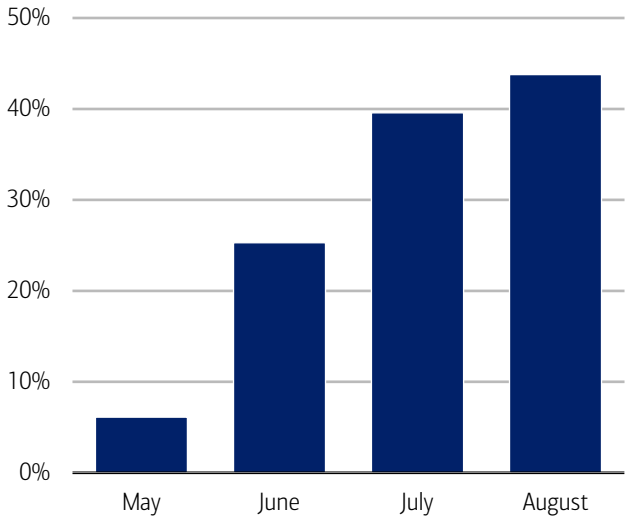
One tailwind for firms' cash buffers is the ongoing tariff refund dispersal. According to Bank of America account data, around 44% of estimated IEEPA-related (International Emergency Economic Powers Act) tariff payment amounts have been refunded to firms with <$50M in annual revenue as of August (Exhibit 5). This is up from around 5% in May, suggesting tariff refunds are reaching firms relatively quickly and potentially providing a near-term boost to cash buffers for some businesses.

However, these refunds may provide only temporary relief if input costs continue to rise faster than revenues. The August Producer Price Index (PPI) data indicated that producer prices are increasing faster year-over-year (YoY) than consumer prices, suggesting firms remain exposed to ongoing margin pressure.

The divergence is especially evident in energy-related inputs, with diesel prices up nearly 80% YoY in August (Exhibit 6). As a result, firms within agriculture, transportation or construction may face prolonged cost pressures (read more on rising fuel costs impacting small business margins in the June Small Business Checkpoint).

Exhibit 5: Around 44% of estimated IEEPA-related tariff payment amounts have been refunded to firms with <$50M in annual revenue as of August

Share of IEEPA-related tariff* payments refunded for firms with <$50M in annual revenue (%, monthly)



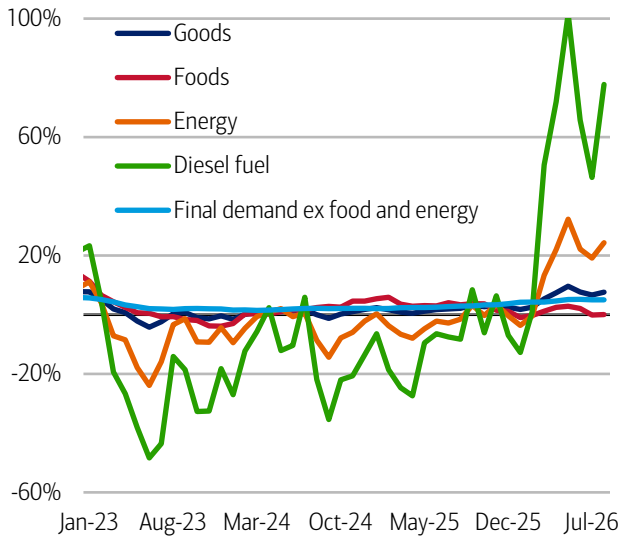
Source: Bank of America internal data

Note: IEEPA-related tariffs are proxied by identifying tariff payments to Customs and Border Protection during the April 2025-February 2026 time period minus the previous 12-month rolling average.

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Exhibit 6: Diesel costs within the Producer Price Index were up nearly 80% YoY in August

Final demand PPI (monthly, YoY%, seasonally adjusted)



Source: Haver Analytics

Note: Final demand ex (excluding) food and energy is overall final demand PPI excluding those categories.

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The labor market looks to be broadening

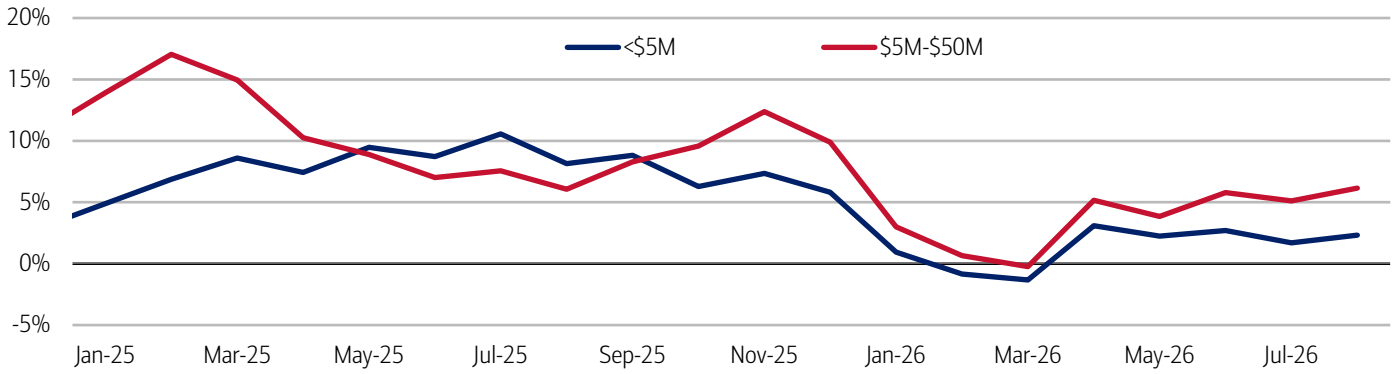
Business profitability and hiring often move together, but not always at the same pace. As firms navigate slower growth and elevated operating costs, both official employment data and Bank of America payment flows offer insight into whether firms are expanding their workforce, maintaining staffing levels, or becoming more cautious about future hiring.

Bank of America payroll payments per business client show a significant improvement at these firms compared with a year ago, with small business payroll growth still positive but not as strong (Exhibit 7). Yet, according to Automated Data Processing (ADP), firms with 50-499 employees have lagged with adding headcount over the course of this year compared to last.

If these firms have added fewer jobs, why has their payroll growth accelerated? There are a few reasons for this, as payroll growth reflects more than headcount. For one, payroll growth could reflect providing larger raises to existing workers, rather than adding workers. This could also be why Bank of America internal deposit data shows workers across the income spectrum, especially in lower-income households, have seen notable wage growth recently (read more on this in the August Institute Employment Report).

Exhibit 7: Mid-sized businesses' payroll growth was up 6.2% YoY compared to small firms' growth of 2.3% YoY

Payroll growth per business client by annual revenue (YoY%, three-month moving average, monthly)



Source: Bank of America internal data

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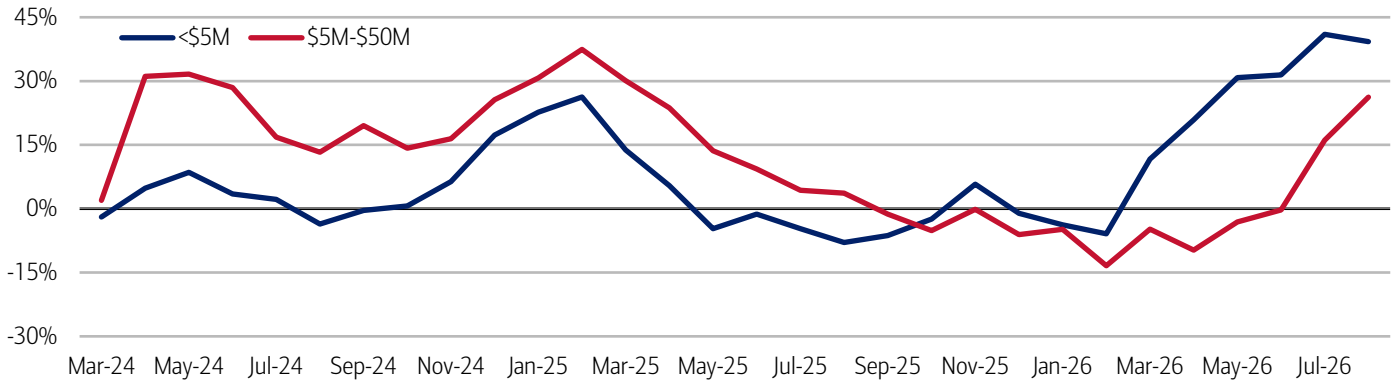
Small businesses outpace mid-sized firms' hiring momentum

A firm could keep employment unchanged, increase overtime or raise average weekly hours and still generate faster payroll growth (read more on weekly-paid workers' wage gains from job switching in September's Switching 9 to 5s). This often happens when firms are uncertain about demand and, instead of hiring new workers, they ask existing workers to work more.

In fact, looking at Bank of America business payments to hiring firms, small business hiring activity has improved in recent months, while hiring-related payments among mid-sized firms just recently started to improve in July (Exhibit 8).

According to the most recent NFIB survey, concerns about labor quality and availability and labor costs eased in August, with the share of owners citing labor costs as their single most important problem falling to its lowest level since March 2021.

Exhibit 8: Small business payments to hiring firms have accelerated since March 2026, whereas mid-sized picked up in the last two months
Business payments to hiring firms per client by annual revenue (YoY%, monthly, three-month moving average)



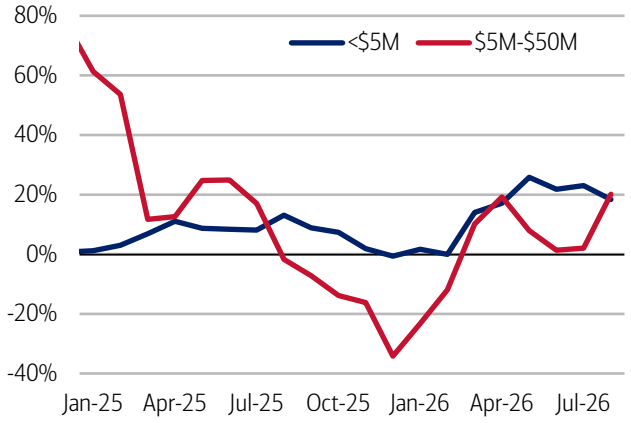
Source: Bank of America internal data

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AI-related spending growth is ramping up across firms

In addition to ramping up hiring, AI-related spending growth (see Methodology) among mid-sized firms has recently exceeded that of small businesses – 20.1% YoY compared to 18.4% YoY in August – suggesting firms may be moving quickly this year to adopt productivity-enhancing technologies (Exhibit 9). For businesses operating with lean staffing models and facing continued cost pressures, AI tools may provide a relatively inexpensive way to automate routines, expand capabilities and support growth.

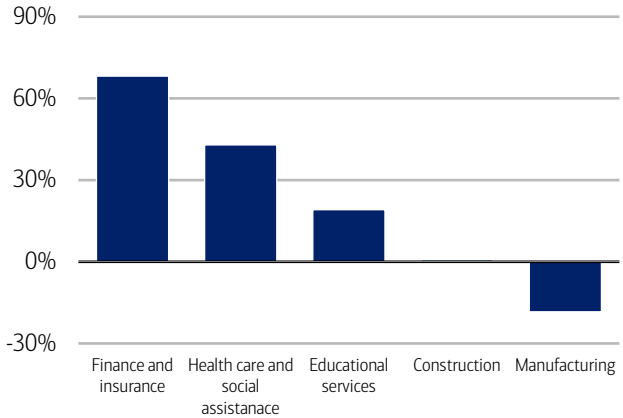
Exhibit 9: Both small and mid-sized businesses' Ai-related spending growth was around 20% YoY in August
AI-related spending per business client by business size (YoY%, monthly, three-month moving average)



Source: Bank of America internal data
Note: AI-related spending is comprised of both AI companies and technology firms with AI capabilities.

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Exhibit 10: Among mid-sized firms, finance and insurance as well as health and education services have seen the strongest AI-related spending growth
AI-related spending growth per mid-sized client by industry in August (YoY%, three-month moving average)



Source: Bank of America internal data
Note: AI-related spending is comprised of both AI companies and technology firms with AI capabilities.

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Importantly, rising AI-related spending has coincided with improving hiring activity among both small and mid-sized firms. The combination of stronger AI-related spending and improving hiring activity suggests these technologies may be complementing,

rather than replacing, labor (read more on AI's near-term impact in May's Adaptability is the new job security: AI and the future of work).

Previously, Bank of America data showed this kind of spending growth was strongest among small firms operating in the retail space (read more on this in the March Small Business Checkpoint). Interestingly, among mid-sized firms, the strongest adoption appears concentrated in service-oriented industries where administrative work, analysis, documentation and communication are common tasks where AI tools can augment productivity and help employees complete work more efficiently (Exhibit 10).

Higher rates may test business borrowing

Spending on AI has become a fast-growing component of small business capital expenditure (capex), and Bank of America data has recently pointed to stronger lending activity among small firms (read more on this in the July Small Business Checkpoint).

Plus, in the September NFIB survey, the net share of owners expecting easier credit conditions rose two percentage points to negative 2% - the highest reading since December 2024. Similarly, the July 2026 Senior Loan Officer Opinion Survey indicated that demand for commercial and industrial (C&I) loans was largely unchanged, suggesting firms remain willing to borrow despite an uncertain economic backdrop.

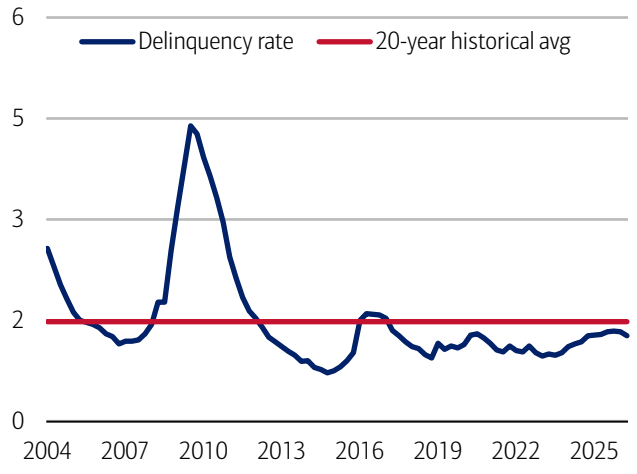
However, there are also signs that small business debt pressure may be beginning to build. Average small business credit card balances were up more than 11% above their 2024 average in August, while utilization rates were up just 2%, suggesting a greater share of firms may be carrying balances from month-to-month (Exhibit 12). Consistent with this view, the share of Bank of America small business credit card clients making only the minimum payment each month has also risen this year, mirroring a similar trend among consumers (read more on this in the August Consumer Checkpoint).

Delinquency rates remain below 20-year historical average

With the Fed raising interest rates, what does this mean for businesses? Historically, Fed rate hikes have been a headwind for small business borrowing because higher interest rates raise financing costs and tend to weigh on both the supply and demand for credit. Mid-sized businesses would likely continue to face this headwind as well, in our view.

The silver lining is that delinquency rates on C&I loans remained below their 20-year historical average and declined slightly in the second quarter of 2026 (Exhibit 11). This suggests firms generally remain in a position to absorb higher borrowing costs, though a higher-rate environment could weigh on future investment, hiring and capex plans.

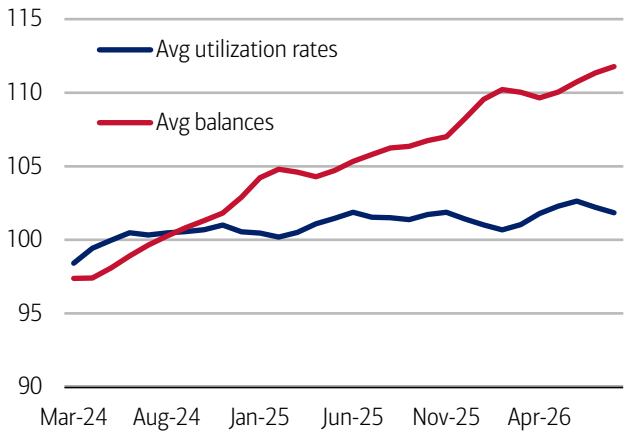
Exhibit 11: In the second quarter of 2026, delinquency rates for C&I loans ticked down slightly relative to the start of the year
C&I loans delinquency rate (%, quarterly, seasonally adjusted)



Source: Haver Analytics

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Exhibit 12: Average small business credit card balances were up more than 11% above their 2024 average in August, while utilization rates were up just 2%
Bank of America small business credit card averages (monthly, indexed, 2024 average = 100, three-month moving average)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any **Business** payments data represents aggregate spend from Small Business and/or Business Banking clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Business client data represents activity spending from active Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and are generally defined as under $5mm in annual sales revenue. Mid-sized businesses in this report include business clients within Bank of America and are generally defined as $5mm-$50mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

Revenue tiers are determined by the combination of following factors: 1) stated revenue on small businesses credit applications, 2) actual account inflow into Bank of America Deposit Accounts, and 3) third party revenue estimation.

The alternative hiring indicator consists of payments from Bank of America business clients to business-focused hiring firms which include both direct deposits through Automated Clearing House (ACH) and payments via credit and debit cards.

AI-related spending is comprised of both AI companies and technology firms with AI capabilities. These are identified from merchant names and MCC codes.

Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

The hobby economy and the price of fun

23 September 2026

Key takeaways

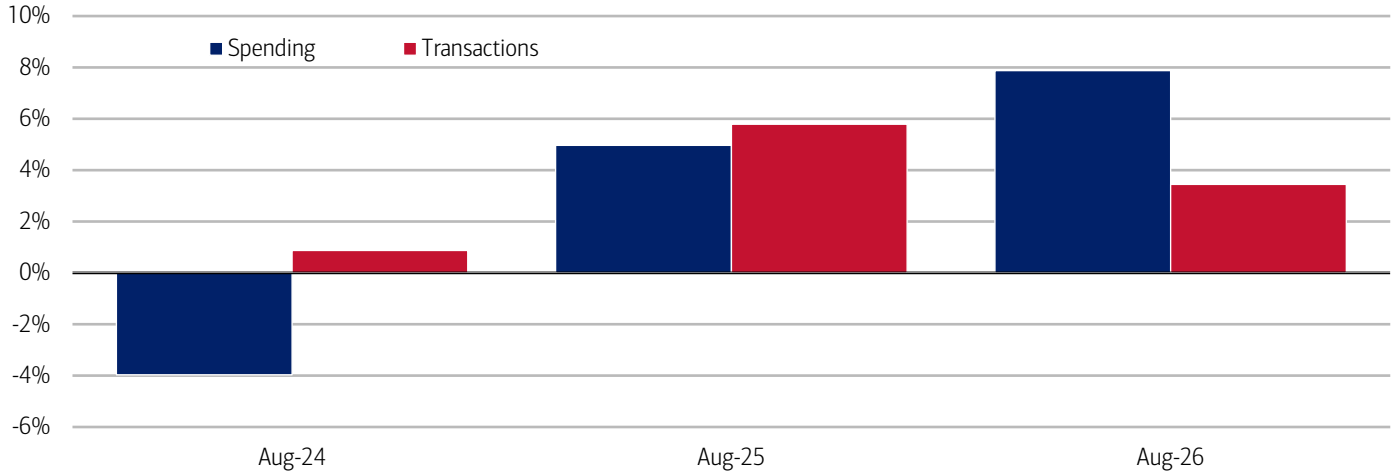
- Consumers are spending more on hobbies. Hobby spending rose 7.9% year-over-year (YoY) in August, but this was more than double the pace of transaction growth, suggesting the reemergence of "funflation" in hobbies, according to Bank of America card data.
- Older Millennials are the biggest hobby spenders, according to Bank of America card data, despite having the least amount of leisure time of any generation. They also have the highest share of the population with hobby spending, though this likely reflects both personal interests and spending on their kids.
- Gen Z's hobby habits are evolving. While hobby purchases have slowed sharply, younger consumers continue to devote significant leisure time to gaming, with over a quarter of Gen Z having some type of online or video game spending, according to Bank of America card data.

Spending grows over twice as fast as transactions in August

Bank of America card data suggests we're seeing some "funflation" (the rising price of fun) in hobbies – defined here as arts and crafts stores, hobby shops and outdoor recreation service providers and retailers that specialize in activities like hiking, camping, skiing and scuba diving (see Methodology).

Using our definition, spending on hobbies grew 7.9% year-over-year (YoY) in August 2026. This was over twice as fast as transaction growth, which was up a solid 3.4% YoY (Exhibit 1). This is the opposite of last August, when transactions outpaced spending by nearly a percentage point. It's also a stark contrast from 2023, when spending fell nearly 4% YoY and transactions were up almost 1%.

Exhibit 1: Spending grew at twice the rate of transactions in August 2026
Spending and transaction growth per household on hobbies (three-month moving average, YoY%)



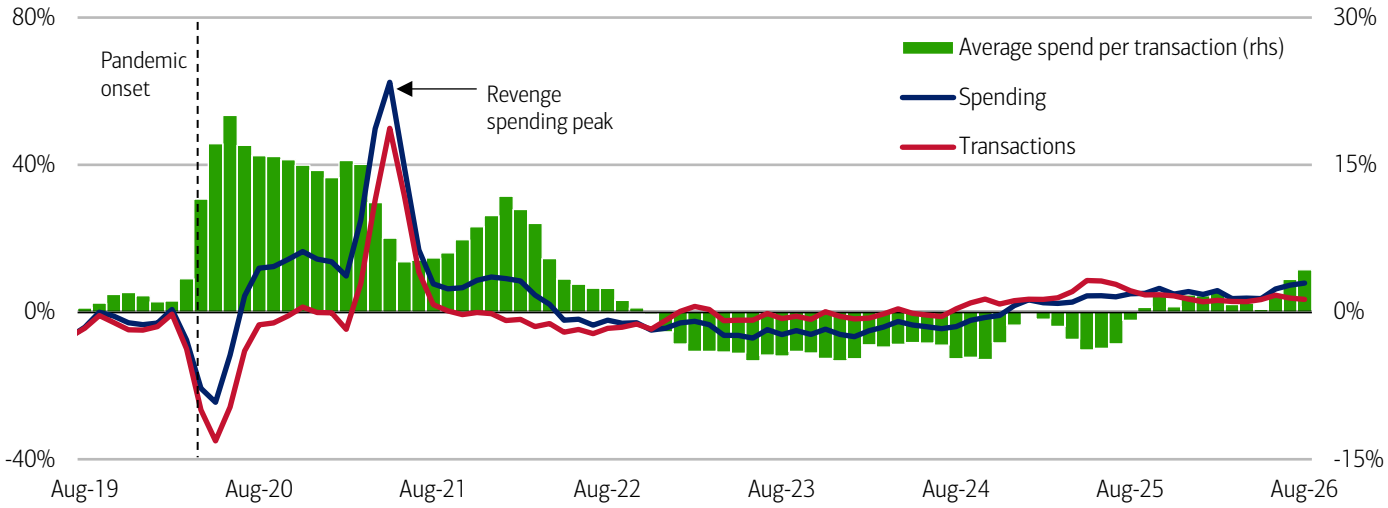
Source: Bank of America internal data

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Looking across a longer period, we see that spending growth also outpaced that of transactions throughout the pandemic (Exhibit 2). Transactions began declining in 2021, with spending following suit in mid-2022. In fact, spending declined faster than transactions from 2023 until late 2024, with both improving the following year.

In our view, it's likely that people splurged on hobbies amid social distancing during the pandemic, then gravitated back toward pricier alternatives like travel throughout 2022 and 2023. However, last year there may have been some rotation back to less expensive leisure like hobbies as after-tax wage growth slowed considerably (read more in Consumer Checkpoint: Still sizzling). Bank of America card data suggests there's been a recent acceleration in hobby spending in the past few months, possibly as some consumers balance shift away from travel due to higher prices from rising fuel costs.

Exhibit 2: Spending growth outpaces transaction growth, while the opposite was true from mid-2022 until the end of 2024
Spending and transaction growth per household on hobbies (three-month moving average, YoY%) and average spending per transaction growth per household on hobbies (three-month moving average, YoY%, right-hand side (rhs))



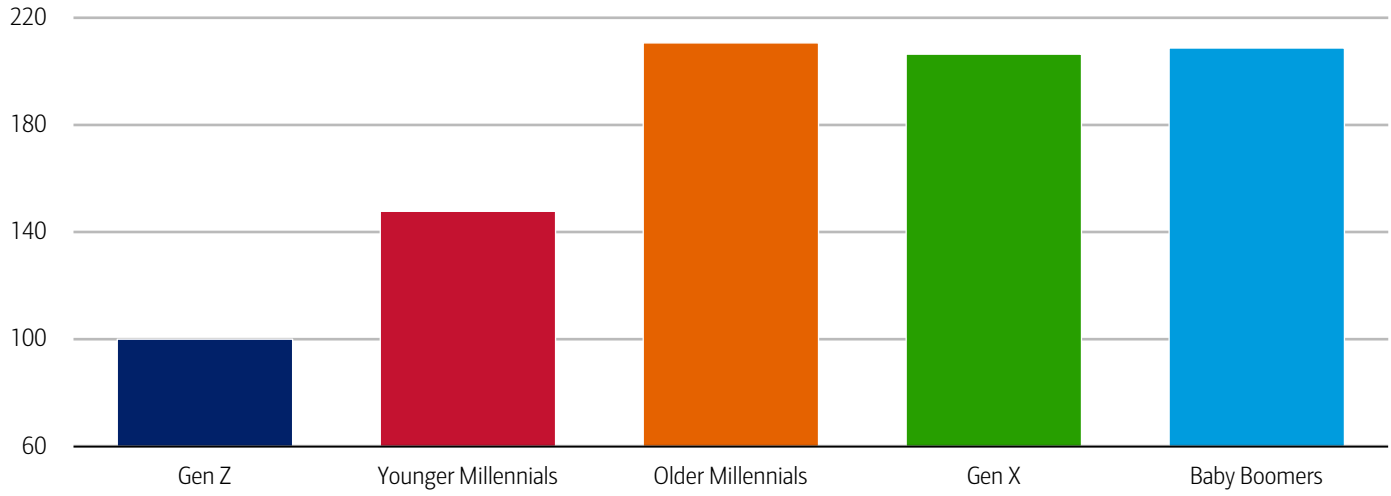
Source: Bank of America internal data

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Older Millennials claim the hobbies crown, while Gen Z lags behind

Looking across generations, Bank of America card data suggests that older Millennials spend the most per customer on hobbies, followed closely by Baby Boomers and Gen X, while Gen Z spends the least (Exhibit 3).

Exhibit 3: Older Millennials spend the most on hobbies, followed by Baby Boomers and Gen X
Average spending per customer by age generation (three-month moving average to August 2026, index Gen Z = 100)

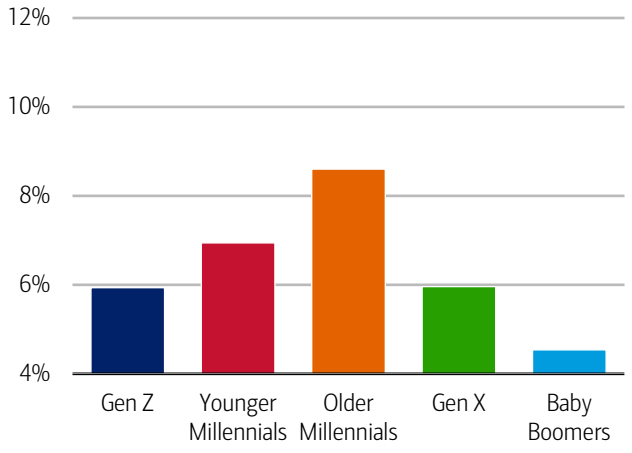


Source: Bank of America internal data

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Older Millennials also boast the largest share of their population with hobby spending (Exhibit 4 and Exhibit 5). In our view, it's likely because this group is most likely to have young children. Which may mean older Millennials not only spend on their own hobbies but on their kids' as well.

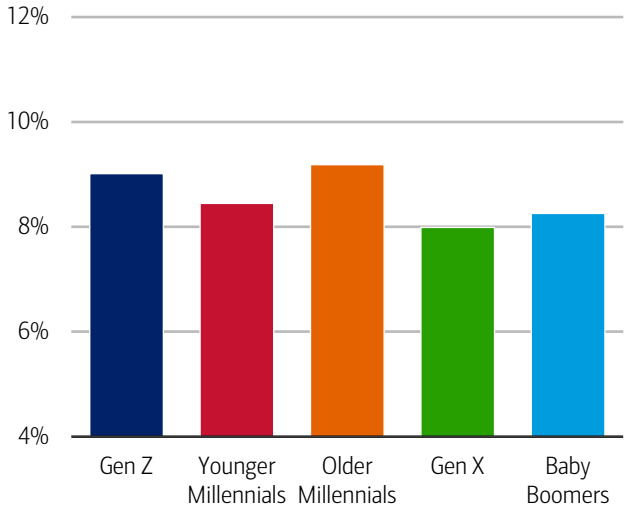
Exhibit 4: A larger share of Gen Z and younger Millennials have outdoor recreation spending than Gen X and Baby Boomers, though older Millennials boast the highest share
Share within each generation of customers with outdoor recreation spending (three-month moving average to August 2026, %)



Source: Bank of America internal data

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Exhibit 5: A larger share of Gen Z and older Millennials have arts, crafts and hobby shop spending compared to other generations
Share within each generation of customers with arts, crafts and hobby shop spending (three-month moving average to August 2026, %)



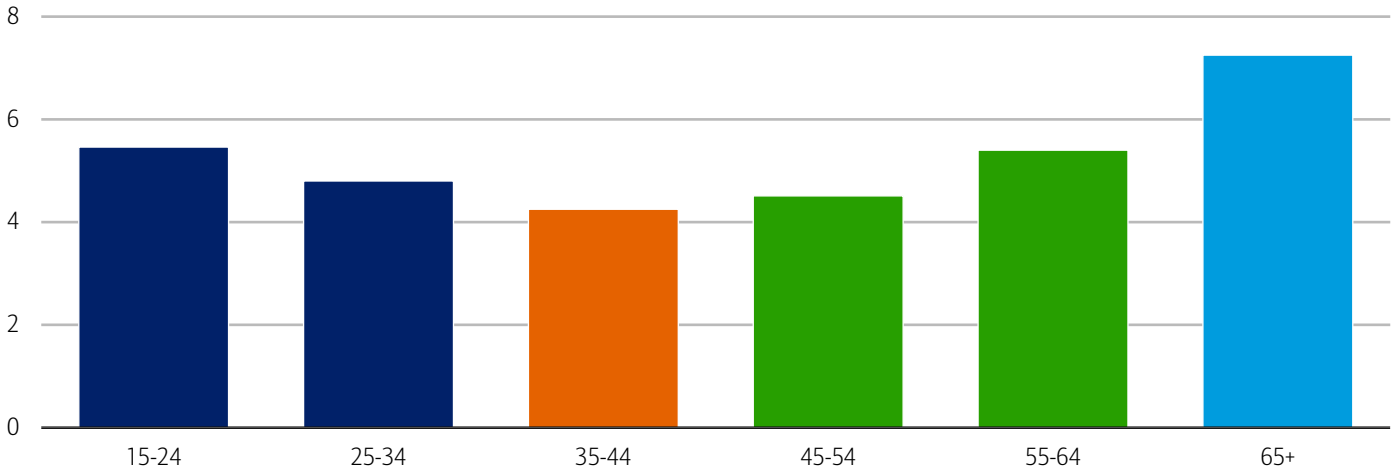
Source: Bank of America internal data

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The idea that older Millennials are likely spending on themselves and their kids is supported by data from the American Time Use Survey (ATUS) conducted by the US Census Bureau. That survey suggests that older Millennials have the least amount of leisure time, with only around four hours and fifteen minutes on average per day (Exhibit 6). Meanwhile, the two groups between ages "15 and 24" and "55 and 64" have nearly five and a half hours per day, with those 65 and older boasting over seven hours of leisure time per day.

On the other hand, younger Millennials and Gen Z have the lowest average spending, but a higher share of their population with hobby outlays. To us, this suggests that these generations are likely gravitating most of their spending toward less expensive hobbies like arts, crafts and board games.

Exhibit 6: Leisure time varies considerably by age range, with those 35 to 44 years old having the lowest amount
Hours of leisure time including sports and travel by age range (hours, average time per participant)



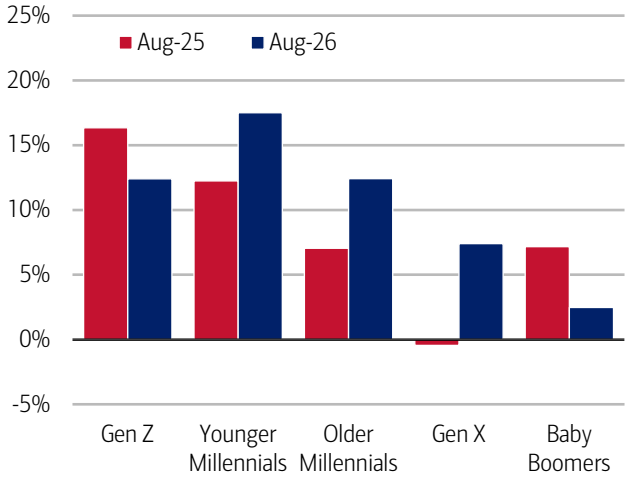
Source: US Census Bureau American Time Use Survey
Note: Colors aligned to the best possible fit given the age ranges. There are some Gen Z is the age range between 25 and 34 years old. There are also some Millennials in the 45 to 54 year old range and some Baby Boomers in the 55 to 64 years old range.

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Gen Z consumers slow hobby purchases…

Additionally, while younger and older Millennials as well as Gen X appear to be ramping up hobby spending, Baby Boomers and Gen Z are slowing theirs (Exhibit 7). Notably though, Gen Z's slowdown in purchases has been stark. Transaction growth was near zero in August 2026, a dramatic slowdown compared to the nearly 16% YoY increase the prior year, according to Bank of America card data (Exhibit 8).

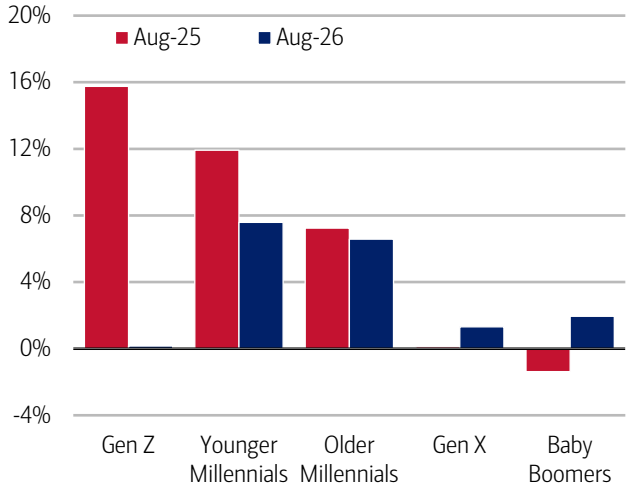
Exhibit 7: Millennials and Gen X are ramping up hobby spending, while Gen Z and Baby Boomers are winding it down
Spending per customer on hobbies by age generation (three-month moving average, YoY%)



Source: Bank of America internal data

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Exhibit 8: Gen Z saw a significant slowdown in hobby-related transactions
Purchases per customer on hobbies by age generation (three-month moving average, YoY%)



Source: Bank of America internal data

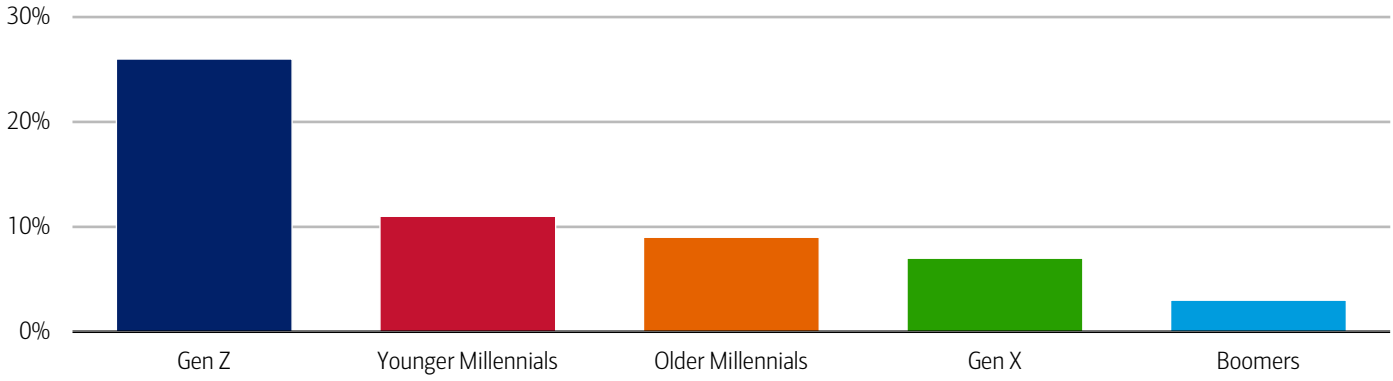
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This slowdown was driven by a significant decrease in spending on outdoor recreation, offsetting increases in arts and crafts retailers and hobby shops. In our view, the prior year's transactions may have been boosted by purchases of longer-lasting items, such as hiking boots, which don't need to be bought as frequently. It's also possible that this reflects a shift to more "granny core" activities like knitting, sewing, or baking (arts and crafts).

…and ramp up their gaming spend

Additionally, some transactions at hobby shops may require less frequent purchases like board games or tabletop role-playing games. The social component to these activities can't be overlooked as a factor. In fact, over a quarter of Gen Z said they feel a sense of belonging to a streaming or gaming community, according to a Bank of America survey (Exhibit 9). This is almost two and half times as high as younger Millennials and over eight times the rate of Baby Boomers.

Exhibit 9: Gen Z is over twice as likely to feel a sense of community or belonging to a streaming or gaming community than any other generation
The share of those that answered "gaming" to the question "Outside of your family, in which places or groups do you currently feel a sense of community or belonging?" by age generation (see Methodology for time period, %)

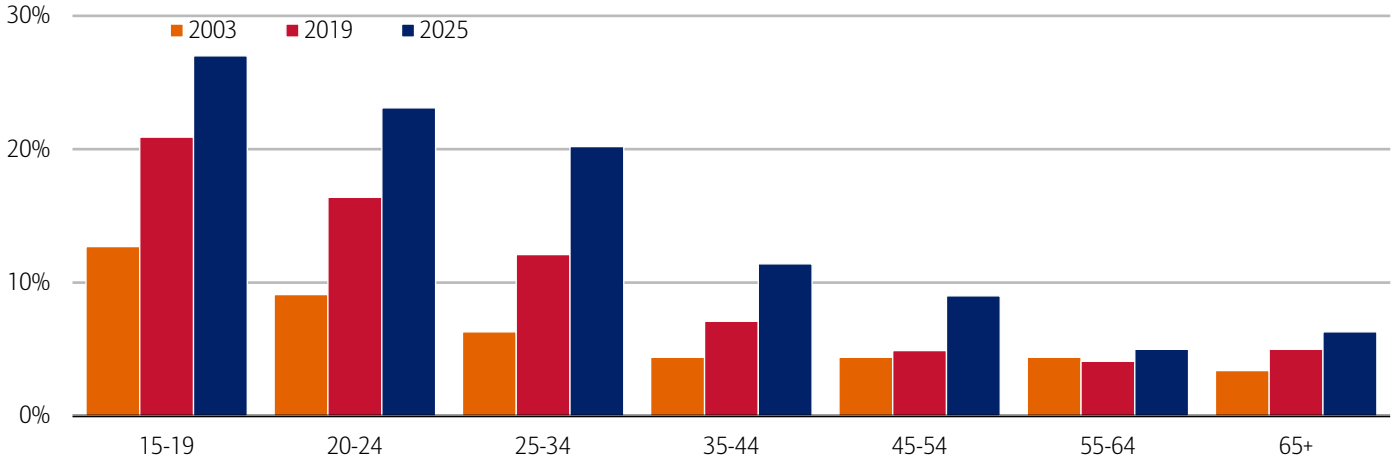


Source: Bank of America internal data

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Also, Gen Z spends anywhere between 20 and 25% of their leisure time playing games or using a computer, according to the ATUS (Exhibit 10). This is nearly twice the rate of Millennials and a threefold increase compared to young adults (ages 25 to 34 years old) from two decades ago. And while a portion of this shift certainly reflects an increase in social media use (read more in Wellness, part 5: Lost in the scroll), it likely also reflects an increase in time spent playing video games.

Exhibit 10: People 25 to 34 years old spend nearly one out of every five minutes of their leisure time playing games or using a computer, over three times the rate seen in 2003 when nearly one in every seventeen leisure minutes was spent this way
Share of leisure time spent playing games or using a computer (annual, %)



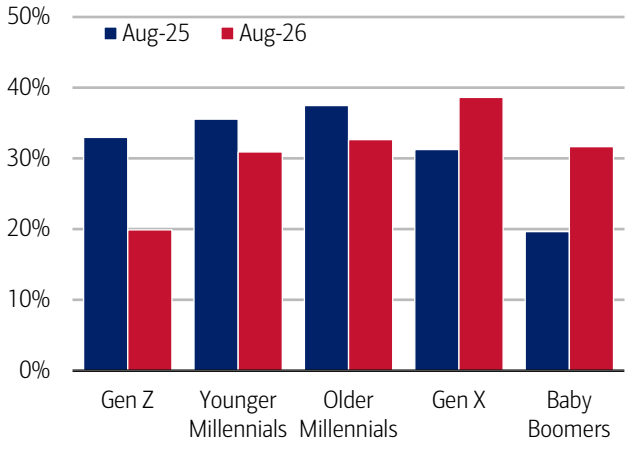
Source: US Census Bureau American Time Use Survey

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Gen Z has seen their video game spending increase by around 20% YoY in August, after an increase of over 30% YoY in the year prior, according to Bank of America payments data (Exhibit 11). And this is while boasting the highest average spending as well, with over three and a half times more video game spending than Baby Boomers and almost twice as much as Gen X (Exhibit 12).

Bank of America payments data also suggests that over a quarter of Gen Z have video game spending, over four times the rate of Baby Boomers (Exhibit 13). Younger Millennials have the next highest rate at over 23%, with about one in five older Millennials having video game spending.

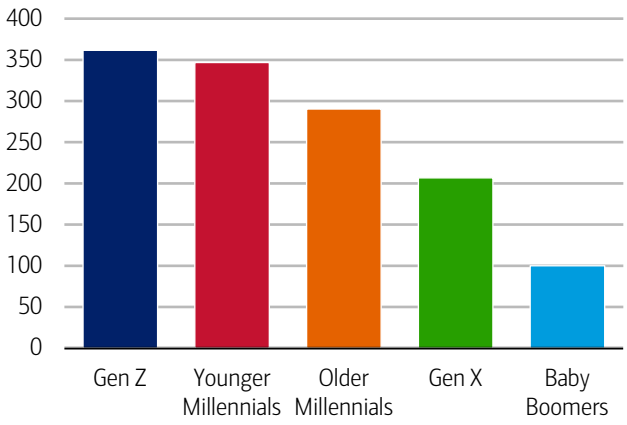
Exhibit 11: Video game spending growth has been robust across all age groups
Spending per customer on video or online games by age generation (three-month moving average, YoY%)



Source: Bank of America internal data

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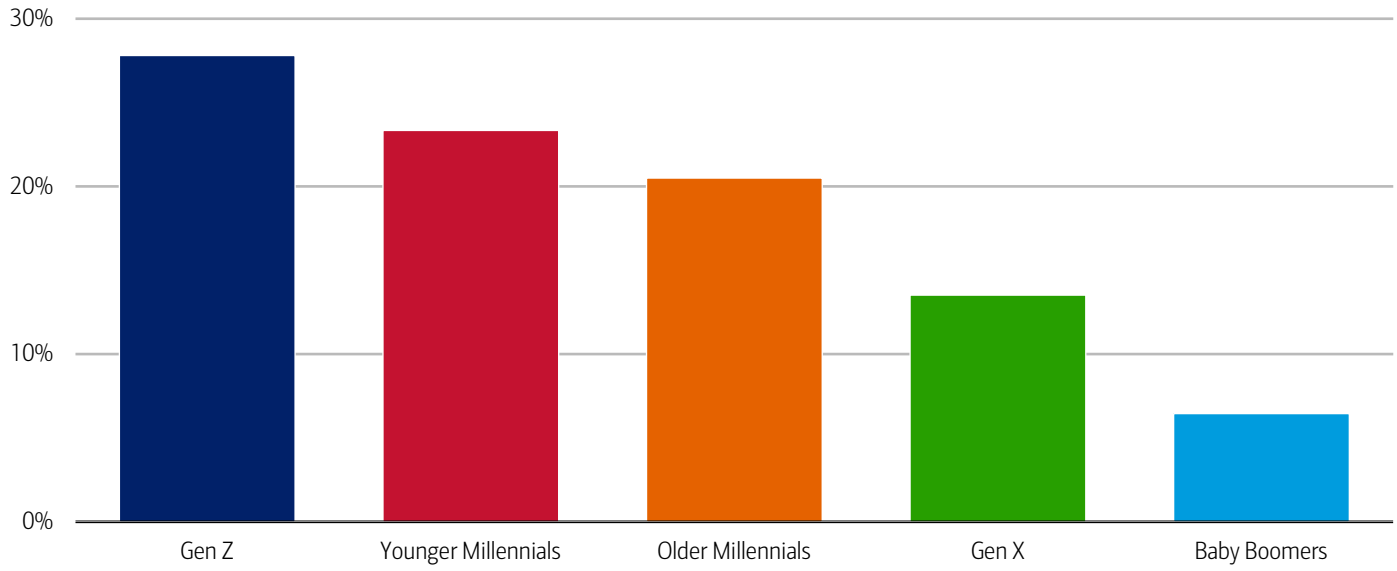
Exhibit 12: Younger generations spend considerably more on video games on average
Average video or online games spending per customer by age generation (three-month moving average to August 2026, index Baby Boomers? = 100)



Source: Bank of America internal data

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Exhibit 13: Almost 28% of Gen Z have online or video game spending, over twice the rate of Gen X
Share within each generation of customers with video or online games spending (three-month moving average to August 2026, %)



Source: Bank of America internal data

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The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Hobby spending includes spending across all payment vehicles at arts and crafts stores, hobby shops, ski resorts, scuba retailers and rentals, adventure activities, educational toys, outdoor retailers and some toy stores. Not included in this analysis are some hobbies like golf or travel, due to further analysis in other pieces. Also not included are more digital forms of entertainment like video games, though this category is included as a separate analysis.

Includes a reference to Bank of America's Navigator Survey's question "Outside of your family, in which places or groups do you currently feel a sense of community or belonging? (Select all that apply)." The survey was conducted between January 16 and 22, 2026 and included 2,041 participants.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946. Our Gen Z analysis only includes spending by people that are 18 years or older and likely reflects the trends from the members of this generation who are living on their own.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Energy bills: Short-term relief, longer-term challenges

16 September 2026

Key takeaways

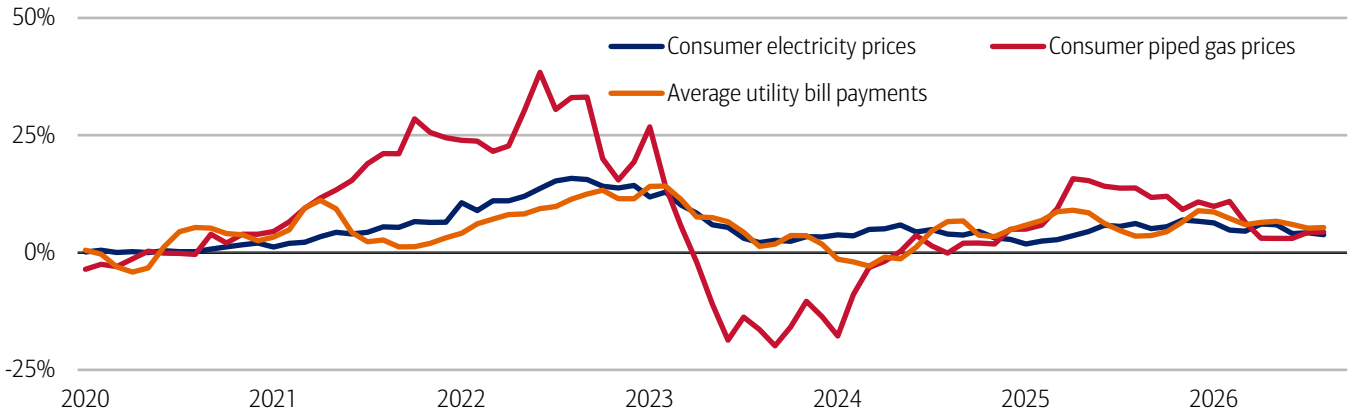
- Energy bill inflation was around 4% year-over-year (YoY) in August 2026. However, Bank of America internal deposit data shows average utility bill payments rose faster, increasing 5% YoY from June through August. This was likely due, in part, to higher cooling demand during a warm summer.
- But bill pressures remain highly uneven across the country. Average utility payments have risen by more than 10% YoY in cities such as Detroit, Baltimore and Washington DC, while consumers in Orlando, San Jose and Tampa have seen declines. Some of these regional differences appear to reflect policy and infrastructure factors as much as energy usage itself.
- The long-term outlook still points to upward pressure on electricity bills as demand from data center construction, electrification and broader economic activity drive the need for additional generation and grid investment. However, a forecasted strong El Niño event this winter could provide some near-term relief, if warmer-than-normal temperatures reduce household heating demand, partially offsetting structural cost pressures.

Energy bill inflation has moderated

Energy is an essential household expense. According to Bureau of Labor Statistics data, energy bills accounted for roughly 3% of total household spending as of 2024. US utility prices have been far less affected by higher global oil prices stemming from the conflict in the Middle East than gasoline prices, largely because the US is a net exporter of natural gas. Nonetheless, the cost of energy has been rising for a prolonged period: since January 2024 the price of electricity has risen 10% and the price of piped gas is up 18%.

The better news is that utility price inflation has moderated relative to the second half of 2025 and early 2026. As of August, electricity and piped gas prices were up around 4% year-over-year (YoY). But Bank of America internal deposit data shows that average utility payments for electricity and gas were running ahead of inflation in these categories, up 5.3% YoY. One reason could be that household demand for cooling was strong this summer, due to relatively warm weather (Exhibit 1).

Exhibit 1: Utility bill payments rose around 5.3% YoY in August
Consumer prices for electricity and piped gas (% YoY) and three-month average monthly utility payments per customer based on Bank of America internal deposit data (% YoY)



Source: Haver Analytics, Bank of America internal data

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Energy costs vary widely by region

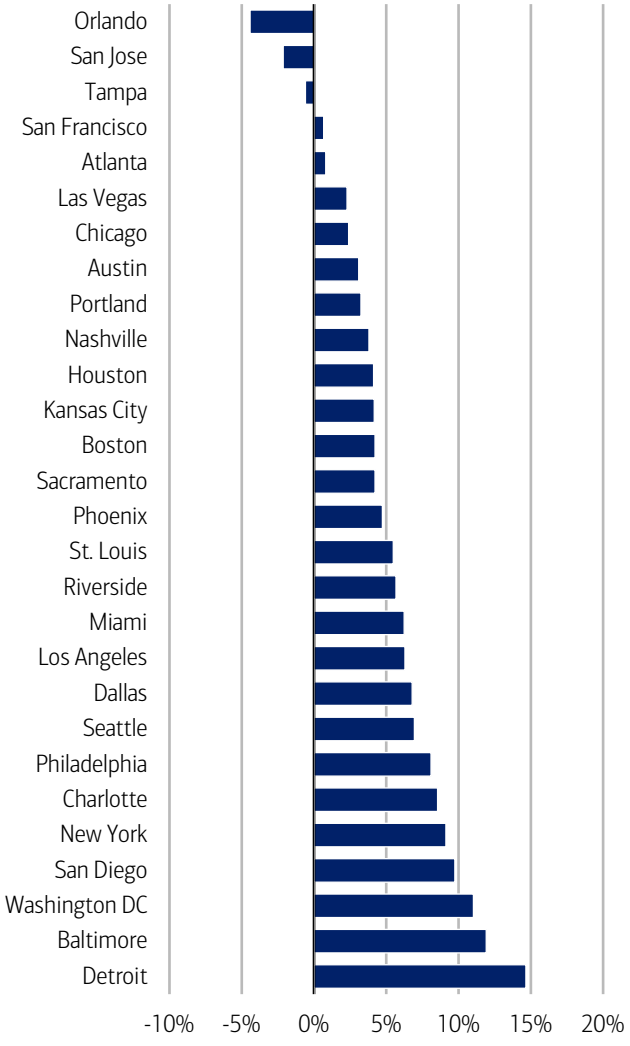
While energy bills account for a relatively modest share of household spending nationally, experiences vary across the country. Looking at large cities (by Core Based Statistical Areas), our data shows that utility bills rose by more than 10% YoY in Detroit, Baltimore and Washington DC from June through August 2026. At the other end of the spectrum, bills fell YoY in Orlando, San Joe and Tampa (Exhibit 2).

Customers' bills are being pressured by reshoring, reindustrialization, the general pass-through costs in the economy, and a significant need for infrastructure replacement in many markets. Regulatory changes and one-off charges have also influenced costs in several areas. In Florida, for example, the removal of hurricane recovery surcharges reduced utility bills in 2026, while in the Northeast, investments in grid infrastructure and capacity have contributed to higher costs.

There also remains some disparities in where average bills sit relative to the overall US (Exhibit 3). In Washington DC, Boston, Phoenix and Dallas, the average utility bill payment in June through August 2026 was well above the US average. Conversely, Chicago, Nashville and Las Vegas paid some of the lowest energy bills relative to the US.

Exhibit 2: There is a fairly wide dispersion of utility bill growth across the country

Average monthly overall utility payments per customer by Core Based Statistical Area (June-August 2026 average, % YoY)

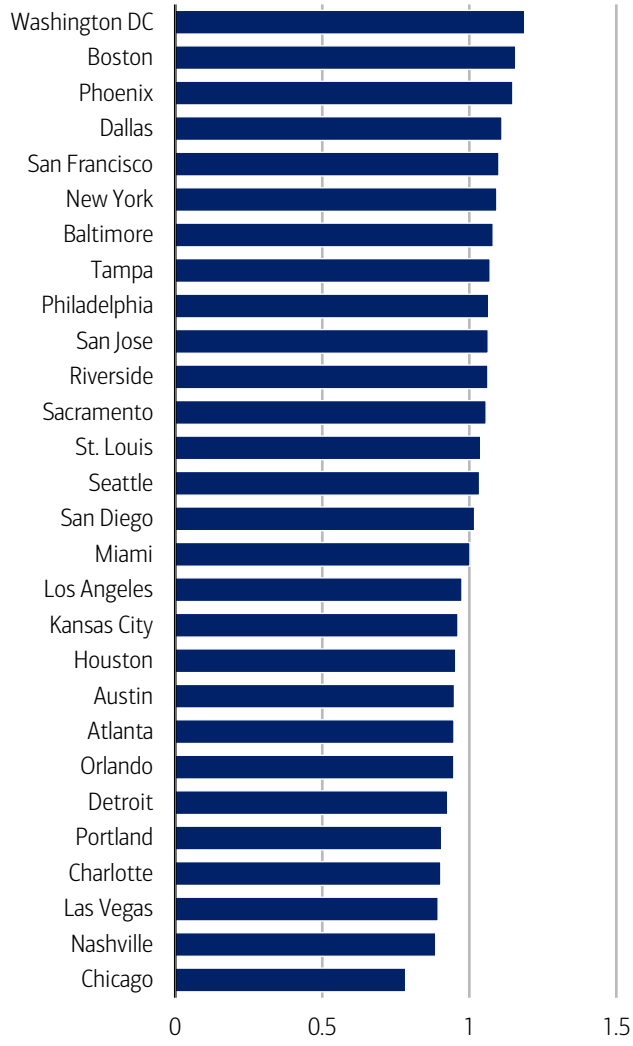


Source: Bank of America internal data

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Exhibit 3: Washington DC, Boston and Phoenix all had relatively elevated bills compared to the US average

Average monthly overall utility payments per customer relative to US average (June-August 2026 average, index, US = 1)



Source: Bank of America internal data

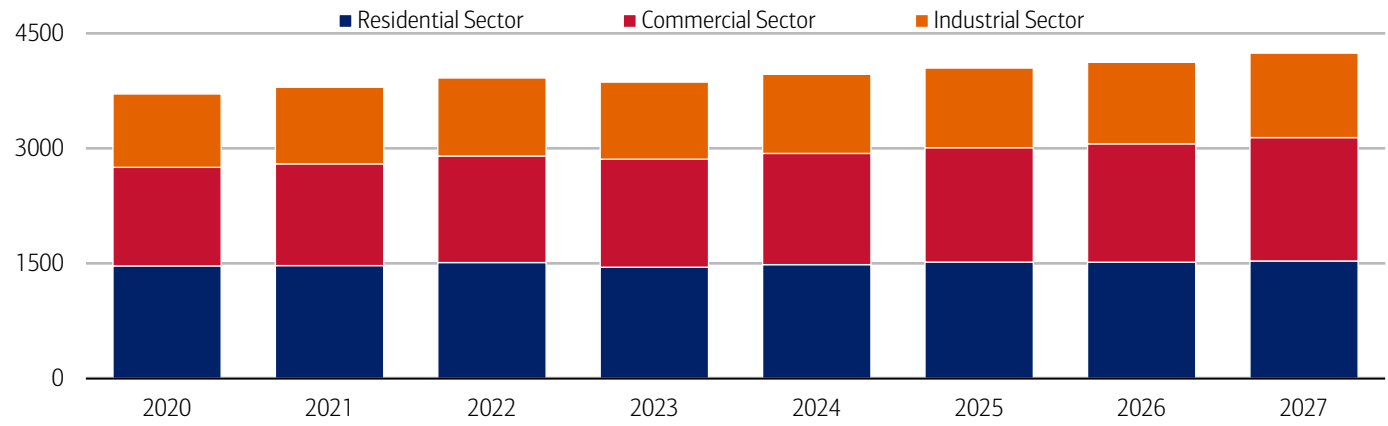
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Rising demand for electricity will continue to pressure bills

Looking longer-term, rising energy demand (particularly for electricity), driven by factors such as data center expansion and residential electrification, is likely to keep upward pressure on consumers' energy bills for a number of years (read Is the AI revolution raising consumers' utility bills? and Can the AI buildout keep building? for more).

Exhibit 4 shows forecasts from the US Energy Information Administration's August 2026 Short-term Energy Outlook, estimating a 4% YoY rise in commercial and industrial electricity consumption. Accommodating this growth will likely require ongoing investment in grid capacity and power generation, and some of these costs may be passed on to consumers through higher energy bills.

Exhibit 4: The demand for electricity is rising particularly from commercial and industrial sectors
US electrical demand (in billion kilowatt hours) 2020-2027E (estimates/forecast from 2026)



Source: US Energy Information Administration

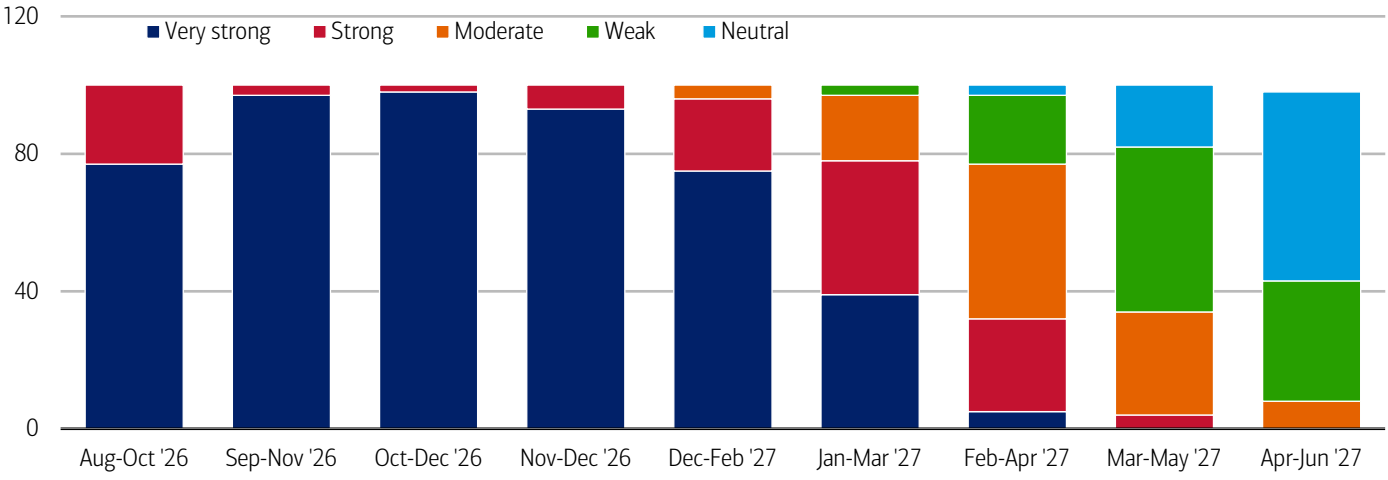
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Short-term, the weather could prove important

El Niño is the warming phase of ENSO (El Niño–Southern Oscillation), a global climate phenomenon that emerges from variation in winds and sea surface temperatures over the Pacific Ocean. El Niño events can have widespread and profound global impacts, causing extreme weather such as storms, floods and higher temperatures. The strongest recorded El Niño took place in 1877 to 1878 and led to a global famine that killed more than 50 million people.

The National Oceanic and Atmospheric Administration (NOAA) believes there is a high probability that a very strong El Niño event will occur this year (Exhibit 5). One way to put this in historical context is through the NOAA's Relative Oceanic Niño Index (RONI). A positive RONI indicates the central/eastern tropical Pacific is unusually warm relative to the rest of the tropics. A higher RONI indicates a more severe El Niño, though NOAA points out that uncertainty on impacts also tends to rise with RONI.

Exhibit 5: The NOAA attaches a very high probability to a severe El Niño event over coming months
Likelihood of an El Nino event estimated by severity (%)

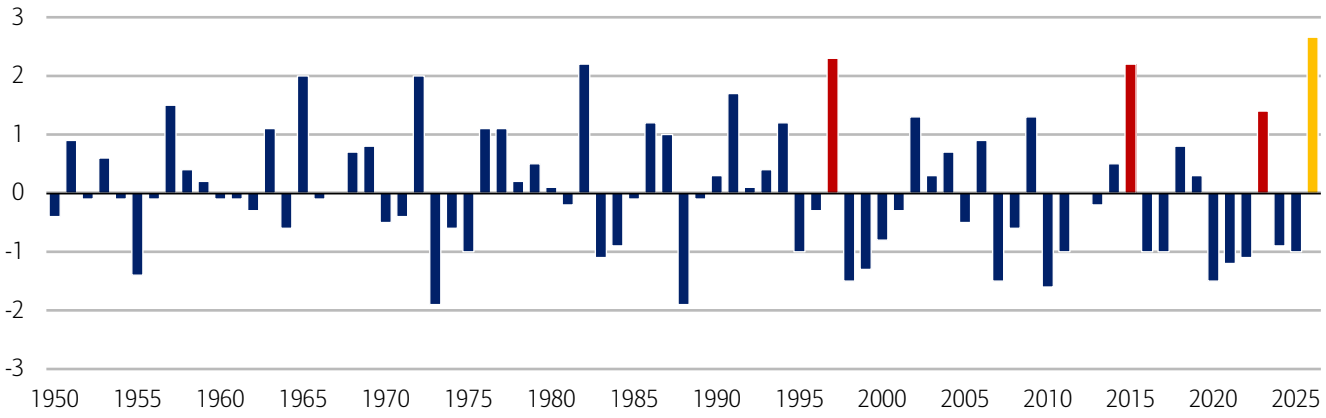


Source: National Oceanic and Atmospheric Administration (NOAA)

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Exhibit 6 shows that the current forecast for RONI from October to December 2026 is one of the largest on record. In recent history, similar-sized El Niño events have only occurred in 1997-98, 2015-16 and to a lesser extent in 2022-23.

Exhibit 6: The El Niño event in 2026 is forecasted to be the largest on record
Relative Oceanic Niño Index (RONI) for October-December by year (2026: NOAA 50% probability forecast for October-December 2026)

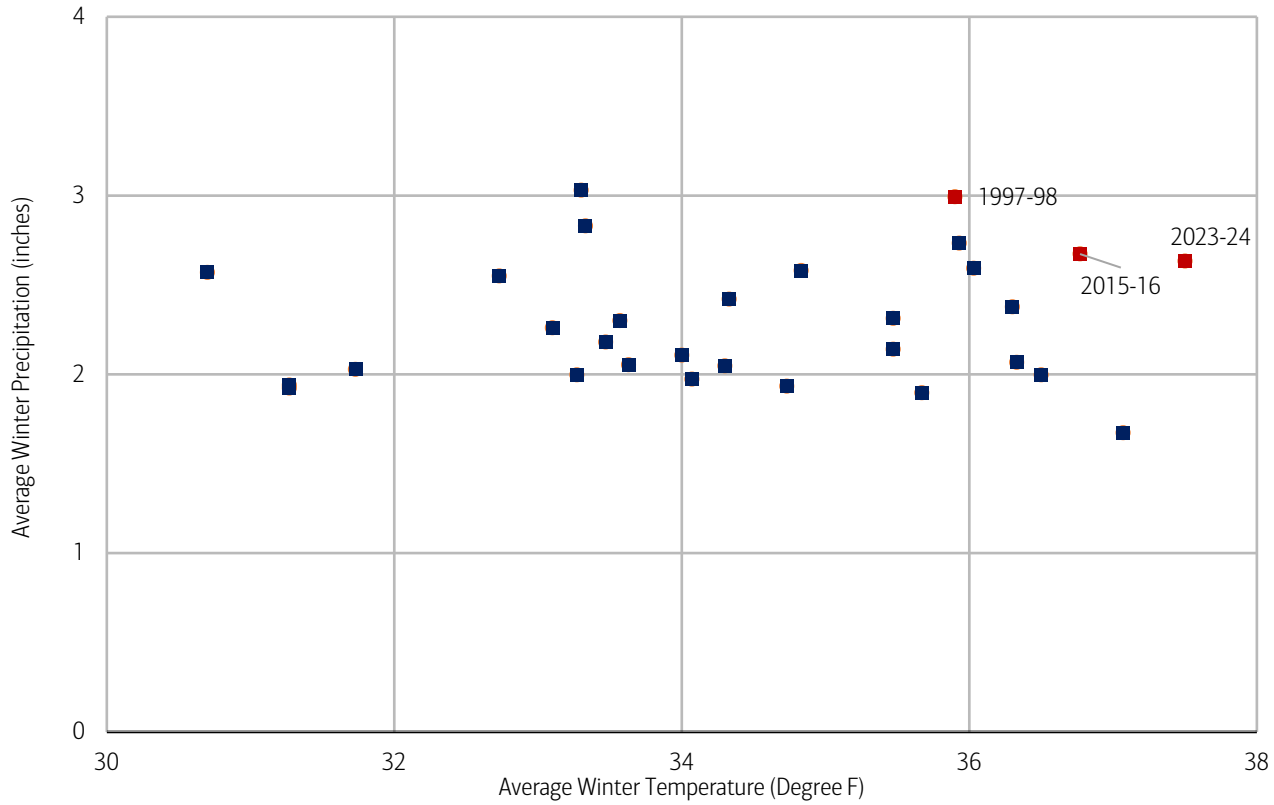


Source: National Oceanic and Atmospheric Administration (NOAA)
Note: Red bars: 1997-1998/2015-16. Yellow bar: 2026-27 50% forecast.

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For the US, significant El Niño events tend to bring higher-than-usual temperatures and more rainfall (Exhibit 7). However, no El Niño is exactly the same. For example, in 1997-98 California was flooded in but in 2015-16 it was dry, while the nation overall was wet. Both time periods were among the highest levels of RONI in the past 70 years.

Exhibit 7: El Niño events have been noted for higher temperatures and rainfall
Average winter (December-February) temperatures versus precipitation (data from 1996-97)



Source: Haver Analytics

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What does this mean for consumers and their energy bills? The most predictable impact from a severe El Niño appears to be unseasonably warm temperatures, implying reduced heating needs during the fall and winter. Consumers could therefore receive some relief in their utility bills and potentially have additional income to spend on discretionary goods and services over the coming months.

There is a large caveat, however. If El Niño manifests in stormy and rainy conditions – likely impacting the southern parts of the US – then some households may end up having to spend on repairs and maintenance following weather damage (read more on consumer spending in the aftermath of natural disasters in October's What's the impact of natural disasters on local economies?). This might boost consumer discretionary spending, but not in a way that implies improved well-being. And longer term, the broader impact of both climate change and energy demands from the AI revolution are likely to keep upward pressure on bills.

Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under $5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

Consumer Checkpoint: Still sizzling

14 September 2026

Key takeaways

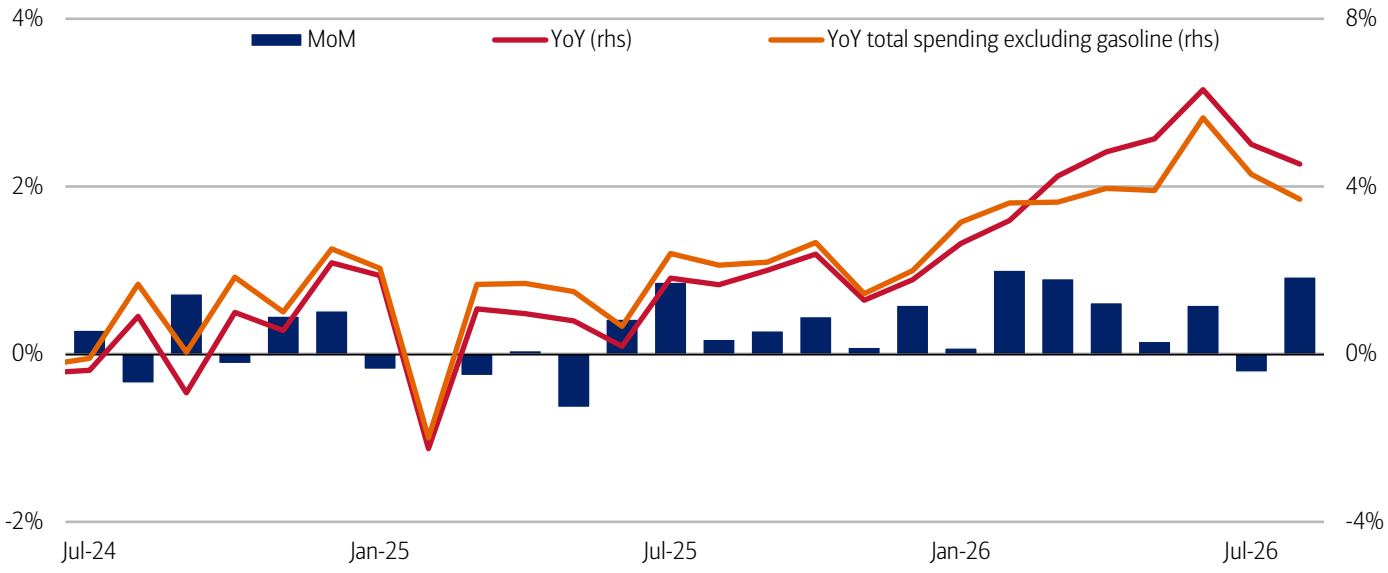
- Consumer spending remained solid in August. Total card spending per household rose 0.9% month-over-month and 4.5% year-over-year, according to Bank of America internal data. Discretionary services continue to provide a steady foundation for this growth, despite moderation in a few categories.
- Consumers still appear to be focused on value. Spending at general merchandise and big-box retailers continues to outperform more traditional retailers, as evidenced during the back-to-school season. This suggests households are actively seeking lower-cost alternatives while maintaining spending.
- Spending and wage growth have largely converged across income groups, though across generations, the largest "K" shape remains among Millennials. Household finances also remain healthy, with credit card utilization declining across most age and income cohorts. Lower- and middle-income households still hold elevated deposit balances across all age groups, suggesting spending should remain resilient.

A summer of spending

Consumer spending looked very robust in August. Bank of America total aggregated credit and debit card spending per household jumped 0.9% month-over-month (MoM) on a seasonally-adjusted basis, following the 0.2% dip in July. And card spending rose 4.5% year-over-year (YoY), more than four times the average growth rate of 2025. Excluding gasoline, spending was up 3.7% YoY, almost 2.5 times the rate in 2025. Additionally, while August YoY growth rates have eased over the past two months, they remained above the first three months of 2026 (Exhibit 1).

Exhibit 1: Total card spending per household rose 4.5% YoY in August and 3.7% YoY excluding gasoline, with seasonally-adjusted spending up 0.9% MoM

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, seasonally adjusted (SA)) and (monthly, YoY%, non-SA, right-hand side (rhs))

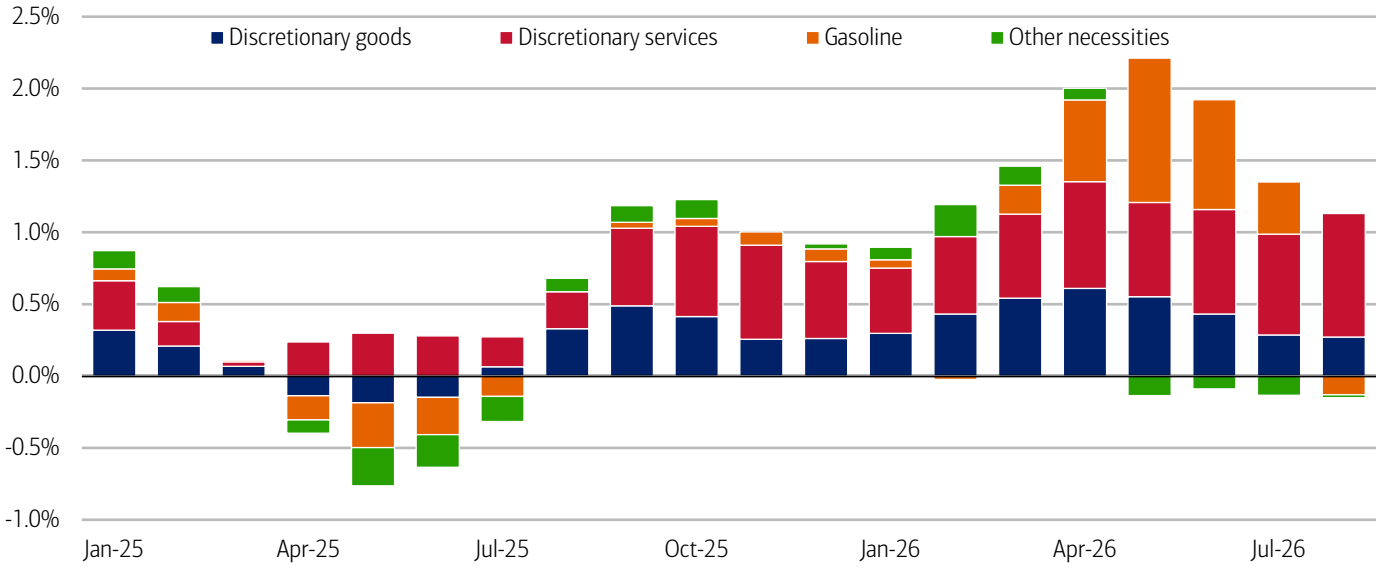


Source: Bank of America internal data

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Discretionary services spending has remained a steady contributor to overall momentum. As for necessities, rising gasoline spending lost steam, with its largest upward impact on spending occurring earlier in the year. However, recent increases in both oil and gasoline prices may present some renewed headwinds to consumers if they are sustained (Exhibit 2).

Exhibit 2: Discretionary services spending has remained a bedrock of growth
Contribution to three-month-on-three-month total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



Source: Bank of America internal data
Note: Necessity spending includes gas, groceries and utilities. Discretionary spending is all other card spending.

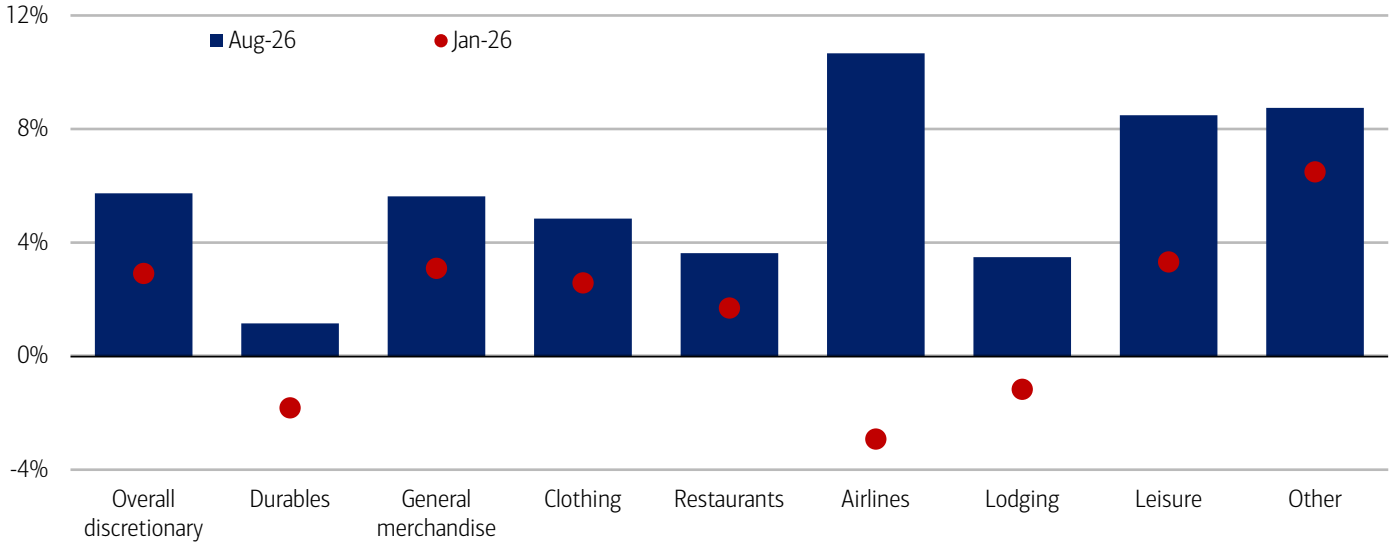
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Discretionary spending: Price pressures bite in some areas

Spending growth outpaced transaction growth across most discretionary categories

Within discretionary categories there is some variation, though YoY spending growth has improved since the beginning of the year across most (Exhibit 3). Leisure and travel-related spending (lodging and airlines) have seen the largest improvements, likely in part reflecting the impact of the World Cup over the summer.

Exhibit 3: Discretionary spending growth has improved across most categories since the start of the year
Card spending per household across select discretionary categories (three-month moving average, YoY%, SA)

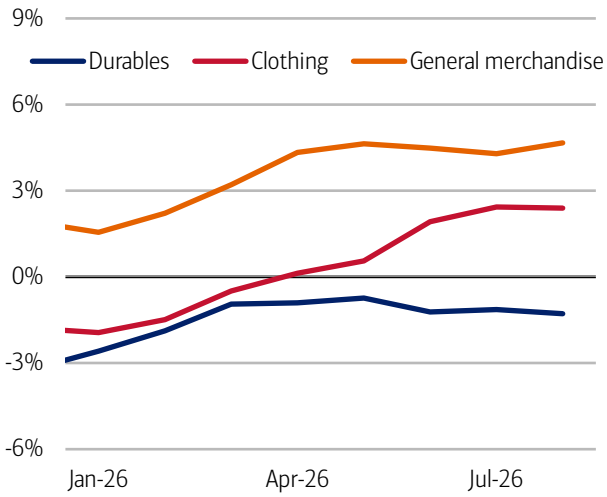


Source: Bank of America internal data

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But rising global oil prices have also pushed up costs in areas like travel. Looking at transactions as a guide to spending volumes, airline transactions are actually down YoY, as are durables transactions. Conversely, clothing and restaurants have maintained positive transaction growth, suggesting rising prices are not the main reason for improved spending growth in these categories. And lodging has also grown, a reversal from earlier this year (Exhibit 4 and Exhibit 5).

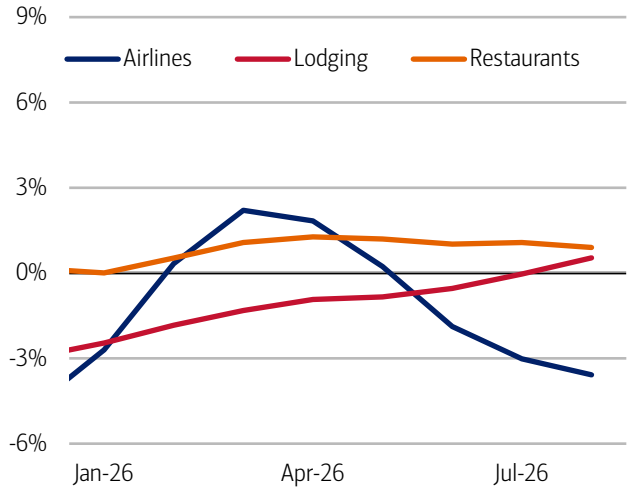
Exhibit 4: Transaction growth remained solid in restaurants and clothing in August, while it remained negative for durables
Transactions per household across select discretionary retail categories (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Exhibit 5: Airline transaction growth continued to decline in August, while lodging has grown
Transactions per household across select discretionary service categories (three-month moving average, YoY%, SA)



Source: Bank of America internal data

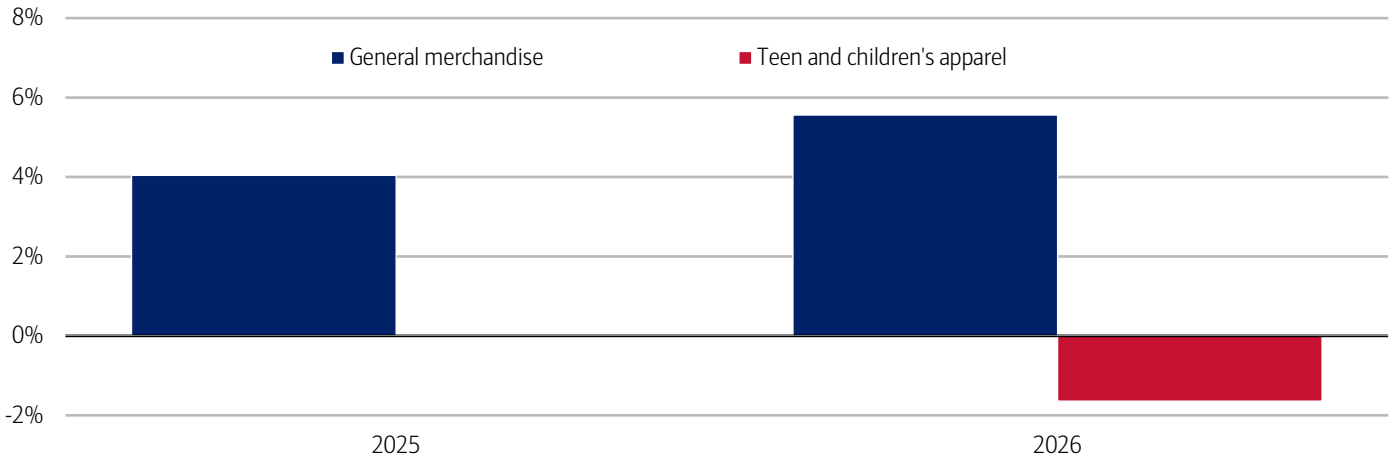
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Consumers continue to pivot to big-box stores and wholesalers

One "stand-out" among discretionary spending categories is general merchandise, where robust and rising transaction growth has largely mirrored its spending growth, up 4.7% and 5.6% YoY, respectively.

In our view, this partly reflects consumers searching for value to offset the increase in gas prices, among other items (read more in The rise of value). This trend extends to back-to-school spending. In fact, while spending at traditional back-to-school retailers (like teen and children's apparel) has declined this year, outlays have ramped up at general merchandise stores (Exhibit 6). This suggests to us that back-to-school spending was likely solid this year but just shifted to different channels.

Exhibit 6: Solid spending growth for general merchandise, while more traditional back-to-school retailers, like teen and children's apparel, have experienced a slight decline
Spending growth per household by select categories (28-day moving average to August 29, YoY%)



Source: Bank of America internal data

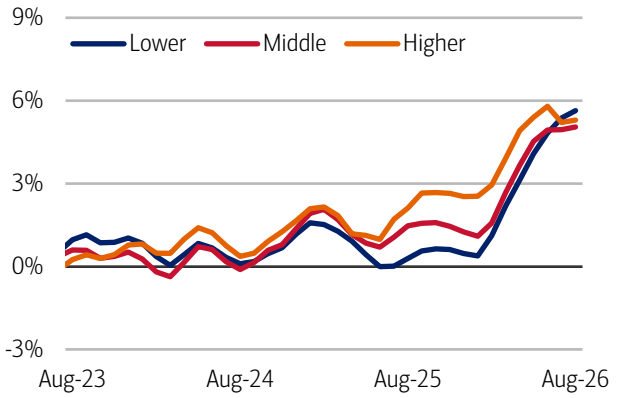
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Spending and wages keep converging, but it differs slightly by age

Looking across income cohorts, total card spending growth has largely converged in recent months, effectively closing the "K" shape in overall spending (Exhibit 7). This is also true in discretionary spending: Bank of America card data shows lower-income households' discretionary spending growth is recovering strongly. In August, discretionary spending rose 5.9% YoY for higher-income households versus 5.7% YoY for lower-income counterparts, the smallest gap since January 2024 (Exhibit 8). Meanwhile, middle-income households' discretionary spending also improved but lagged other income cohorts slightly, albeit still up a healthy 5.1% YoY.

The closing gap in spending growth between higher- and lower-income households has been mirrored in strengthening after-tax wage growth (read more in The Institute Employment Report: August 2026). Lower-income households' wage growth outpaced that of other cohorts in August for the second consecutive month (Exhibit 9).

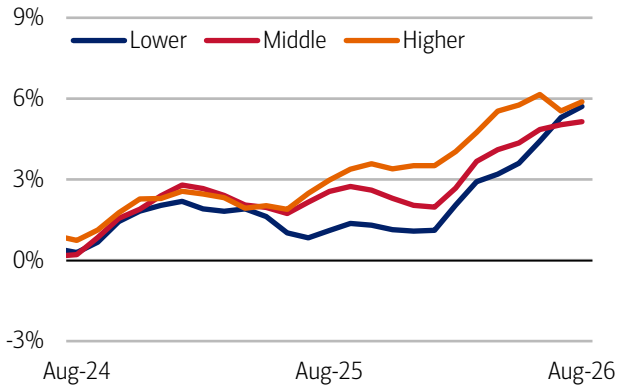
Exhibit 7: Lower-income households' total card spending growth is stronger than all income cohorts
Total card spending per household by income tercile (three-month moving average, YoY%, SA



Source: Bank of America internal data

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Exhibit 8: Discretionary spending continued to converge across income groups
Discretionary card spending per household by income tercile (three-month moving average, YoY%, SA)

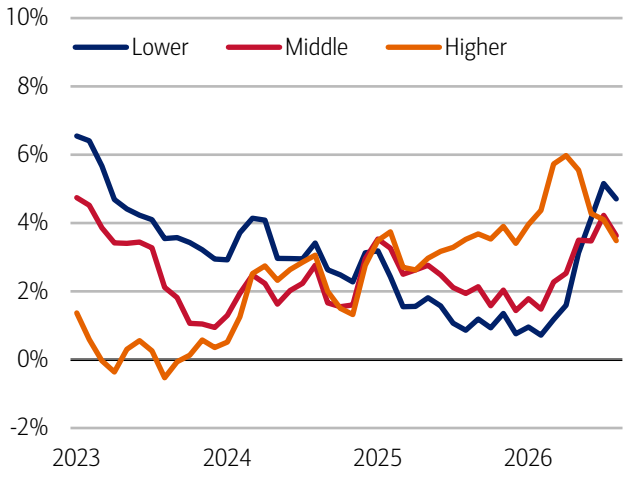


Source: Bank of America internal data

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Across generations, the gap between higher- and lower-income households' discretionary spending growth is just above zero for Baby Boomers and only slightly larger for Gen Z and Gen X (Exhibit 10). It remains widest for Millennials, partly reflecting relatively large differences in after-tax wage growth. However, this gap has narrowed significantly in recent months.

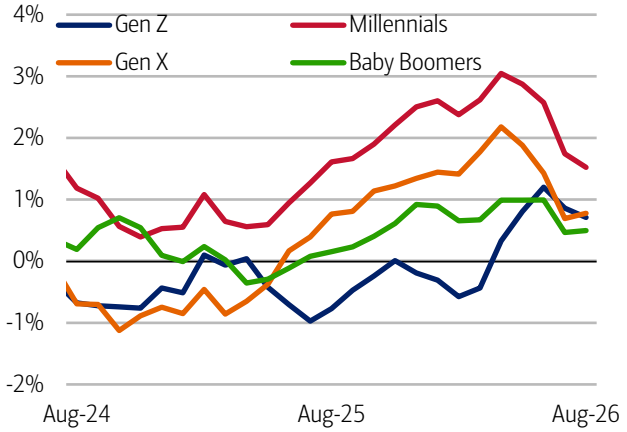
Exhibit 9: In August, after-tax wage growth for lower-income households continued to outpace that of higher-income households
After-tax wage and salary growth by household income tercile (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Exhibit 10: The gap in spending growth between higher- and lower-income households was larger for Millennials and Gen Z than Gen X and Baby Boomers in August
Higher-income households' discretionary spending growth compared to lower-income households' by age generation (three-month moving average, percent difference, non-SA)



Source: Bank of America internal data

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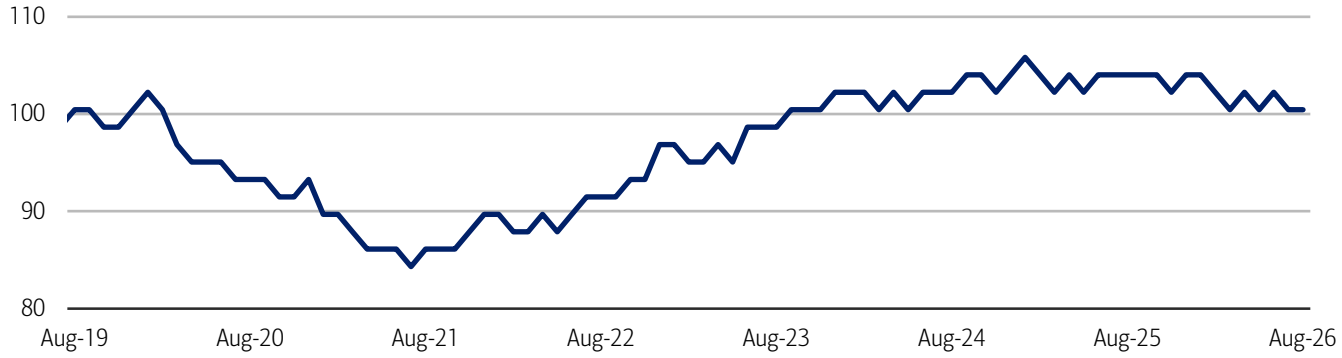
While the "K-shaped" divergence in discretionary credit and debit card spending has closed, it likely persists in higher-cost items and services such as vehicles and moving (read more in Autos: In gear, but the "K" is still in the headlights and On the move: Renovation over relocation?).

We see two reasons for this. First, these types of purchases may require saving for down payments or larger borrowing (and may be more interest rate-sensitive), so it's possible recent wage growth has yet to translate into bigger-ticket buys. Second, some of the improvement in after-tax wage growth may be due to temporary factors like lower tax withholdings, meaning some consumers may not feel comfortable signing up for higher-dollar and longer-term financial commitments.

Gen Z, Millennials and Gen X have less room to borrow, but elevated deposits

When it comes to overall financial health, we believe consumers remain on solid footing. One sign of this is that more consumers are paying off their entire credit card balance every month, both compared to last year and to pre-pandemic levels (read more in Consumer Checkpoint: The great convergence). And for those who do carry a balance (revolvers) from month to month, overall utilization rates have declined YoY and are near pre-pandemic levels (Exhibit 11).

Exhibit 11: Credit card utilization for revolvers is on par with pre-pandemic levels and has declined YoY
Median credit card utilization for credit card revolvers (monthly, index 2019 average = 100, below 100 means there has been a decrease relative to 2019 levels)

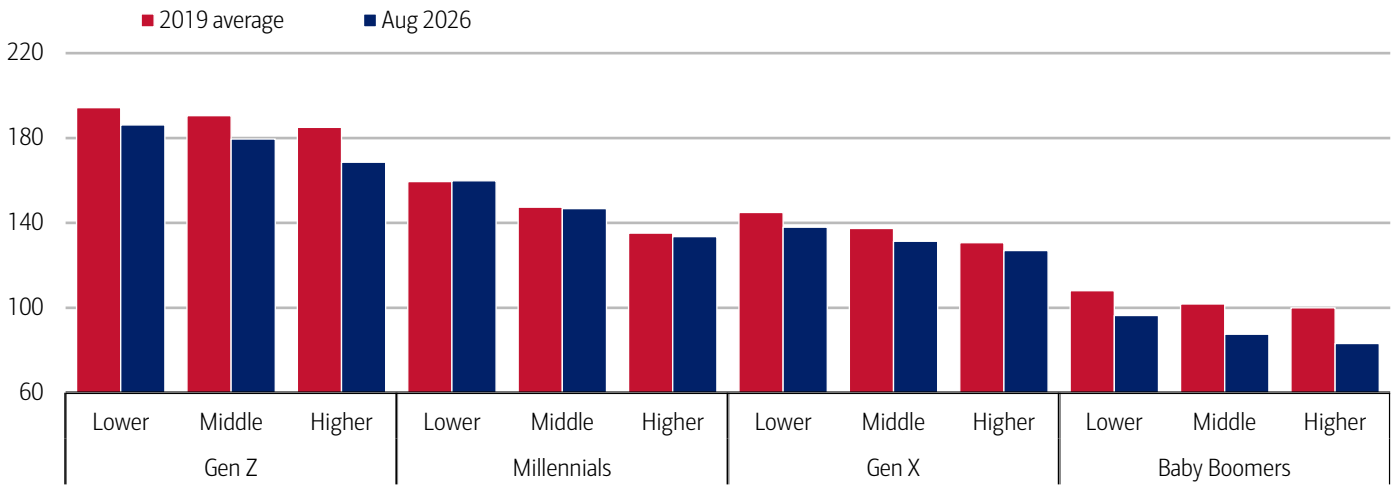


Source: Bank of America internal data

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Looking at utilization rates for revolvers by age and income, Baby Boomers have more room to borrow than younger generations across all income cohorts. Even in August 2026, Gen Z, Millennial and Gen X utilization rates are still well above Baby Boomer's 2019 utilization rates (Exhibit 12). The good news is that most of these younger generations have seen borrowing capacity increase slightly since then. Millennials, however, at the margin have made the least progress, with utilization rates still at 2019 levels.

Exhibit 12: Credit card utilization rates suggest older generations have more capacity to borrow across all income cohorts
Median credit card utilization for credit card revolvers by age and income group (monthly, index Baby Boomer's 2019 average = 100, below 100 means there has been a decrease relative to 2019 levels)



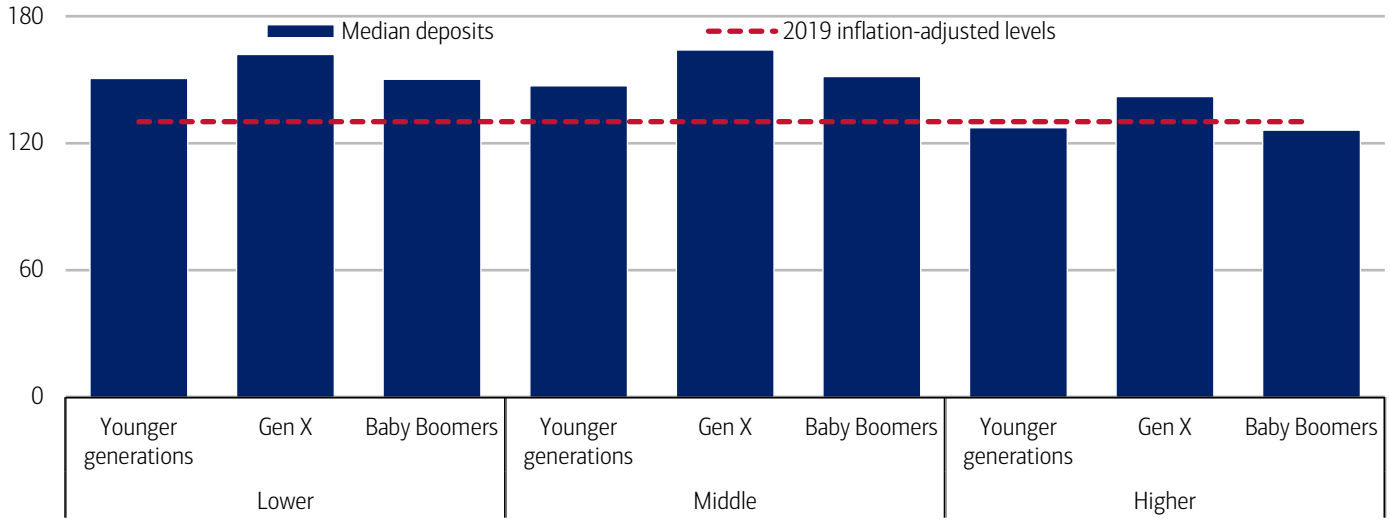
Source: Bank of America internal data

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Highly liquid buffers in checking and saving accounts also remain supportive of consumer health. Lower- and middle-income households appear to have significantly higher median deposit levels compared to pre-pandemic levels across all ages (Exhibit 13). Conversely, higher-income households – especially Gen Z, Millennials and Baby Boomers – have lower deposit levels, in our view, likely as they have invested their savings in less liquid assets (read more in Resolute resolutions?).

Exhibit 13: Lower- and middle-income households have seen the largest increases in household deposits across all age groups compared to pre-pandemic levels

Monthly median household savings and checking balances, based on Bank of America deposit data, by income and age generations for a fixed group of households through November 2024 compared to August 2026 (monthly, indexed 2019 = 100) and Consumer Price Index inflation data, based on Bureau of Labor Statistics data (monthly, indexed 2019 = 100)



Source: Bank of America internal data

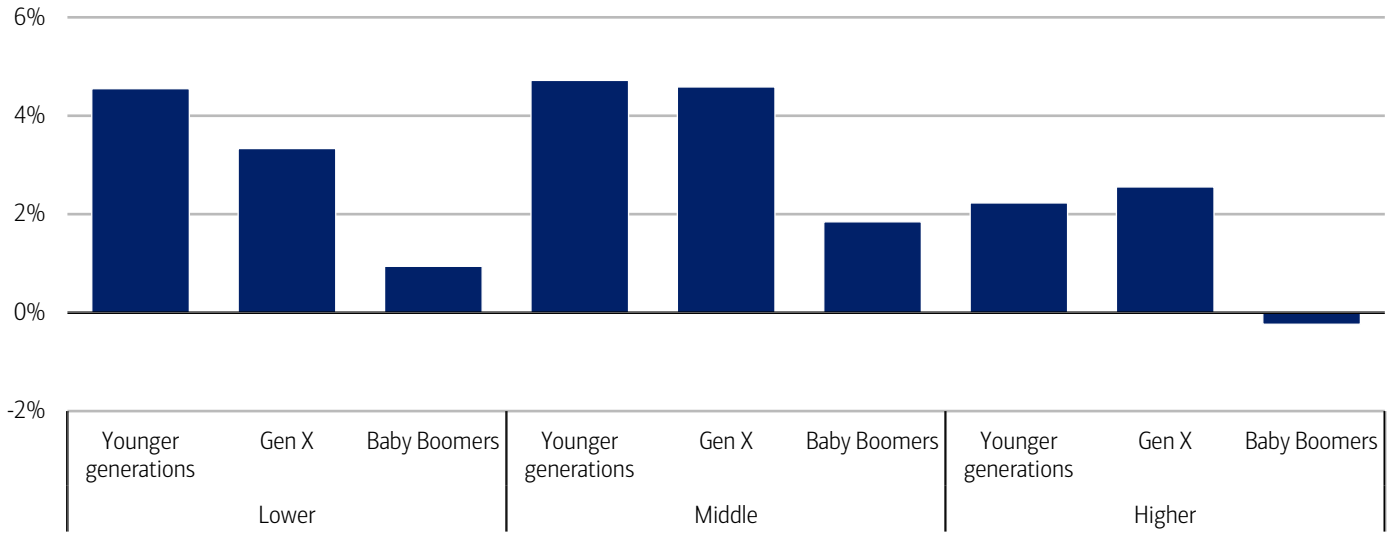
Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through August 2026. Younger generations are Gen Z and Millennials.

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Higher tax refunds and improving wage growth are helping lower- and middle-income households build deposits at the fastest rate YoY, especially Gen Z, Millennials and Gen X (Exhibit 14). So, overall, consumers appear in a good financial position as we head towards the holidays.

Exhibit 14: Baby Boomers have seen the smallest YoY increases in deposit levels across all income cohorts

Monthly median household savings and checking balances, based on Bank of America deposit data, by income and age generations for a fixed group of households through November 2024 compared to August 2026 (three-month moving average, YoY%)



Source: Bank of America internal data

Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through August 2026. Younger generations are Gen Z and Millennials.

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under $5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Sustainability

Nuclear energy: One industry, many reactors

29 September 2026

Key takeaways

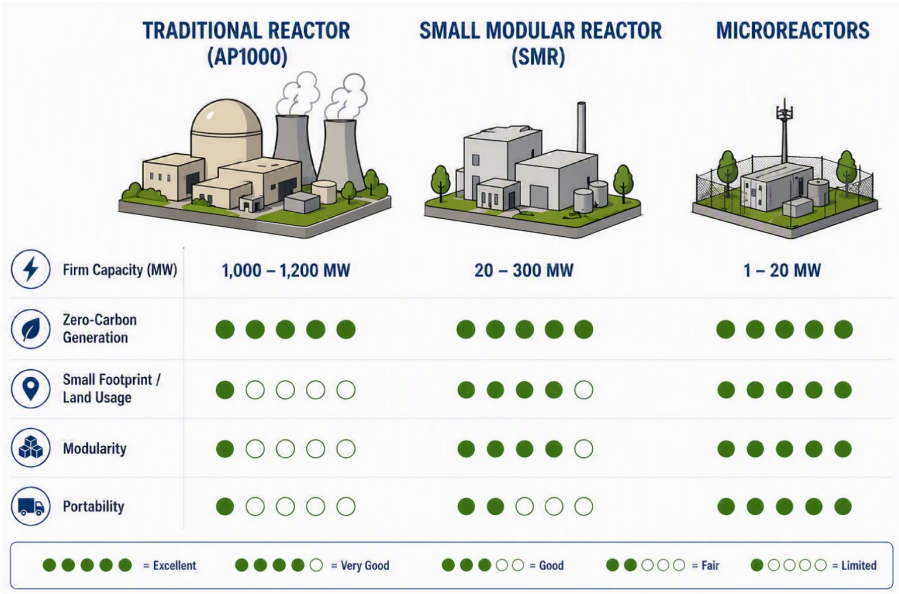
- As power demand grows, nuclear has returned to the forefront of the energy conversation. Yet the industry is far from one-size-fits-all, encompassing a range of reactor technologies designed to serve different markets, applications and deployment models.
- Nuclear power is evolving beyond traditional large-scale reactors. While proven designs continue to anchor utility-scale generation, small modular reactors (SMRs) and microreactors are being developed to serve a broader range of applications through more flexible, modular deployment models, though most remain in the demonstration phase today.
- The future of nuclear deployment will depend on more than reactor design alone. Supply chains, skilled labor, fuel availability and regulatory approvals remain critical challenges, though recent policy initiatives are intended to support licensing, fuel production and broader industry growth.

Nuclear energy has re-emerged at the center of the power conversation, driven by rising electricity demand and tightening supply-demand dynamics across the grid. Yet nuclear is not a single technology. It encompasses a wide range of reactor designs and sizes, each with distinct economics, risks and deployment pathways. Building off our previous nuclear publication (which can be found here: Nuclear energy: Who, what, where, when, why?), this primer unpacks that complexity, grounding the broader nuclear narrative in the practical realities of development, from technology and construction to fuel, licensing and execution.

Reactor sizes

Nuclear power is best understood as a collection of reactor classes differentiated by scale, deployment model and end use (Exhibit 1). Rather than competing directly with one another, these technologies are designed to serve different segments of the power market and, in many cases, can scale alongside one another.

Exhibit 1: Different reactor types have different advantages and risks
Comparison of reactor technologies



Source: BofA Global Research

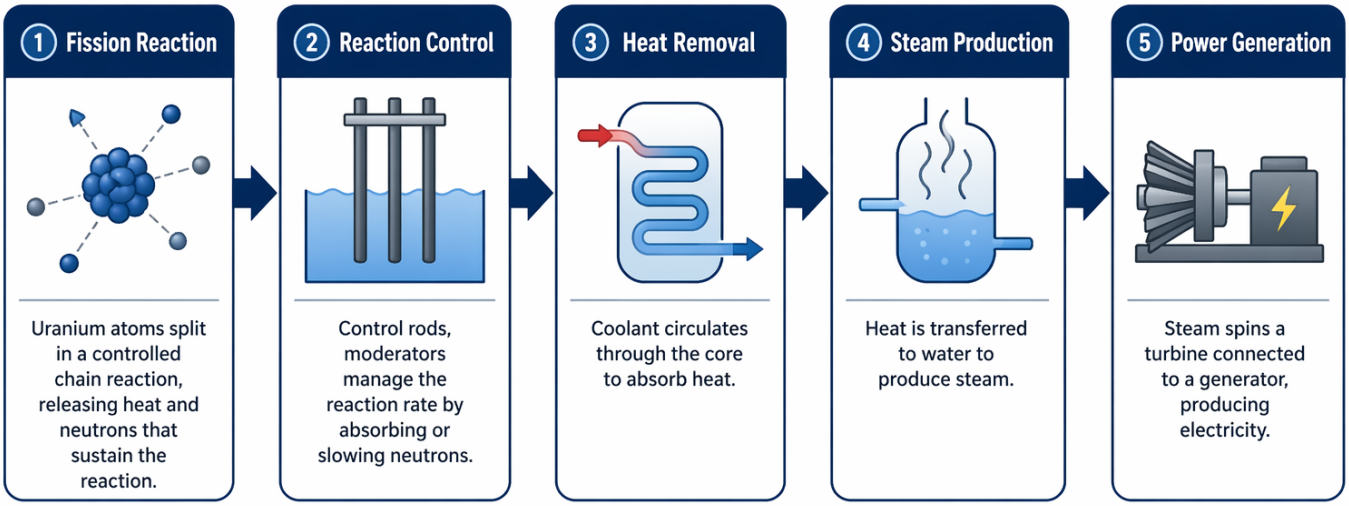
Key Distinctions

- **Large reactors (≥1 gigawatt (GW)):** Designed for large-scale electricity generation, these reactors provide consistent, high-capacity power and serve as core assets within the grid.
- **Small modular reactors (SMRs)(~50–300 megawatts (MW)):** Mid-scale systems designed for modular deployment across utilities, industrial users and large commercial customers, offering greater flexibility in siting and capacity expansion.
- **Microreactors (≤20 MW):** Small, highly distributed systems intended for niche or off-grid applications where reliability, autonomy or energy security are primary considerations.

Technology

Nuclear power generation is based on a common principle: heat produced from nuclear fission is used to generate steam, which drives a turbine to create electricity (Exhibit 2).

Exhibit 2: In a nuclear reactor, heat is formed by fission
Process for a nuclear fission reaction



Source: BofA Global Research

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Nuclear reactor designs can be grouped based on coolant type, neutron spectrum and fuel configuration. Most reactors currently operating in the US are light-water reactors (LWRs), though a wide range of advanced designs are being developed (Exhibit 3).

Exhibit 3: Gen III & Gen IV+ technologies have different characteristics
Reactor technologies

Reactor Type	Coolant	Moderator	Neutron Spectrum	Operating Temperature	Pressure
Pressurized Water Reactor (PWR)	Water	Light water	Thermal	~300–330°C	High (~150 bar)
Boiling Water Reactor (BWR)	Water	Light water	Thermal	~280–290°C	High (lower than PWR)
Heavy Water Reactor (HWR)	Heavy water	Heavy water	Thermal	~300°C	High
Molten Salt Reactor (MSR)	Molten salt	Graphite (typical)	Thermal / fast (design-dependent)	~600–750°C	Low
High-Temperature Gas Reactor (HTGR)	Helium gas	Graphite	Thermal	~700–800°C	Low
Sodium Fast Reactor (SFR)	Liquid sodium	None	Fast	~450–550°C	Low
Gas-Cooled Fast Reactor (GFR)	Helium gas	None	Fast	~700–850°C	Low

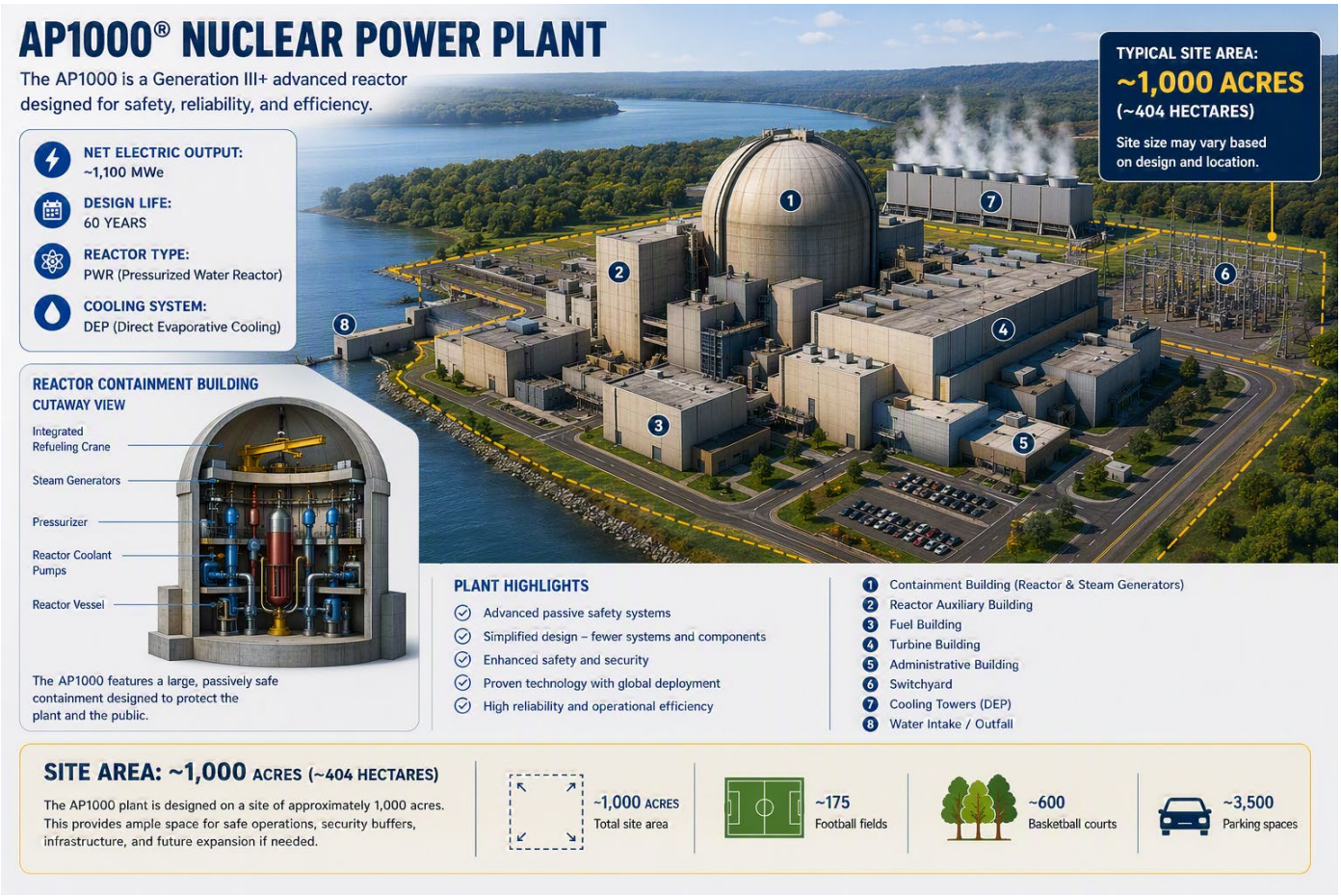
Source: BofA Global Research, Energy Information Administration (EIA), Idaho National Laboratory (INL), Nuclear Regulatory Commission (NRC)

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AP1000

The AP1000 is a Generation III+ pressurized water reactor with a capacity of approximately 1.1 GW per unit (Exhibit 4). Its design is centered around passive safety systems that rely on gravity, natural circulation and compressed gas, rather than large numbers of active pumps and diesel-backed safety systems. By reducing the number of safety-critical moving parts, this approach lowers system complexity and supports a more standardized large-reactor platform.

Exhibit 4: AP1000s typically need about 1,000 acres of land
Diagram of an AP1000 nuclear plant



Source: BofA Global Research, Nuclear Regulatory Commission (NRC)

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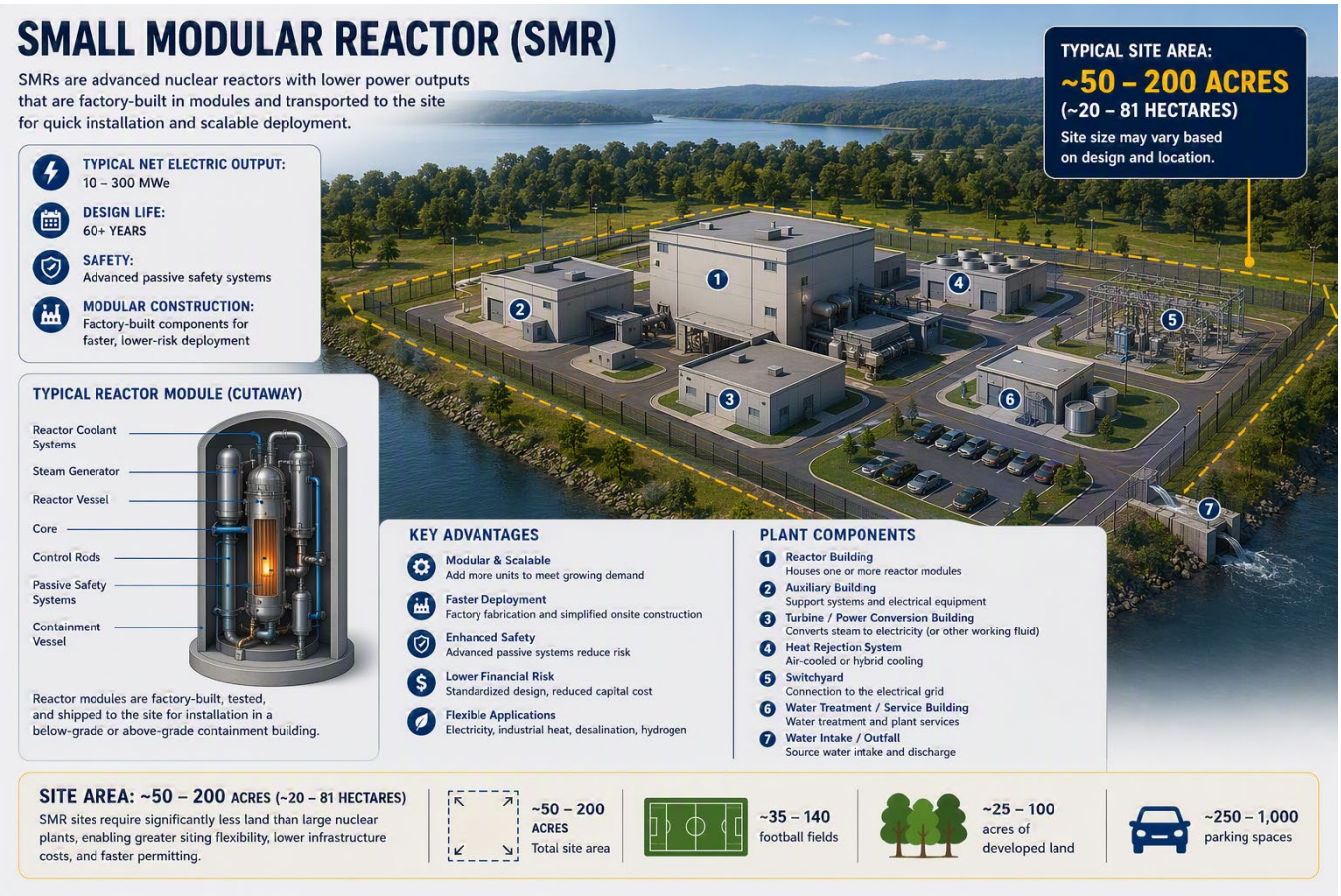
The AP1000's design emphasizes open-top construction, with large structural and equipment modules manufactured offsite and then assembled at the project site. This approach is intended to reduce onsite labor needs, improve quality control through factory fabrication and support a more repeatable, standardized construction process.

The AP1000 is no longer a conceptual technology. It is a licensed, utility-scale nuclear design already operating in the field. As a result, the key remaining considerations center on construction costs, project execution and the economics of deploying additional units, according to BofA Global Research.

SMRs

Small modular reactors (SMRs) are nuclear power plants generally 300 MWe or less per unit and are designed around a factory-based, modular construction model (Exhibit 5). Unlike traditional gigawatt-scale nuclear projects, SMRs represent a shift toward repeatable, standardized deployment (read our prior SMR publication: Q&A quick guide: Small modular reactors). Major components can be manufactured in a factory setting and then transported to project sites for assembly, reducing the amount of onsite construction required. Their standardized designs also create opportunities for learning-by-doing, potentially lowering costs over time. In addition, capacity can be added incrementally through discrete modules, allowing capital to be deployed in stages rather than committed upfront.

Exhibit 5: SMRs typically require 50-200 acres of land, depending on design and location
Diagram of an SMR



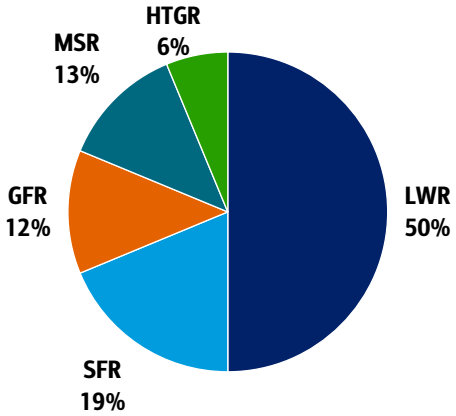
Source: BofA Global Research, Nuclear Regulatory Commission (NRC)

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Market landscape

There are dozens of SMR designs globally, with more than 100 projects at various stages of development, though only a limited number are currently operational or under construction. While developers are pursuing a range of reactor technologies, light-water reactor (LWR) designs still dominate the US development landscape (Exhibit 6). According to BofA Global Research, the sector remains largely in a development and demonstration phase rather than broad commercial deployment.

Exhibit 6: LWRs make up 50% of the SMR designs
US SMR designs by technology type (%)



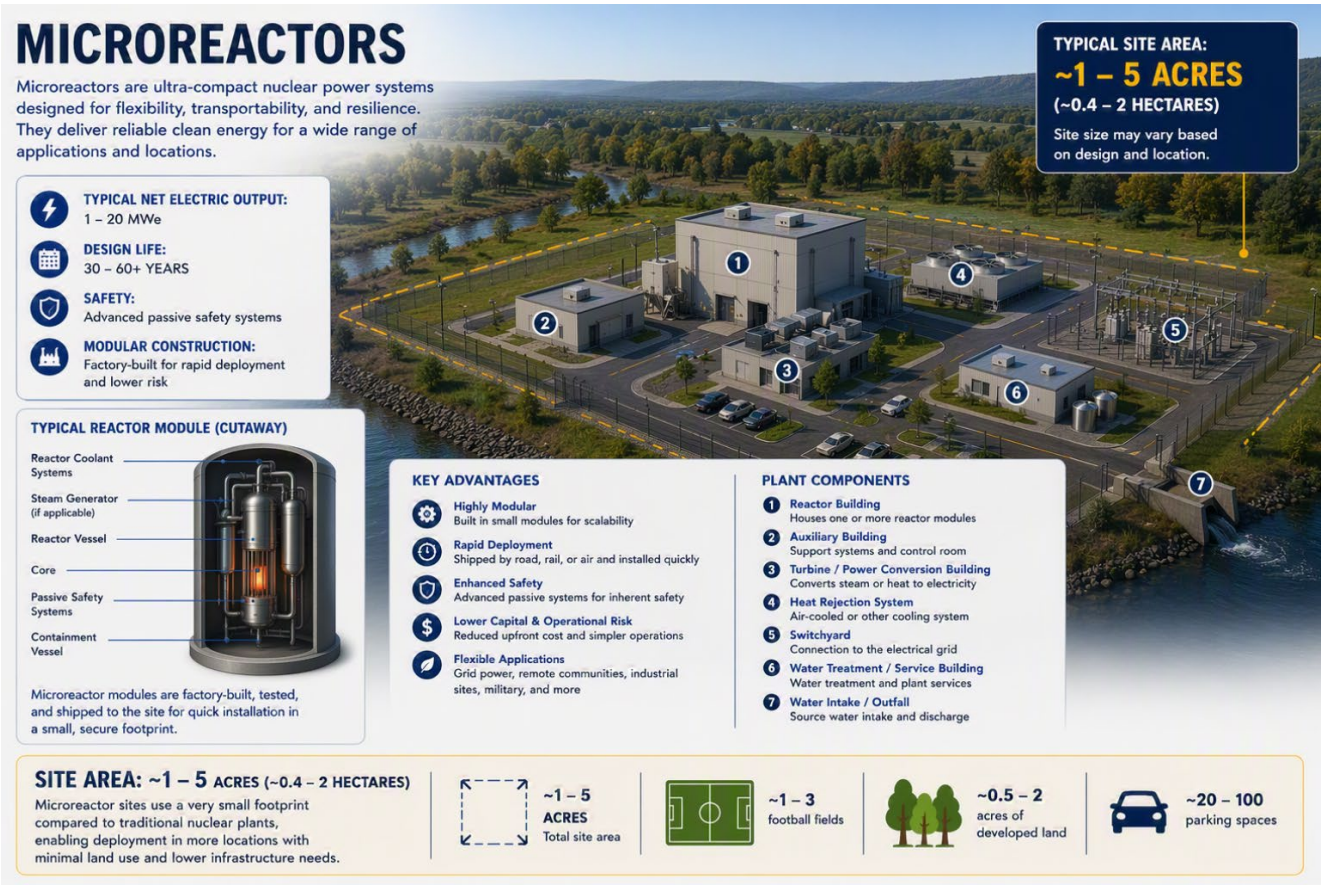
Source: Energy Information Administration (EIA), BofA Global Research

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Microreactors

Microreactors are nuclear power systems typically 20 MWe or less per unit, representing the smallest class of advanced reactors (Exhibit 7). They emphasize flexibility, allowing deployment where traditional grid-scale infrastructure is impractical. Many designs incorporate multi-year fuel cycles that reduce refueling requirements and associated logistics burdens, making them particularly attractive for remote communities, industrial sites and defense-related applications.

Exhibit 7: Microreactors need about one to five acres of land depending on the design
Diagram of a microreactor



Source: BofA Global Research, Nuclear Regulatory Commission (NRC)

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Market landscape

A growing number of developers are pursuing microreactor technologies in the US, however, despite increasing interest, most projects remain in the demonstration and pilot phase rather than commercial deployment. According to BofA Global Research, federal government programs continue to play a central role in funding and advancing early deployments, with several initial projects targeted for later this decade.

Supply chain

Large reactors depend on specialized components and complex construction processes, limiting the number of qualified suppliers. Modular designs, on the other hand, shift a greater share of manufacturing from construction sites to factory environments, with the goal of improving consistency, reducing onsite complexity and enabling more standardized deployment. As reactor sizes decrease, component requirements generally become less specialized, expanding the potential supplier base and simplifying project execution.

Workforce availability and quality assurance remain critical across all reactor types. Large projects require significant numbers of skilled tradespeople, including welders, electricians and nuclear-certified inspectors. The US nuclear workforce has declined over prior decades, leading to labor shortages during first-of-a-kind builds.

Fuel

Fuel is one of the most important building blocks in the advanced nuclear ecosystem, as availability, manufacturing capacity and regulatory approval are all critical to deployment. Because many next-generation reactors require specialized fuels, the

development of commercial-scale fuel supply chains will be a key factor in determining how quickly advanced nuclear technologies can be brought to market.

HALEU

High-assay low-enriched uranium (HALEU) refers to uranium enriched above the roughly 5% U-235 content used in conventional reactors but below the 20% threshold for highly-enriched uranium. HALEU enables smaller reactor cores and longer fuel cycles, making it a key requirement for many advanced reactor designs.

Historically, commercial HALEU supply has been limited. To address this gap, the Department of Energy launched the HALEU Availability Program in 2024 to support enrichment, fuel processing and deconversion capacity. The government is also working to recover HALEU from existing materials, with a targeted recovery of roughly 10 to 26 metric tons over time.

The first US HALEU production in decades occurred in 2023, though output remains limited. Current production is approximately 900 kilograms annually and is government-owned, with material allocated primarily to research, fuel qualification and early demonstration projects.

TRISO

Tri-structural isotropic particle fuel (TRISO) is key for high-temperature gas-cooled reactors (HTGRs) and certain microreactors. Unlike conventional nuclear fuel, it requires specialized manufacturing and therefore is currently only limited to pilot-scale production. But key development efforts include DOE-led research through the Advanced Gas Reactor (AGR) program and expansion of private-sector manufacturing with DOE support.

Regulatory approval is also required for new fuel designs, manufacturing processes and transportation systems. As a result, scaling TRISO production remains an important step toward the broader deployment of advanced reactors.

Fuel Risk

Fuel availability is a key execution risk for advanced nuclear projects. Many next-generation reactor designs rely on HALEU or TRISO fuel, both of which remain supply-constrained. As a result, reactor technology may be ready before fuel supply is, creating a potential bottleneck for deployment.

Challenges include multi-year lead times for fuel production and certification, potential gaps between reactor licensing and fuel readiness, and the limited supplier base and transportation requirements associated with HALEU. Together, these factors can add uncertainty to project timelines and costs until fuel supply chains reach commercial scale.

Licensing

Licensing is a key determinant of nuclear project timelines, capital deployment and execution risk. Regulatory requirements shape not only whether a project is approved, but also how predictable construction schedules are and how easily reactor designs can be replicated. In the US, commercial reactors are licensed by the Nuclear Regulatory Commission (NRC), whose framework emphasizes safety reviews, environmental assessments and public participation. While this approach provides regulatory certainty, it can also create lengthy approval timelines.

Large light-water reactors benefit from well-established regulatory processes, while frameworks for advanced reactors continue to evolve. For first-of-a-kind projects, licensing can extend four to eight years or longer depending on technology maturity, application quality, public intervention and regulatory resources.

Policy

Recent years have seen a flurry of initiatives to revitalize nuclear energy. A series of coordinated policy moves, demonstration programs, fuel supply efforts and industry partnerships have converged to create the conditions for a potential nuclear resurgence:

- **ADVANCE Act:** Signed into law in July 2024, the ADVANCE (Accelerating Deployment of Versatile, Advanced Nuclear for Clean Energy) Act modernizes the NRC licensing process (making it more affordable and predictable). The legislation also facilitates the siting of new reactors at brownfield sites, supports domestic fuel-cycle capabilities, and includes broader NRC institutional reforms, such as workforce recruitment and retention initiatives, updates to the agency's mission statement and provisions related to international nuclear cooperation and exports.

- **Executive orders:** On May 23, 2025, the Trump administration issued four executive orders aimed at accelerating US nuclear deployment through licensing reform, expedited reactor testing, expanded national security applications and efforts to strengthen the domestic nuclear fuel and supply chain base. Since their issuance, federal agencies, particularly the Department of Energy, have taken steps to implement these directives. While progress has been made on several fronts, a number of the orders' longer-term objectives remain under active implementation, according to BofA Global Public Policy.

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